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What's News

Business & Finance

- ◆ **Trump insulted** Fed Chair Powell while renewing his call for the central bank to immediately cut interest rates to soften the potential effects of his trade war. **A2**
- ◆ **The president's words** exacerbated market turmoil, helping to depress the S&P 500, Nasdaq and Dow by 2.4%, 2.6% and 2.5%, respectively. The dollar fell further against major currencies and yields on longer-term Treasuries rose. **A1**
- ◆ **The Justice Department** urged a federal judge to loosen Google's grip on the search-engine market by forcing a sale of its Chrome web browser. **A3**
- ◆ **DHL suspended** high-value shipments to the U.S. as it struggles with delays from customs clearances amid new U.S. rules. **B1**
- ◆ **Chipotle will open** a storefront in Mexico and look to expand into additional markets in the region. **B3**
- ◆ **Galaxy Corporation** plans to go public next year in a deal that could value the South Korean entertainment-technology group at around \$1 billion. **B3**
- ◆ **Accounting firms** Baker Tilly and Moss Adams agreed to merge in a deal valued at roughly \$7 billion, with the combined firm to carry the Baker Tilly name. **B3**
- ◆ **The FTC sued Uber**, alleging deceptive billing and cancellation practices in connection with the ride-hailing company's Uber One subscription service. **B3**
- ◆ **The venture-capital arm** of electronics maker TDK launched a \$150 million fund to back tech startups. **B4**

World-Wide

- ◆ **Pope Francis, who** sought to refocus the Catholic Church on promoting social and economic justice but presided over growing divisions among the faithful, died at the age of 88. **A1**
- ◆ **Some cardinals say** they want a successor to the pontiff who can defuse tensions between progressives and conservatives over divorce, same-sex relationships, priestly celibacy and other contentious issues. **A1**
- ◆ **Harvard said it sued** the Trump administration, arguing it violated the university's constitutional rights by freezing billions of dollars in federal funding and imperiling its academic independence. **A1**
- ◆ **Trump vowed to stick** with embattled Defense Secretary Hegseth despite new revelations that he shared sensitive information about a military strike in another group chat. **A4**
- ◆ **Kenyans won** the Boston Marathon, with Sharon Lokedi smashing the course record in the women's race with a time of 2:17:22 and John Korir prevailing at 2:04:45. **A2**
- ◆ **The wife of former Sen.** Bob Menendez was convicted of conspiring with the New Jersey lawmaker to sell the power of his office for gold bars, cash and other gifts. **A3**
- ◆ **Russia said it was** pleased with a Trump administration proposal to rule out Ukraine joining NATO as a way to end the war but showed no urgency in reaching a deal. **A16**
- ◆ **The Nordic countries** are leading efforts to reverse decades of military drawdowns to counter Russian aggression and uncertain security guarantees from the U.S. **A16**

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Pope of Firsts Reshaped Church

Francis, who died at 88, promoted social justice, faced fallout over sex-abuse cases

By FRANCIS X. ROCCA

VATICAN CITY—Pope Francis, who sought to refocus the Catholic Church on promoting social and economic justice rather than traditional moral teachings, but presided over growing divisions in the church and struggled with the lingering scandal of clerical sex abuse, has died, the Vatican said. He was 88.

The pope's death from a stroke and heart failure on Easter Monday came after he spent weeks in the hospital this year to treat a serious bout of pneumonia. His health remained fragile after he returned to his Vatican residence.

Jorge Mario Bergoglio was a pope of firsts. He was the first pope from the Americas, the first from the Jesuit order, and the first to take the name Francis. He was the first in almost six centuries to become pope after his predecessor resigned. Francis also gave the papacy a less formal and more approachable image by spurning regal attire, riding in compact cars and making headlines with blunt comments.

He was openly political, urging grassroots activists to bridge the gap between rich and poor while calling on wealthier countries to better protect the environment. As Western politicians moved to close their borders to refugees, Francis advocated for them and other migrants. In

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- ◆ **What happens next after the death of a pope.....** A7
- ◆ **Tributes for a pope with 'boundless compassion'...** A8



Pope Francis, seen in 2013, was the first pope from the Americas and the first who was a Jesuit.

Who Are Front-Runners for the Papacy?

By MARCUS WALKER

ROME—The last time the Catholic Church's cardinals picked a pope, they wanted an outsider to overhaul a scandal-plagued Vatican. They got more of a disrupter in Pope Francis than many had bargained for.

After Francis' stormy 12-

year pontificate, some cardinals now say they want a successor who can steady the ship and defuse tensions between progressives and conservatives over divorce, same-sex relationships, priestly celibacy and other contentious issues.

"Many cardinals are tired of the roller coaster that has been this pontificate. Many of

them will look for some stability," said Massimo Faggioli, a church historian at Villanova University.

Francis appointed 108 of the 135 cardinals who can vote, so it is unlikely a majority will repudiate his efforts to bring the church closer to ordinary believers, especially the poor and marginalized, by em-

phasizing its pastoral role over doctrinaire finger-wagging.

Only a small number of traditionalist cardinals want to return to a papacy that enforces a universal orthodoxy on sexual morality and gender issues, in the manner of Francis' predecessor Benedict XVI. But a larger minority of

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Conservative U.S. Catholics Gain Sway

Adherents revive old practices, grow more assertive as Church enters new era

By JOSHUA CHAFFIN AND AARON ZITNER

On Easter Sunday, hours before his death, an ailing Pope Francis roused himself to share a brief meeting at the Vatican with U.S. Vice President JD Vance.

For Francis, it was to be a final encounter with a conservative wing of

American Catholicism that is flourishing and increasingly assertive at a time when the Church, more broadly, is struggling.

The Pope's passing on Monday morning has thrown open a global succession race to lead the world's 1.4 billion Catholics. Yet it has also focused attention on the Vatican's fraught relationship with

an American flock that is undergoing cultural and theological changes that echo the rightward shift in the nation's politics in the MAGA era.

Personified by Vance, who was baptized in the Catholic Church in 2019, at age 35, adherents to this conservative style are reviving old practices, includ-

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At Bull Sales, The Steaks Are High

Thinning herds raise the pressure to pick a stud

By PATRICK THOMAS

NORTH PLATTE, Neb.—When Randall Grimmuss shows up at an auction, everyone knows there's a prize bull in the barn.

The 56-year-old rancher has an eye that is the envy of America's livestock industry, never more so than now. The U.S. cattle supply is thinner than it has been in 75 years, sending prices soaring for bulls with the tools to repopulate a herd. Ranchers travel to auctions across the country in search of the right bull, and they can't afford to mistake a

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Harvard Sues to Reverse Trump's Funding Freeze

By DOUGLAS BELKIN AND SARA RANDAZZO

Harvard University filed a federal lawsuit against the Trump administration Monday, arguing it has violated the university's constitutional rights by freezing billions of dollars in funding and imperiling its academic independence.

The suit sets up a legal showdown between the U.S.'s most prominent university and the nation's president, who has been on an escalating campaign to shake up elite higher education.

"The consequences of the government's overreach will be severe and long-lasting," Harvard President Alan Garber said in a community message announcing the lawsuit. Research at risk by the funding cuts, Garber said, includes work into child cancer, infectious disease outbreaks, and easing the pain of soldiers

wounded in battle.

Harvard argues in the lawsuit that the government has cut off funds "as part of its pressure campaign" to force the university "to submit to the government's control over its academic programs."

The government's actions flout the First Amendment by seeking to control what university faculty may teach and whom the school may hire, Harvard argues. It also argues the federal government is disregarding laws and regulations around how to pursue civil-rights investigations.

White House spokesman Harrison Fields said Monday in response to the lawsuit: "Taxpayer funds are a privilege, and Harvard fails to meet the basic conditions required to access that privilege."

In recent weeks, a new government task force has shaken top U.S. universities, pausing

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Stocks, Dollar Nosedive As Trump Flogs Fed

Dow index falls 972 as president's swipes at Powell exacerbate investors' tariff fears

By VICKY GE HUANG

The stock market plunged and the dollar hit fresh lows against major currencies on Monday, after President Trump renewed his attacks on the Federal Reserve and intensified the "sell America" trade.

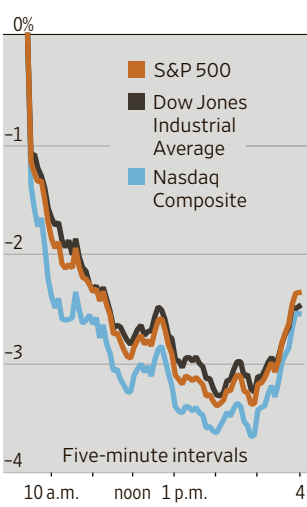
The president's renewed threats to fire Fed Chair Jerome Powell, whose term doesn't expire for another year, exacerbated turmoil wrought by the administration's trade restrictions. Trump demanded on Monday lower interest rates in a post on social media, saying that the economy could slow "unless Mr. Too Late, a major loser, lowers interest rates, NOW." Trump himself nominated Powell as Fed chair during his first term.

The Dow Jones Industrial Average dropped nearly 972 points Monday and is on pace for its worst April since 1932. The dollar hit fresh multiyear lows against the euro and other major currencies. Yields on longer-term Treasuries, which rise when bond prices fall, climbed. Oil prices slid. Gold hit a record. After the markets closed in the U.S., stock futures rose, while Asian stocks were slightly lower.

Threats to Powell's job marked a new source of uncertainty for investors, who said eroding confidence in the independence of the U.S. central bank could deal a significant blow to the value of stocks, bonds and the dollar.

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Index performance on Monday



Source: FactSet

- ◆ **Trump renews attack on Fed chair over rates.....** A2
- ◆ **Heard on the Street: Bad news for luxury stocks...** B12

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U.S. NEWS

Kenyan Smashes Women’s Course Record at Boston Marathon



CHAMPION: Sharon Lokedi, of Kenya, obliterated the course record in the women’s race at the Boston Marathon on Monday, finishing in 2 hours, 17 minutes, 22 seconds. Fellow Kenyan John Korir won the men’s race in 2:04:45 and joined his older brother, Wesley, as the first siblings to win Boston.

Trump Renews Attack Over Interest Rates

Calls Fed Chair Powell a ‘major loser,’ after hinting last week at firing him

By Nick Timiraos

President Trump on Monday renewed his call for the Federal Reserve to immediately cut interest rates to cushion the potential fallout from his trade war.

Trump pointed to inflation data from March, before this month’s tariffs took effect, to support his demand that Fed Chair Jerome Powell reduce interest rates.

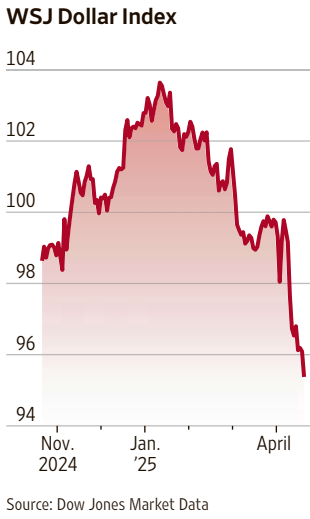
“There is virtually no inflation,” Trump said in a Truth Social post. “Powell has always been ‘To [sic] Late.’” Trump also referred to the Fed chair as a “major loser.”

The dollar renewed its slide against foreign currencies Monday after markets digested threats by Trump last week to exert greater control over U.S. monetary policy if the Fed didn’t cut interest rates. Stocks declined and Treasury bond yields rose.

In recent months, some of Trump’s own economic advisers have been wary in private of reducing interest rates too much or too fast for fear of kindling inflationary pressures.

Kevin Hassett, director of the White House National Economic Council, declined to defend Powell in comments to reporters on Friday.

Hassett has previously said



the administration would respect central-bank independence. Last week, he hedged, instead saying the administration “continues to study” the status of Powell. Hassett alleged that the central bank has been motivated by political considerations in setting interest rates in recent years. Fed officials strongly dispute that.

The WSJ Dollar Index has fallen for three consecutive weeks, dropping by 3.5%, the largest three-week decline since November 2022. It continued its tumble Monday.

On Thursday, Trump told reporters he had the power to dismiss Powell as Fed chair—a position that is at odds with Powell’s view of the law. “If I want him out, he’ll be out of there real fast, believe me,” Trump said.

While Trump regularly made similar threats against the Fed in 2019 and 2020, in-



Jerome Powell’s four-year term as Fed chair ends in May 2026.

vestors view the current situation as different for two main reasons.

First, Trump has been far more willing to defy institutional and legal norms than in his first term. The Republican-led Senate has fewer defenders of those norms than it did then.

Second, inflation could be a bigger problem this year because Trump’s tariffs are much larger and broader than those he imposed in his first term.

That is threatening a more difficult trade-off for the Fed, which in recent years lifted interest rates to a two-decade high to fight inflation.

Concerns that the Fed might not be allowed to set interest rates to contain inflation, as it was able to do in 2022, could increase foreign investors’ recent skepticism about U.S. economic-policy-making.

was at a completely different place,” Hassett told reporters on Friday when asked about his earlier views. “If there’s new legal analysis that says something different, then it would be a different market response, as well.”

Hassett also defended Powell against sharp attacks from Democratic lawmakers in 2022, when it appeared that the Fed might raise rates to levels that would cause an economic downturn.

Attacking Powell was “just a negative for the economy, and a negative for markets,” he said on Fox News in 2022. “The independence of the Fed is super important. I think that President Trump started to realize that after a while.”

Powell has implied that he doesn’t believe he can be dismissed from his position before his four-year term as chair ends in May 2026. Any effort by the president to remove him would almost certainly invite a historic showdown before the Supreme Court.

Sen. John Kennedy, a Louisiana Republican, said on Sunday that he doesn’t think the president has the authority to remove the chair of the Fed.

“The Federal Reserve ought to be independent,” he said on NBC’s “Meet the Press” program. “My experience with Jay Powell is that he’s got tiger blood. He’s going to do what he thinks is right. And he’s not going to go down in history as the Federal Reserve chairman that allowed inflation to become wild as a March hare.”

CORRECTIONS & AMPLIFICATIONS

Tanvi Madan of the Brookings Institution said that India has only one state election taking place between now and next spring. A World News article on Saturday about India incorrectly described her as saying no state elections were taking place in that time frame.

Readers can alert The Wall Street Journal to any errors in news articles by emailing wsjcontact@wsj.com or by calling 888-410-2667.

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Stocks, Dollar Nosedive

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While Trump made similar threats against the Fed in his prior term, investors now worry that Trump’s tariffs could rekindle pandemic-era inflation, requiring the central bank to keep rates higher, not lower.

Some worry that recent declines in stocks, bonds and the dollar—which has become known as the sell America trade—point to a shift in capital flows that undermines the U.S.’s longstanding primacy in global markets.

“It is concerning,” said Carol Schleif, chief market strategist at BMO Private Wealth, of the broad-based declines. “The bigger issue people are trying to assess: Is the bloom truly off the U.S. exceptionalism trade just in the short run, or is it going to be an intermediate or longer-term factor?”

The Dow industrials fell by 2.5%, the S&P 500 lost 2.4%, and the Nasdaq Composite shed about 2.6%. Investors sold tech stocks and shares of companies that make goods like electronics or clothing that consumers tend to cut

back on when times get tough.

Particularly hard-hit were the so-called Magnificent Seven tech companies that had helped power major indexes higher in recent years. Nvidia lost 4.5% and was among the biggest decliners in the blue-chip index. Amazon.com fell 3.1%.

The past few months have been particularly punishing for Tesla, which fell around 5.8% Monday. Its shares have now erased all of their post-election gains and have plummeted 44% in 2025 so far.

On Monday, Tesla dropped outside of the largest 10 U.S. companies by market value for the first time since June 2024.

The electric-vehicle maker is grappling with slower sales and a damaged brand, with Chief Executive Elon Musk’s prominent role in the Trump administration alienating some customers. The company is set to report earnings Tuesday. Analysts are expecting a year-over-year drop in profit, FactSet estimates show.

Stocks and other riskier assets had shown some signs of stability last week after Trump announced a 90-day pause on many tariffs. Still, investors re-

main nervous about the lack of developments in trade negotiations, with some saying calming investors will require substantial progress in a short time.

An early set of data from trade bellwether South Korea showed a big drop in exports to the U.S. this month.

“Supposedly, there’s been lots of negotiations happening, but there hasn’t been any deals announced,” said RJ Grant, head of global equity trading at Stifel & KBW. “The longer that drags on, the more there’s going to be some angst and anxiety in the markets.”

The prospect of Powell’s removal by Trump, who wants the Fed to lower rates, extended a recent climb in longer-term Treasury yields. Yields, which rise when bond prices fall, have already been lifted in recent weeks by worries that tariffs will fuel inflation and weaken foreign demand for U.S. debt.

On Friday, when markets were closed, National Economic Council Director Kevin Hassett underscored the White House’s displeasure with Powell, saying officials were studying his removal.

The dollar on hit fresh multiyear lows against most ma-

jor currencies, including the euro, yen and pound. The WSJ Dollar Index, which measures the dollar against a basket of currencies, fell 0.7% Monday to its lowest level since September.

“It’s really hard to get conviction in risk assets when it’s really beholden to one person that is making the decisions,” said John Lloyd, head of multi-sector credit strategies at Janus Henderson.

Investors searching for safety in the market turmoil piled into gold. The precious metal touched a fresh record, settling above \$3,400 a troy ounce for the first time.

And some traders are wagering on the surge to continue, rushing into options bets that would likely pay out if gold prices kept rising. Trading in call options tied to one of the largest gold exchange-traded funds—trades that give the right to buy shares at a given price, by a stated date—surged to an all-time high late last week.

There were a handful of winners in the stock market, too. Dollar General added 2.7%. Netflix rose 1.5% after the streaming giant last Thursday posted a better-than-expected earnings report.

Shares of Capital One Financial rose 1.5% after the credit-card issuer’s \$35 billion acquisition of Discover Financial Services got the greenlight from bank regulators on Friday. Discover gained 3.6%.

Harvard Sues Over Funding

Continued from Page One
or freezing billions of dollars in federal grants and contracts at premier institutions such as Columbia and Harvard, and putting many schools on alert.

The task force said it is targeting schools that failed to adequately protect Jewish students during pro-Palestinian protests that disrupted campuses last year.

Critics, including Harvard’s president, have said antisemitism is being used as a cudgel to give the Trump administration more control of universities.

Harvard is the first university to sue the administration over actions by President Trump’s antisemitism task force, though faculty groups at Harvard and Columbia have filed lawsuits, accusing the administration of exploiting civil-rights laws to undermine academic freedom and free speech.

The confrontation with Harvard began in late March after the government said it was reviewing nearly \$9 billion in federal funding at the school and asked it to take certain actions “necessary for Harvard University’s continued financial relationship with the United States government.”

The task force believed Harvard would concede, just as Columbia had, a person familiar with the negotiations said. But when Harvard got a list of demands from the task force in an April 11 letter, the university was shocked. The list included requirements that Harvard allow federal-government oversight of admissions, hiring and the ideology of students and staff. The school rejected the administration’s proposal and struck a defiant tone.

The clash quickly escalated. The Trump administration said it would freeze more than \$2 billion in multiyear grants and contracts. It has also threatened the school’s tax-exempt status and ability to enroll foreign students, and launched a probe into its foreign funding.

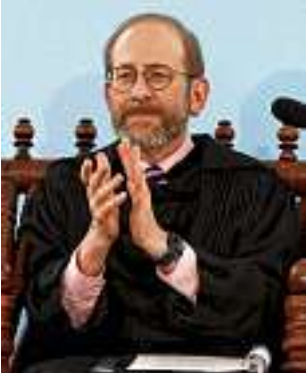
The 50-page lawsuit makes the case for why the federal government should continue to partner with universities on scientific research, a collaboration that dates back to World War II. “Millions of Americans are healthier and safer as a result” of such partnerships, and they have led to breakthroughs at Harvard such as developing drugs to treat Parkinson’s and Alzheimer’s and supporting astronauts in space, the lawsuit says.

Harvard argues that the administration has taken an improper shortcut in the usual process for handling antisemitism concerns under Title VI of the Civil Rights Act, freezing funding—a typically rare outcome—before doing a full investigation.

The government also can’t “identify any rational connection” between antisemitism concerns and the research it has frozen, the university argues.

Harvard acknowledges in the suit that tensions on campus rose to dangerous levels over the Israel-Hamas war. Some treatment of Jewish students was “vicious and reprehensible,” Harvard’s lawyers wrote. In response, the university said it has changed policies to improve campus safety and enhanced programs “designed to address bias.” Some on campus have said Harvard leaders haven’t gone far enough to curtail antisemitic behavior.

The lawsuit names as defendants agencies and cabinet departments, including justice, health and human services, education, energy and defense, and the General Services Administration. Officials from several of those agencies sit on the antisemitism task force.



Harvard President Alan Garber

U.S. NEWS

Jury Finds Former Senator’s Wife Guilty Of Bribery

By JAMES FANELLI

NEW YORK—The wife of former Sen. Bob Menendez was convicted Monday of conspiring with the disgraced New Jersey lawmaker to peddle the power of his office in exchange for gold bars, cash and other gifts.

A New York federal jury found Nadine Menendez guilty of bribery and obstruction charges after a three-week trial. Federal prosecutors said she acted as her husband’s partner in crime as they accepted hundreds of thousands of dollars for aiding the Egyptian government and trying to make the criminal cases of New Jersey associates go away.

The Manhattan U.S. attorney’s office charged the couple in 2023. The indictment alleged that Nadine Menendez served as a go-between for her husband in various schemes with New Jersey businessmen and foreign officials. Bob Menendez, a Democrat who had chaired the powerful Senate Foreign Relations Committee, was convicted last year at a separate trial and subsequently resigned from office.

He was sentenced to 11 years in prison and is scheduled to begin serving his time in June. He is appealing the verdict.

Nadine Menendez has denied any wrongdoing, and her lawyers said prosecutors had misconstrued the facts against her. She was put on trial separately from her husband because she was being treated for cancer. She is scheduled to be sentenced June 12.

“Today’s verdict sends the clear message that the power of government officials may not be put up for sale, and that all those who facilitate



Nadine Menendez has denied any wrongdoing.

corruption will be held accountable for their actions,” acting Manhattan U.S. Attorney Matthew Podolsky said.

Barry Coburn, a lawyer for Nadine Menendez, said, “We are devastated by the verdict, but we respect the criminal justice system, the court, the judge and the jury.”

Three New Jersey businessmen were charged alongside the Menendezes. Two were convicted at trial with the former senator. The third, Jose Uribe, pleaded guilty and testified for prosecutors at both trials.

Nadine Menendez’s trial hewed to the earlier one, with prosecutors showing how federal investigators found gold bars and envelopes stuffed with cash inside her and the senator’s home.

The Menendezes, who married in 2020, hashed out bribe schemes over text messages and swanky meals, according to prosecutors. Nadine Menendez arranged for Uribe to cover the cost of a new Mercedes-Benz convertible, prosecutors said. She also met with Uribe in a parking lot to pick up \$15,000 in cash, they said. In return, Bob Menendez agreed to help resolve two criminal matters in New Jersey involving a relative and associate of Uribe, prosecutors said.

Bob Menendez also agreed to take official actions in other bribery schemes, according to prosecutors. That included pressuring an Agriculture Department official in May 2019 to stop opposing a lucrative monopoly that Egypt had awarded a businessman to handle the certification of all halal meat exported from the U.S., prosecutors said.



SOPHIE PARK FOR WSJ (3)

A Coal Town’s New Promise Slips Away

By DAVID UBERTI

SOMERSET, Mass.—Pat Haddad fought for years to keep open a hulking coal-fired power plant in this bayside town of 18,000. After the facility closed in 2017, the dubbed “Queen of Coal” transformed into the “Witch of Wind.”

Staring down a hole in Somerset’s economy, the state representative and others bet big on the offshore wind industry. A planned factory on the site of the old plant would build underwater cables funneling energy onshore from skyscraper-size wind turbines off the coast. President Joe Biden even visited in 2022, casting the \$200 million project as a symbol of America’s clean-energy revolution.

But these days the property stands empty, patrolled by deer and wild turkey—a sign of a dream deferred.

The election of President Trump, who has railed against wind power and promised to kill new projects, hammered what many in Somerset believe was the final nail in the coffin for the proposal. The Italian company behind the project pulled out days before the inauguration.

“That’s going to be a tragedy for our town,” said Haddad, a Democrat who was voted out of office in November. “We don’t even know what might have been.”

Up and down the East Coast, communities like Somerset have staked their futures on wind farms. Government officials threw money into related investments onshore: manufacturing facilities to produce supplies; ports to assemble them; and training programs for a blue-collar workforce to install them.

Those aspirations are fail-



The interior of the former Brayton Point Power Station is seen above left. Pat Haddad, above right, lost her seat as a state lawmaker in November. Elaine Pereira, left, is a former chemist at Brayton Point who helps oversee the property.

Recriminations Abound in Somerset

In Somerset, tense meetings and social-media insults that colored the wind permitting process have given way to recriminations about what went wrong.

“If we don’t find industry that can help support services we have, we’re going to have to cut,” said Julie Ramos Gagliardi, a non-profit executive who previ-

ously served on the local school committee.

Somerset officials are still in talks to build a substation where energy from an offshore wind farm will connect to the grid, and some hold out hope that the prospects for larger manufacturing projects will improve after President Trump leaves office. Still,

Pat Haddad and others fear companies may now tread lightly in a graying town with more seniors and fewer children than the national average.

“I cry every day,” said the 74-year-old Haddad, who lost her husband last year. “There’s some business out there—I’m praying—that will say, ‘I’m not afraid.’ ”

ing. Years of elevated inflation and interest rates, coupled with permitting problems and a lack of U.S.-flagged ships, boosted costs for the highly subsidized sector. Developers shelved projects and took billion-dollar write-downs. Investors fled.

Small armies of workers along the East Coast and squadrons of ships offshore are pushing forward projects that began under Biden. But the Trump administration has now taken aim at that work. Onshore, would-be suppliers like those eyeing Somerset fear their customer base will never materialize.

“This is the first time our community is truly being hit directly by the election of a president,” said Jamison Souza,

a real-estate executive and chair of Somerset’s executive branch of government.

At its peak, the Brayton Point Power Station each day burned 10,000 tons of coal and siphoned up to a billion gallons of water from the neighboring Taunton River. Brayton Point helped electrify this off-overlooked part of the state, making the air dirty but keeping taxes low. Fossil-fuel revenues funded schools, emergency responders and other services only larger cities could afford.

The area’s fortunes began turning south when the textile industry in neighboring Fall River dried up and regulators began to scrutinize coal pollution. While the smaller of the town’s two coal plants closed

in 2010, Haddad added, “Every-one thought [Brayton Point] was too big to fail.”

Few foresaw drilling innovations that would wind up flooding power markets with cheap natural gas. “That basically shut us down,” said Elaine Pereira, a former chemist at Brayton Point who now runs a crew overseeing the property for its new St. Louis-based owners.

In a tightknit town where the coal plants once supported about half the local tax base, residents now cough up more than 80%.

“When any community is flush with money, the politics are very quiet,” said longtime Somerset resident Jim Pimental, who is vice president and

organizer of the union Bricklayers & Allied Craftsmen Local 3.

Somerset looked to offshore wind to redevelop the site and help fill the town’s fiscal hole. But problems piled up.

The first Trump administration’s review of offshore leases, as well as the Covid-19 economic shock, slowed wind development to a crawl. While the Brayton Point property’s owners leased part of the site to a scrap-metal business as a stopgap measure, nearby residents complained of trucks, noise and potential pollution. A judge ultimately ordered the operation to cease.

That primed opposition in the surrounding neighborhood when Italian firm **Prysmian** announced plans to build a factory on site. As Somerset offered incentives for a project that promised millions in revenue, unionized construction jobs and hundreds of full-time employees, officials and Prysmian haggled over how many diesel-fueled ships would dock to load massive reels of cables.

Residents in Brayton Point in February 2024 also appealed the project’s state air-quality permit. The move surprised many supporters of the plan elsewhere in town and added a legal hurdle.

Residents “availed themselves of an appeal right the state of Massachusetts offers,” said Somerset Selectman Allen Smith, who helped found a nonprofit advocating for the Brayton Point neighborhood. “I don’t know how you can blame them for that.”

Even after clearing that bar, Prysmian canceled its plan less than a week before Trump was sworn in. Company officials have since blamed faltering demand rather than election results.

DOJ Urges Federal Judge To Break Google’s Search Grip

By JAN WOLFE

WASHINGTON—The Justice Department on Monday urged a federal judge to loosen Google’s grip on the search-engine market by forcing a sale of its Chrome web browser, kicking off the latest phase of a landmark antitrust case.

U.S. District Judge Amit Mehta, who ruled last year that the **Alphabet** unit has illegally maintained a monopoly in online search, has set aside three weeks to hear arguments and testimony over what remedy he should impose to restore competition.

“We’re at an inflection point,” Justice Department lawyer David Dahlquist told Mehta on Monday. “This court has an opportunity to remedy a monopoly that has controlled the internet for today’s generation and restore competition for decades to come.”

The proceeding is a milestone in a yearslong effort by U.S. antitrust enforcers to rein in Silicon Valley technology

giants, and could result in new limits on Google that would help competitors such as **Microsoft**, which operates the Bing search engine.

The Justice Department enters the trial with momentum on its side, having won a major ruling last week in a separate antitrust case against Google relating to digital advertising tools. That decision, from a federal judge in Vir-

ginia, doesn’t have any direct impact on the search case before Mehta, but lent credence to arguments that Google has stifled competition.

In court filings, the Justice Department has argued that Google should face serious consequences for its monopolist conduct: a court-ordered sale of its Chrome browser, termination of agreements that give its search engine default status on smartphones and other devices, and a requirement to provide competitors with access to data.

Google has long argued that it competed fairly to achieve its success, and has

told Mehta that the Justice Department’s remedies proposal will hinder innovation and harm consumers. News Corp, owner of The Wall Street Journal, has a commercial agreement to supply content on Google platforms.

The plaintiffs allege that Google has used illegal agreements to sideline its rivals and harmed consumers and advertisers. A trial last year, focused just on liability, revealed that Google has paid **Apple** more than \$20 billion a year for Google’s search engine to be the default on Apple’s Safari web browser.

Google says it is willing to “loosen” its agreements with Apple and others so that competing search engines can get better placement on mobile devices. But it opposes most of the government’s proposals.

Google faces more competition than ever because of new artificial-intelligence companies such as **OpenAI**, Google lawyer John Schmidtlein said in his opening statement on Monday.

Schmidtlein called the government’s remedies proposal a “wish list” for Google competitors. “This collection of over-reaching remedies will harm competition, not promote it,” Schmidtlein said.

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Trump Backs Embattled Defense Chief

Revelation of second sensitive group chat on Signal keeps official in spotlight

By Meridith McGraw and Alexander Ward

WASHINGTON—President Trump spoke Sunday with embattled Defense Secretary Pete Hegseth and vowed to stick by him despite new revelations that he shared sensitive information about a military strike in another group chat.

Trump and Hegseth chatted on the phone after news reports detailed how Hegseth used his personal phone to place sensitive military information into a new Signal chat, and the publication of an essay by a former Pentagon spokesman detailing the “total chaos” of the secretary’s leadership. The conversation was positive, officials said, noting that Trump sees no reason to remove Hegseth after only three months in the job.

A person familiar with the conversation said both Trump and Hegseth were on the same page following their discussion.

That understanding was on full display as Trump at the White House Easter Egg Roll on Monday said Hegseth was “doing a great job.”

“It’s just fake news,” the president added. “Sounds like disgruntled employees. You know, he was put there to get rid of a lot of bad people, and that’s what he’s doing. You don’t always have friends when you do that.”

Hegseth also blamed former staffers he fired over alleged leaks of information for running to reporters.

“This is what the media does, they take anonymous sources from disgruntled former employees and then they try to slash and burn people and ruin their reputations,” said Hegseth. “Not going to work with me.”



Defense Secretary Pete Hegseth appeared at the White House Easter Egg Roll on Monday.

Trump’s rally to Hegseth’s side is the latest instance of the president absorbing political heat for a close administration ally. During the first so-called Signalgate, Trump defended national security adviser Mike Waltz for inadvertently adding a reporter into an encrypted chat where senior aides, including Hegseth, discussed imminent attack plans against the Houthis in Yemen.

Now the president finds himself again beating back accusations that he refuses to hold loyal aides accountable for their mistakes. Trump on Monday brushed back questions about the second Signal chat involving Hegseth as “the same old stuff from the media.”

“Senior Pentagon leaders are juggling wars in Europe and the Middle East, threats

in the Indo-Pacific, and securing the homeland, but their ability to do so is severely threatened by the defense secretary repeatedly putting U.S. troops at risk by sharing operational plans, firing military leaders without cause, and internecine fighting across his staff,” said Mara Karlin, a former top Pentagon official in the Biden administration.

U.S. officials said it was unlikely that Trump would fire Hegseth, at least any time soon. Trump said he has “great confidence” in his defense secretary.

Trump spent tremendous

political capital to get Hegseth confirmed as defense secretary, and doesn’t want another bruising Senate battle so early in his second term, the officials said. Publicly, Trump and senior officials have touted his work as defense secretary. Firing Hegseth over the new Signal conversation would also raise questions about why he held on to Waltz after weeks of turmoil following the first Signal crisis.

The general view inside the White House is that Hegseth faces a smear campaign from “disgruntled” former officials who were recently let go from

their positions. Trump is also a fan of Hegseth’s performance and “look,” enjoying how he appears on camera and how he attacks the media during any political firestorm.

At least one prominent Republican has also come to Hegseth’s aid. “Secretary Hegseth is working hard to implement the president’s agenda,” Sen. Tom Cotton (R., Ark.) wrote on X Sunday night.

Despite Trump’s staunch support for Hegseth, the former Fox News host and veteran has been the subject of several bad headlines for the administration.

He brought his wife, who isn’t a government employee, to some sensitive meetings at the Defense Department. He authorized a top-secret military briefing for Elon Musk about China strategy, only to

downgrade the sensitivity of the meeting after intense White House blowback. Videos of the Tuskegee Airmen and images of the Enola Gay, the warplane that dropped the first atomic bomb on Japan, were temporarily removed from Defense Department websites as part of what some saw as Hegseth’s purge of anything resembling “diversity, equity, and inclusion,” or DEI.

Hegseth has also fired at least 10 admirals and generals, adding a source of instability and unpredictability in a Pentagon increasingly filled with fear about retribution from the secretary’s office, officials said.

Last week, the Pentagon said it put three Hegseth staffers, Dan Caldwell, Colin Carroll and Darin Selnick, on administrative leave, escorting them out of the building. In a post on X, the three said in a joint statement that “we still haven’t been told what exactly we were investigated for, if there is still an active investigation, or if there was even a real investigation of ‘leaks’ to begin with.”

Caldwell on Monday denied being the source of the leaks and said he was never questioned, searched, or photographed. He said in an interview on Tucker Carlson’s podcast that he believes his firing was politically motivated and tied to his opposition to war with Iran.

“We were threatening a lot of established interests inside the building and outside the building,” he said, referring to the Pentagon.

Caldwell blamed “career staff” for the leaks, accusing them of being “incredibly hostile” to Hegseth and Trump’s worldview.

“I have been a friend and supporter of Pete Hegseth for a long time, and I’m just personally devastated by this. It’s just awful,” he told Carlson. “The entire Department of Defense cannot continue to be consumed by chaos.”

Trump said Monday that Hegseth was ‘doing a great job.’

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U.S. WATCH



ON FIRE: Flames rose from a Delta plane Monday at Orlando International Airport. Before being evacuated, the jet had 282 passengers, 10 flight attendants and two pilots aboard, Delta said.

TEXAS

Walmart Gunman Pleads Guilty

The gunman who killed 23 people in a racist attack at a Walmart in El Paso—one of the deadliest mass shootings in U.S. history—pleaded guilty Monday to capital murder in a state district court.

Judge Sam Medrano told 26-year-old Patrick Crusius he failed in his attack on a community that would have welcomed him “with open arms.”

Crusius has acknowledged he targeted Hispanics on Aug. 3, 2019, when he opened fire in a Walmart in the Texas border city that was crowded with weekend shoppers.

Crusius will be automatically sentenced to life in prison without parole.

The change of plea came after local prosecutors took the death penalty off the table. El Paso County District Attorney James Montoya said that decision was driven by a majority of victims’ relatives who want the case to be over.

—Associated Press

EDUCATION

Collecting to Start On Defaulted Loans

The Education Department will resume collecting on defaulted federal student loans starting May 5.

Borrowers in default will receive an email notification from the Office of Federal Student Aid asking them to make a monthly payment, enroll in an income-driven repayment plan or sign up for loan rehabilitation, the department said Monday. Later in the summer, they will receive notices beginning administrative wage garnishment.

The department plans to authorize guaranty agencies to begin involuntary collections on loans under the Federal Family Education Loan Program as well.

The Office of Federal Student Aid hasn’t collected defaulted loans since March 2020, when collections were put on pause because of Covid-19. Former President Joe Biden extended the program through his term.

—Katherine Hamilton

WASHINGTON, D.C.

Noem’s Purse Stolen At Restaurant

Homeland Security Secretary Kristi Noem’s purse was stolen at a Washington, D.C. restaurant Sunday night, according to department officials.

The department in an email said Noem had money in her purse to buy gifts for her children and grandchildren and to pay for Easter dinner and other activities.

The department in an email didn’t specify what was stolen, but CNN—which was first to report the story—said the thief took about \$3,000 in cash, as well as Noem’s keys, driver’s license, passport, checks, makeup bag, medication and Homeland Security badge.

The Homeland Security Secretary is protected by U.S. Secret Service agents.

The Secret Service referred questions about the Sunday night incident to Homeland Security headquarters.

—Associated Press

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branded boxes, scan the QR
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Pontiff Reshaped Church

Continued from Page One
February, he criticized President Trump's plan to carry out mass deportations.

He maintained a neutral stance on the war in Ukraine, deploring the suffering of Ukrainians but avoiding direct condemnation of Russia and suggesting the West had provoked the conflict.

Francis' policy of playing down traditional church teachings on marriage and homosexuality—his most famous single remark was a rhetorical question about gay priests: "Who am I to judge?"—cheered liberals while distressing conservative Catholics, including many bishops in the U.S. But he stopped short of relaxing rules on celibacy for Roman Catholic priests, disappointing progressive bishops who argued that it would remedy shortages of clergy.

Francis endorsed zero tolerance for priests who sexually abuse children, but victims and their supporters said he didn't do enough to tackle the problem. In the biggest scandal of his pontificate, a former Vatican diplomat publicly accused him of turning a blind eye to sexual misconduct by a U.S. cardinal and called on him to resign.

Francis' decisions over whom to appoint as cardinals—the men who will elect his successor—were notably strategic. He passed over prominent conservative bishops installed by his predecessor Pope Benedict XVI in dioceses such as Los Angeles and Venice, and appointed others from places such as Tonga and Laos, far from the church's major population centers. By the time of his death, the pope had named about two-thirds of the cardinal electors. A two-thirds majority of electors is required to select the next pope.

Whether the next pope pursues or diverges from Francis' agenda, the tensions and polarization that grew under his stewardship are likely to persist.

Quick rise

He was born on Dec. 17, 1936, in Buenos Aires, the first of five children of an Italian immigrant father and an Argentine woman of Italian origin. He studied at a vocational high school with a focus on chemistry and worked occasionally as a doorman in local bars, where he was known as a proficient tango dancer.

Just shy of his 17th birthday, he felt an urge to enter a church and confess his sins. When he later decided to become a priest, his mother objected, telling him she hoped he would pursue a medical career. He told her he would be study-



Pope Francis, seen at the Vatican in 2018, said the church must direct its energy toward evangelizing the wider world.

ing the "medicine of the soul."

After joining the Jesuits, an order that emphasized social justice, the future pope volunteered for missionary work in Japan but was turned down, he later said, because he had lost part of his right lung to pneumonia at the age of 20. He was ordained a priest in 1969 and four years later was named the leader of Argentina's Jesuits at the extraordinarily young age of 36.

Bergoglio was still serving in that role when a military dictatorship took over Argentina in 1976. His record in that period would weigh on him for years. Some accused him of having collaborated with the junta's "dirty war" against its political opponents, including two Jesuits who were kidnapped and tortured for several months.

Nobel peace laureate Adolfo Pérez Esquivel, a former political prisoner of the dictatorship, later exonerated Francis of complicity with the regime and credited him with quiet diplomacy on behalf of its victims.

The pope acknowledged criticisms of his record. After making enemies within the Jesuit order, he was transferred to the city of Córdoba, more than 400 miles from the capital Buenos Aires, where he spent two years. He later described this as a time of "great interior crisis." His exile ended in 1992 when his friend Cardinal Antonio Quarracino persuaded Pope John Paul II to appoint him as one of Buenos Aires's auxiliary bishops. When the cardinal died in early 1998, Bergoglio succeeded him, and he became a cardinal in 2001.

Bergoglio became known for living a modest life and ministering to Buenos Aires's sprawling shantytowns. He spurned the archbishop's palace in favor

of a simple apartment.

When John Paul died in 2005, Bergoglio emerged as the leading liberal candidate to succeed him. John Paul had reversed much of the progressive momentum that followed the Second Vatican Council, which aimed to rebalance the church's relationship and the modern world during the 1960s. But the conclave elected Benedict, who continued the conservative line.

Then, in February 2013, Benedict shocked the church by resigning, pleading the debility of old age.

Bergoglio, by then 76 years old, wasn't on many shortlists of possible successors. Yet a small group of liberal cardinals quietly lobbied for his candidacy. The cardinal also impressed his peers shortly before the vote with a speech that said the church must become less focused on itself and direct its energy toward evangelizing the wider world. Many observers took that as an implicit retort to Benedict's prediction that the church in the West was shrinking to a

faithful core.

On just the fifth ballot, on March 13, the cardinals chose Bergoglio as the 265th successor to St. Peter. When he emerged on the balcony of St. Peter's Basilica, he stood without the formal cape other popes had worn and greeted the crowds below with a simple "good evening" before asking them to bless him.

A different sort

It became clear that Francis would be a different sort of pontiff. He rode in a Ford Focus and stayed in a two-room suite in the Vatican guesthouse rather than move in to the Apostolic Palace.

He set up bodies to overhaul the Vatican's finances and bureaucracy and make it "a poor church for the poor." That reflected his choice of papal name, after St. Francis of Assisi, a medieval church reformer who abandoned a life of wealth for extreme poverty.

He continued efforts begun under Benedict to prevent money-laundering at the scan-

dal-plagued Vatican bank. He centralized the Vatican's investments and put them under the oversight of a panel of outside experts.

The pope criticized global capitalism and often called attention to the plight of migrants. In his 2015 ecological encyclical, *Laudato Si'*, the pope called on political leaders to reduce carbon emissions to combat climate change.

Francis also made a priority of improving ties with the Islamic world, insisting that Islam was, like Christianity, a nation of peace. He also tried to improve the Vatican's relations with China.

If Francis had a byword for his papacy, it was "mercy." He often spoke of putting forgiveness ahead of censure and judgment and loosened the traditional ban on Communion for divorced Catholics who remarry without their first marriages being annulled. He met with a gay couple and transgender man, suggested Catholics follow their consciences in using contraception to prevent disease, supported civil unions for same-sex couples and called for an end to anti-homosexuality laws.

Conservatives, including some cardinals and bishops, complained that the pope was blurring the lines on doctrine and even trying to change it.

During his watch, bishops in Germany acted as the church's progressive vanguard, holding meetings where they called for changes including women's ordination, blessings for same-sex relationships, a greater role for laypeople in church governance and relaxation of the celibacy requirement for priests. While Francis expressed some unease with the Germans' initiative

and warned them not to stray too far from the rest of the church, he also called a global synod, which culminated in meetings at the Vatican in fall 2024. The conclusions disappointed progressives who were hoping for dramatic changes.

Angered victims

However, no controversy during his reign rivaled the impact of the scandals over the sexual abuse of children by priests.

Francis hardly mentioned the topic in the first year of his papacy. When he did set up an advisory body on child protection that included former victims of abuse, he didn't act on any of its principal recommendations, including creating a special tribunal to judge bishops who abused or covered up abuse.

Bishops in the U.S. and a handful of other countries urged him to adopt their practice of permanently barring abusers from serving as priests. Instead, he established a board that reduced the sentences of a large minority of abusers to periods as short as three years, reversing the policy of the previous pope.

Francis angered sex-abuse victims again in 2018 by repeatedly saying a Chilean bishop accused of covering up abuse was a victim of slander. He later said he had been misinformed and accepted the resignations of several Chilean bishops implicated in abuse scandals.

Later the same year, a former Vatican envoy to the U.S. accused the pope of ignoring allegations of sexual misconduct against then-Cardinal Theodore McCarrick, a former archbishop of Washington, D.C., and making him an adviser.

Francis waited until the following spring to deny the accusations, by which time a Vatican court had found McCarrick, who denied wrongdoing until his death this month, guilty of sexual abuse of minors and sexual misconduct with adults. He was the first cardinal in modern times to be removed from the priesthood.

During 2019, Francis responded to criticism with a number of high-profile initiatives against sexual abuse. However, advocates for abuse victims criticized the process for investigating and disciplining bishops as lacking in transparency.

But Francis' biggest legacy for the church could be his focus on social and economic issues, especially in the global south. Whether that continues will depend on how the coming papal conclave votes. If so, it would be a fitting legacy for a pope who described himself as coming from the "ends of the earth."

Watch a Video

Scan this code for a video on the life and legacy of Pope Francis.

Who Might Succeed The Pope?

Continued from Page One
moderate conservatives could block contenders they view as too radical on questions such as women's ordination, priestly celibacy and blessings for same-sex couples.

An ideologically moderate cardinal with the diplomatic finesse to bridge the church's divisions, while maintaining Francis' pastoral focus, might have good prospects.

Many cardinals would prefer a pope with enough charisma to continue Francis' outreach to the world beyond the Catholic Church, including developing relations with other faiths and maintaining a voice on political and economic issues.

Yet the ideal candidate needs technocratic skills to fix the Vatican's chronic and growing budget deficit, an area where Francis struggled.

And he probably shouldn't be too young, meaning much less than 70 years of age. Cardinals are usually wary of picking a young pope whose reign might be overly long.

None of the men seen as papabile, Italian for "popeable," tick every box. That makes this conclave one of the most open contests in recent history.

Here are 10 of the men seen as front-runners. Some experts said the list is potentially twice as long, and a wild-card pick is possible.

Cardinal Pietro Parolin

The 70-year-old Italian is the Vatican's secretary of state, effectively its prime minister. Undoubtedly a contender, he has the global contacts and diplomatic skills to assemble supporters in the College of Cardinals. Parolin would represent continuity, but he didn't have the closest relationship with Francis, which could help him with skeptics of the last pope. His lack of charisma could count against him.

Cardinal Mario Grech

The Maltese cardinal, 68, is a leading progressive candidate. He is a champion of Francis' lenient stance on giving Communion to Catholics who divorce and remarry, and he has defended liberal German bishops who pushed to change church practices, including allowing the ordination of women deacons. He advocates a decentralized

institution that allows for different ways to engage followers in a diverse, globalized church. But conservatives have warned of a schism in the church unless progressives' push for changes is reined in.

Cardinal Péter Erdő

The 72-year-old primate of Hungary is perhaps the strongest conservative contender. A multilingual intellectual, Erdő has called for unity within the church. His views on divorce, immigration, gay civil unions or the use of the Latin Mass are traditional, but he isn't as hardline as some of Francis' toughest critics. Skeptics have said he lacks charisma and a popular touch.

Cardinal Luis Antonio Tagle

The "Asian Francis," former archbishop of Manila and now a senior official in the Vatican administration, is a leading contender from the global

South. The 67-year-old Filipino cardinal shares Francis' focus on social justice and preference for a merciful church, while defending traditional Catholic teachings on abortion and contraception. His star has dimmed since 2022, when Francis removed

him as the head of Caritas Internationalis, the church's global charitable organization, following management and morale problems. Tagle might also be too young for cardinals who don't want a long pontificate.

Cardinal Fridolin

Ambongo Besungu

After the Argentine Francis, choosing the Archbishop of Kinshasa would be another leap toward a more global papacy. Africa is the continent where Catholicism is growing most. The Congolese cardinal would uphold Francis' focus on social justice, the poor and dialogue with other faiths.

Ambongo has objected to Francis' lenient guidelines on priestly blessings for same-sex couples, which could appeal to conservatives. His relative youth, at 65, could hurt him.

Cardinal Robert Francis Prevost

An American pope is hard to imagine, most Vatican-watchers said. Many cardinals don't want to look like they are aligning the global church with the superpower. If any contender can overcome having a U.S. passport, it might be the Chicago-born Cardinal Prevost. Prevost rose under Francis to become the Vatican's top official for selecting bishops in much of the world. At 69, he could be a dark horse.

Cardinal Gérald Lacroix

A North American pope would more likely be Canadian than American. The Archbishop of Quebec supported Francis' humility and emphasis on a pastoral, listening church. Francis made him a member of his council of cardinals, a body the pope established to advise on church governance. Last year, Lacroix

was cleared of sexual-abuse allegations. At 67, he is among the younger contenders.

Cardinal Charles Maung Bo

Myanmar's first cardinal is perhaps the strongest contender from Asia. He's about the right age at 76, and could bridge some of the differences between progressives and conservatives. He was close to Francis, but has also expressed admiration for Francis' conservative predecessor, Benedict. Bo supported Francis' vision of a church that listens, and his concern for the environment.

Cardinal Matteo Zuppi

The archbishop of Bologna is another progressive favorite who would continue Francis' work, seeking to make the church more inclusive while reaching out to other faiths. The 69-year-old is close to the Catholic lay community Sant'Egidio, an international association involved in social work. Zuppi's left-wing image could count against him.

Cardinal Jean-Marc Aveline

The Archbishop of Marseille is seen as a protégé of Francis with a popular touch. He champions a church welcoming to marginalized people and dialogue with other religions. He hasn't been outspoken on polarizing topics. And he is on the young side at 66.



Here are some of the men seen as front-runners to succeed Pope Francis, from left: Cardinal Charles Maung Bo, Cardinal Mario Grech, Cardinal Fridolin Ambongo Besungu, Cardinal Timothy Dolan and Cardinal Luis Antonio Tagle.

FROM LEFT: GEMUNU AMARASINGHE/ASSOCIATED PRESS; ALESSANDRA TARANTINO/ASSOCIATED PRESS; ARSENE MPIANA/AGENCE FRANCE-PRESSE/GETTY IMAGES; ROBERT COHEN/ST. LOUIS POST-DISPATCH/ASSOCIATED PRESS; ALESSIA GIULIANI/IPA/ZUMA PRESS

POPE FRANCIS 1936 - 2025

What Happens Next After the Death of a Pope

By Marcus Walker

ROME—The Vatican is beginning the elaborate sequence of events for mourning, burying and choosing the successor to Pope Francis.

On Monday evening, some 12 hours after the pope died, the Vatican’s *camerlengo*, or chamberlain, was due to ceremonially certify the pontiff’s passing. By tradition, the *camerlengo*, American Cardinal Kevin Farrell, will call out the late pope’s baptismal name, Jorge Mario, three times. On receiving no response, he will declare that the Holy See is vacant.

Cardinal Farrell will then break the Fisherman’s Ring, the deceased pope’s signet ring, and inform the dean of the College of Cardinals, who will summon cardinals from around the world for a conclave.

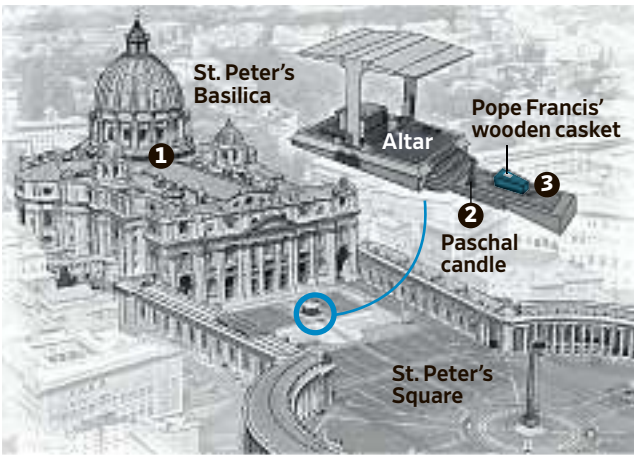
The pope’s mortal remains will then be placed in a simple wooden coffin lined with zinc. Francis last year abolished the more elaborate tradition of placing the papal coffin inside a second, then a third casket. He also scrapped the custom of displaying the pope’s body on an elevated platform in St. Peter’s Basilica—instead, he will lie in the open coffin—as well as some of the pomp and circumstance of the funeral.

The faithful will likely be able to view the pope’s body in the open coffin in St. Peter’s from Wednesday morning onward, the Vatican said on Monday, although a final decision on the arrangements was expected on Tuesday.

The funeral is expected to take place between four and six days after the pope’s death. A total of nine days of mourning are foreseen, marked by Masses at St. Peter’s and around Rome.

Francis’ simplification of his own burial is meant to convey that a pope’s funeral “is that of a shepherd and disciple of Christ and not of a powerful man of this world,” the master of papal liturgical

Pope Francis’ funeral details



- 1 Prior to the funeral, Pope Francis’ body will lie in a wooden coffin at St. Peter’s Basilica for four to six days.
- 2 Paschal candle is placed next to the casket to symbolize resurrection.
- 3 The simple wooden coffin is chosen to reflect that the pope is a common man.

Sources: The Vatican; Google Earth

ADRIENNE TONG and BRIAN MCGILL/WSJ



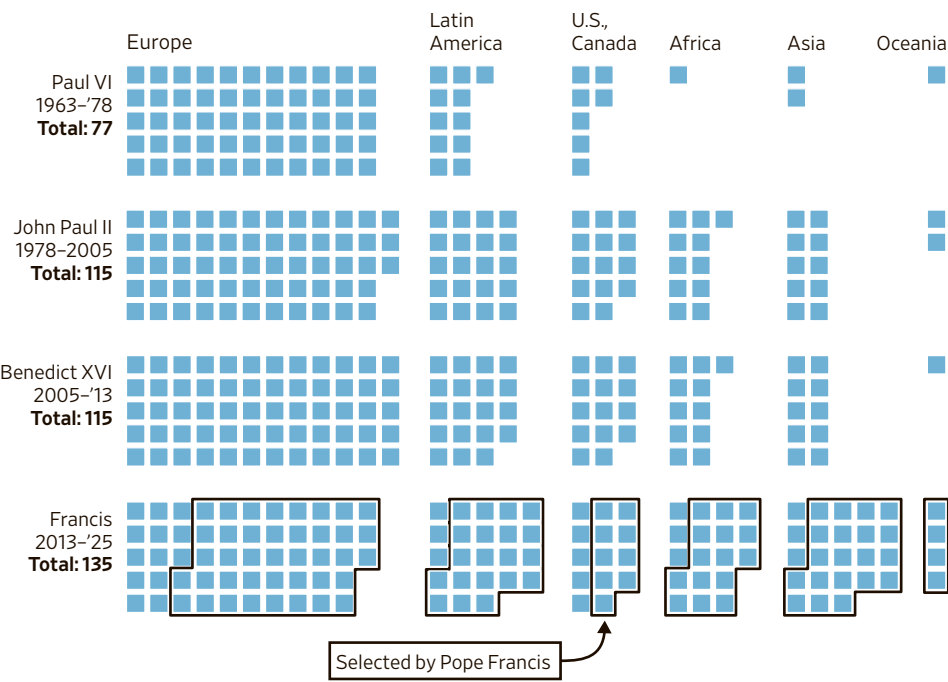
ceremonies, Archbishop Diego Ravelli, said when the new rites were published last November.

In another break with tradition, Francis asked to be buried outside the Vatican at the Basilica of St. Mary Major, a church in Rome where

he often went to pray.

Meanwhile, the cardinals from around the world will be gathering. Their first official meetings, known as the General Congregations, aren’t as famous as the conclave in the Sistine Chapel, where the election of the next pope

Regional breakdown of voting-eligible cardinals, by pope



At the Vatican in March 2013, cardinals entered the Sistine Chapel before the start of the papal conclave that elected Pope Francis, succeeding the retiring Pope Benedict XVI.

takes place. But they can be just as crucial in determining the outcome.

The speeches and discussions, held in the New Synod Hall, a modern auditorium, are where influential cardinals will try to shape their colleagues’ sense of the priorities for the next pontificate.

“The whole mystery of the conclave is the agenda. What kind of agenda is set by the initial conversations? Then you think about the candidates,” said church historian Massimo Faggioli of Villanova University in Pennsylvania.

The homilies at the funeral Mass and on the morning of the conclave can also set the tone, said Faggioli.

Intense lobbying and networking will also be under way in informal get-togethers. There are 252 cardinals, but only 135 of them can vote. To be eligible to vote, a cardinal must be younger

than 80 on the day the pope dies.

Although the older cardinals can’t vote, they can take part in the preconclave discussions and try to influence the agenda and mobilize support for their preferred contenders, until the conclave begins and the cardinal-electors enter seclusion.

The conclave is supposed to begin between 15 and 20 days after Francis’ death. To begin it, the cardinal-electors, who will have already taken an oath of secrecy, attend Mass in St. Peter’s, then proceed to the Sistine Chapel to start the voting.

One of the unusual features of this conclave is that the

number of voting cardinals exceeds the maximum of 120 set out in the Vatican’s constitution. Francis, never a stickler for protocol, appointed numerous cardinals in far-flung countries outside the Catholic Church’s heartlands.

Thanks to this geographical dispersion, another novelty will be how few of the cardinals have previously met and gotten to know each other. It makes the days of agenda-setting, coalition-building and voting even

harder than usual to predict. Most modern conclaves have been short: Two, three or at most five days have been needed to find the two-thirds majority for a winning candidate.

Most modern conclaves have been short: two, three or at most five days.



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POPE FRANCIS 1936 - 2025

Tributes for a Pope With ‘Boundless Compassion’

By Marcus Walker
And Margherita Stancati

ROME—Pope Francis’ death ends a 12-year pontificate that shook up the Catholic Church while challenging traditional teachings on topics from divorce to homosexuality, and triggering a succession process that will likely center on whether to continue his progressive legacy.

His death came after Francis spent weeks in the hospital this year to treat a serious bout of pneumonia. His health remained fragile after he returned to his residence in the Vatican.

Francis died at 7:35 a.m. on Monday local time, the Vatican’s *camerlengo*, or chamberlain, Cardinal Kevin Farrell said. The cause of death was stroke and cardiac arrest, according to a medical bulletin released by the Vatican.

“With deep sorrow I must

announce the death of our Holy Father Francis,” said Cardinal Farrell, an American citizen who will run the Vatican until a new pope has been elected. “He taught us to live the values of the Gospel with fidelity, courage and universal love, especially in favor of the poorest and most marginalized.”

Francis made his last public appearance on Easter Sunday, when he blessed a crowd in St. Peter’s Square and was then driven around the square in his open-top popemobile. He also met briefly with Vice President JD Vance.

In his will, the pope asked to be buried outside the Vatican at the Basilica of St. Mary Major, a church that is home to an icon of the Virgin Mary to which he often prayed. He asked for a simple tomb with a single inscription: Franciscus.

The funeral is expected to take place in Rome between Friday and Sunday. President

Trump said he and first lady Melania Trump are planning to attend.

The first reactions from world leaders noted the pope’s advocacy for the poor, social justice, environmental protection and an end to the wars in Ukraine, Gaza and elsewhere.

“He asked the world...for the courage to change direction, to follow a path that ‘does not destroy, but cultivates, repairs, protects,’” Italian Prime Minister Giorgia Meloni said. “We will walk in this direction, to seek the path of peace, pursue the common good and build a more just and equitable society. His teaching and his legacy will not be lost,” she said.

“A man of deep faith and

boundless compassion, he dedicated his life to uplifting the poor and calling for peace in a troubled world,” Israeli President Isaac Herzog said of Francis on X. “I truly hope that his prayers for peace in the Middle East and for the safe return of the hostages will soon be answered,” Herzog said, referring to the remaining Israeli captives in Gaza.

“My heart goes out to the millions of Christians all over the world who loved him,” Vance said on X. “I was happy to see him yesterday, though he was obviously very ill.”

Vance said he would always remember the pope for a “really quite beautiful” homily he gave early in the Covid-19

pandemic, in which Francis comforted the faithful at a time of fear and uncertainty.

The pope’s native Argentina and Brazil declared seven days of mourning. “Having been able to know him in his kindness and wisdom was a true honor for me,” said Argentine President Javier Milei, who visited Francis last year.

“Humanity today loses a voice of respect and care for others,” said Brazilian President Luiz Inácio Lula da Silva.

Large crowds gathered in front of St. Peter’s Basilica on Monday evening for a prayer in honor of Francis.

“Death is not a door that closes but the pathway into celestial Jerusalem,” said Cardinal Mauro Gambetti, who led the service. “Brothers and sisters all over the world join our voice of prayer.”

Francis broke in style and substance with his two conservative predecessors, Pope

Benedict XVI and St. John Paul II. He injected a new informality into the papacy, adopted more-lenient positions on issues such as homosexuality, contraception and divorce, and emphasized social and political topics such as poverty and migrant and refugee rights.

He also showed greater openness toward the LGBTQ+ community, including by lifting the ban on blessings of same-sex couples by priests.

“Pope Francis has been a gift to the church and to the LGBTQ+ community,” said Francis DeBernardo, executive director of New Ways Ministry, which advocates for LG-BTQ+ Catholics.

The pontiff ‘dedicated his life to uplifting the poor and calling for peace.’

Watch a Video

Scan this code to see tributes to Pope Francis from around the world.

Conservative Catholics Gain Sway

Continued from Page One

ing the traditional Latin Mass and women wearing veils. While their numbers may still be small among the universe of Americans who identify as Catholic, they are increasingly influential, say observers—in the struggle for the Church’s future and that of the nation.

The conservatives are more likely to be kneeling in pews on Sunday and managing parish affairs while others stay home. Their worldview has found purchase in the Trump administration’s policies—be it the introduction of sweeping tariffs or its mass deportation of immigrants who entered the country illegally. And they are building a network of universities and media outlets to educate future cadres.

“Vance is one of a legion of young people who have followed the same path from atheism to radical suspicion and rejection of liberal culture to a form of Augustine-inspired Christianity,” said David Deane, a theologian who gave a recent lecture on Catholicism and the new right. “The seminaries are increasingly populated by young men who think like this.”

Vatican tensions

Their ascendancy made for an unusually tense relationship with a Pope who emphasized compassion and humility. Before Sunday’s meeting, Vance had engaged in an unusually tetchy back-and-forth with the Vatican over the Trump administration’s deportation policies.

“For [conservatives], Pope Francis was a shock. And it became more of a shock when he started talking about gays, divorce and capitalism,” said Massimo Faggioli, a church historian at Villanova University. “It was a relationship that was damaged from the beginning.”

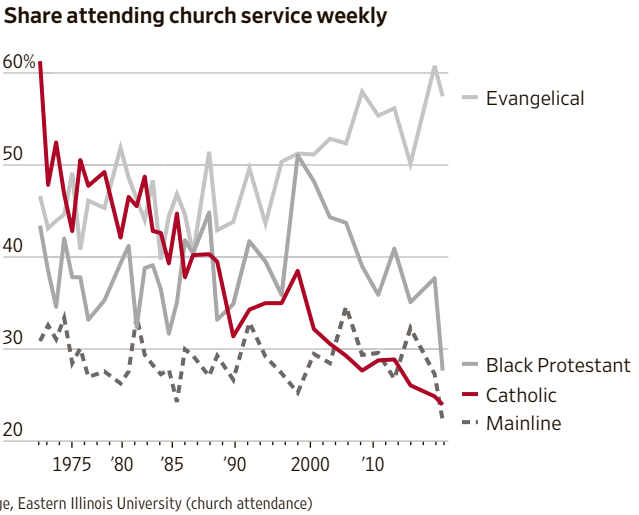
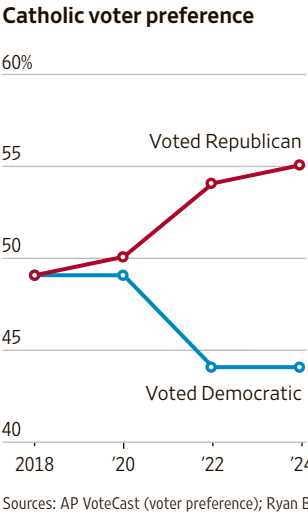
The appointment of a liberal successor, Faggioli warned, risked further estrangement. One possibility he cited was a “liquid schism” in which the two parties don’t suffer a formal rupture but increasingly look past one another. “The fear is that it basically could become a Catholic Church that is independent from the Vatican,” Faggioli said.

Stephen P. White, the executive director of the Catholic Project, a research initiative at Catholic University in Washington, D.C., likened that possibility to an “Anglicization” of Catholicism—or a fracturing of the Church on national lines.

The Catholic Project offered a stark measure of the conservatives’ rise in a 2022 survey of more than 3,500 U.S. Catholic priests. Among those ordained since 2020, it found, some 80% identified as “conservative/orthodox.” Those identifying as progressives and liberals were facing a “virtual collapse.”

“Among priests, it’s a massive shift,” said White, who views the conservative Catholic renewal as “a piece of the populism that seems to be spreading not just in the United States but over most of the Western world.”

Since the 1960s, the Catholic Church has swung from the adoption of more liberal principles in the Second Vatican



Students and faculty attend Mass in the chapel at the Augustine Institute, above.

some 53 million adults—identify as Catholic. That’s down from 24% in 2007. After a decadeslong slide, that decline appears to be leveling off.

A more salient statistic may be church attendance. At least half of Catholics turned up weekly in the 1970s, compared with only about a quarter today, according to Ryan Burge, an Eastern Illinois University professor who tracks religious data.

Long a political bellwether, Catholic voters were virtually split in their choice for president in 2020, according to AP VoteCast. They broke sharply for Trump in the most recent election, supporting him by an 11 percentage point margin.

The pope’s American critics were largely diplomatic during his recent illness—but on the fringe some were more explicit in their desires for a successor. One is Bishop Joseph Strickland, an ardent conservative and Francis opponent, who the Vatican removed two years ago as the Church’s leader in Tyler, Texas. “Certainly, we pray for him,” Strickland told Newsmax last month, “but we need the new Pope to be someone who is much clearer—really, frankly, stronger in the tradition of our Catholic faith.”

Francis had expressed his own discontent. In 2023, he complained of a “very strong, organized reactionary attitude” against him in the U.S. Church, adding: “I would like to remind these people that backwardness is useless.”

In December, Trump chose his U.S. Ambassador to the Vatican: Brian Burch, a staunch critic of Francis who founded a Wisconsin group called CatholicVote that helped to mobilize support for Trump, entwining MAGA and faith.

Francis, in turn, appointed a liberal cardinal, Robert McElroy, as the Archbishop of Washington, D.C.

Immigration became a fault line between the camps. Days after his inauguration, Vance accused the U.S. Conference of Catholic Bishops of supporting illegal immigration because it al-

Council to the 35 years of conservatism espoused by Popes John Paul II and Benedict.

The 2013 appointment of Francis, an Argentine celebrated as the first Pope from “the global south,” marked a pivot toward a more pastoral approach that emphasized flexibility and compassion over doctrine. He made headlines by approving the offering of “blessings” for same-sex couples and talking about divorce and climate change.

Gaining strength

Behind the scenes, the conservatives were gathering strength in America, bound together by a conviction that liberalism in its many guises—political, social, theological—has run aground. While it may have generated material wealth, they say, it has undermined communities and wrought the social “carnage” that President Trump invoked during his first inauguration in 2016.

For the Catholic Church in particular, they believe that a project to embrace modernity instead yielded empty pews and confusion. In its place, they want to build a post-liberal world that is rooted in traditions of the past.

“For a lot of progressive priests, they think that if the Church could just accommodate the modern world, it will stop its decline. But everywhere the Church has accepted the modern world and its contemporary values, it’s died,” said Timothy

Gray, president of the Augustine Institute, a Catholic graduate school of theology that emphasizes a return to the rigors of scripture and tradition.

Augustine, which produces education materials and online content, was founded in 2005 and set up in a Denver office park. Last year, it paid around \$20 million for a 284-acre campus outside of St. Louis that Boeing had used as a retreat and executive training center.

By contrast, St. Louis’ archdiocese had to close or merge dozens of parishes two years ago due to declining attendance and a scarcity of priests.

“You judge a tree by its fruit,” said Gray, as he reflected on the institute’s growth from his perch in a library lined with carved wooden panels harvested from a 16th-century English monastery. Other conservative hotbeds include Franciscan University in Steubenville, Ohio, and Benedictine College in Atchison, Kan.

Many of their students are embracing practices from an ancient, unreformed Catholi-

cism that had seemed to be fading into obsolescence. The most striking may be the traditional Latin Mass, codified in the late 1500s and practiced into the 1960s, and which Francis had discouraged. In it, the priest keeps his back to worshippers so as to face God and speaks in Latin—while in the contemporary Mass that superseded it, the priest faces the congregation and gives the worshippers more opportunities to pray out loud in response.

“People go to Mass for a glimpse into heaven,” said Michael Knowles, who produces a podcast and videos that offer commentary from a Catholic perspective and are hosted by the MAGA-aligned Daily Wire media company. “If the Mass gets more focused on me, if the music becomes more quotidian and casual, if the sacraments are not treated with due reverence, it teaches in a sometimes imperceptible way that one need not really go.”

According to the most recent Pew Research Center survey, 19% of Americans—or



Pope Francis in St. Peter’s Square at the Vatican on April 6.

lowed them to reap millions of dollars in federal aid.

In February, Pope Francis issued an extraordinary letter correcting Vance after the vice president cited a theological argument about “the hierarchies of love” to try to justify the Trump administration’s deportation policies. (No, the pope chided Vance in so many words, compassion did not end at the border or hinge on a migrant’s legal status.)

It’s unclear just how much influence American conservatives will wield in the global contest to select a new pope. During his tenure, Francis stocked the College of Cardinals that will eventually determine his successor with loyalists who share his more liberal outlook. Still, America is home to the world’s fourth-largest Catholic population, and it’s a big source of wealth for a Vatican under financial strain.

‘Universal answers’

In Denver, Father Michael Nicosia is co-pastor at St. Paul, an ecumenical Catholic church that bills itself as “radically inclusive.” The onetime advertising executive had attended seminary in Rochester, N.Y., in the 1990s, then overseen by one of the most progressive bishops in the country.

“The danger is the certitude they harbor,” Father Nicosia said of those Catholics he calls “retroactive” conservatives. “From my sense, in these times of conflict and cultural change, many people find comfort in an exclusive church that offers absolute, universal answers,” he said.

Denver turns out to be a touchstone for conservative Catholics. Pope John Paul II chose the city as the site of his August 1993 World Youth Day festival, overlooking traditional Catholic bastions like Boston, New York or Chicago. The idea was to seed a new evangelism.

Among those in the audience was a 24-year-old Tim Gray, who was then leading a Catholic youth group from Rapid City, S.D., and can still recall the thunder of stamping feet in Mile High Stadium as the pope’s helicopter approached.

Gray grew up in a family he described as “culturally Catholic”—going through the motions of the faith but without conviction. In high school he discovered scripture. He studied at Franciscan and then returned to Colorado to help found the Augustine Institute. “We felt like a lot of Catholic institutions had lost the sense of their roots,” he explained.

The idea appealed to Madeleine Joerger, 24, who came to Augustine for graduate school after earning her degree in education at Benedictine College. She plans to teach at a Catholic school. “We have 2,000 years of tradition,” Joerger said. “We have to have something to say beyond the modern world.”

Her classmate James Lupino, 27, saw himself as part of a grassroots reaction to a prevailing culture that many found wanting. “An effect of the modern secular world has been a loss of meaning for a lot of people,” he said.

“The way to renew the Church is not to change the Church’s teaching to try to be popular,” Gray said. “It goes back to what Jesus said: if salt loses its tastiness, it’s not good for anything but to be thrown out. I think what’s interesting about this new movement is, it’s salty.”

How to Score Global Deals In Tariff Age

Traveling abroad? You can save money if you know the rules on taxes and limits.

By Allison Pohle

For shopping aficionados—let’s face it—a global trade war is a downer. President Trump’s tariffs are expected to filter into the prices of everything from cigars to Hermès Birkin bags soon.

If you have a passport and like to use it, though, you have options. Buying goods abroad in the local currency and claiming the value-added tax refund has long been a way to score deals on jewelry, Italian leather jackets and other splurges. Now, with tariffs kicking in as peak travel season arrives, it might make sense to bring an extra suitcase or two.

As of this month, a 10%, across-the-board tariff exists on imports to the U.S. from nearly every country and 25% for imported cars and parts. The levies Trump imposed on Chinese goods this term now total 145%.

Uncertain of how duties could affect the prices of her favorite Japanese beauty items, Arianna Parker used a trip to Japan this month to stock up. In all, she bought \$500 worth of shampoo, hair masks and skin-care products.

“I definitely ended up buying more than I was planning to because I have no idea,” says Parker, 32 years old, from Toledo, Ohio.

There are rules to keep in mind—lots of them. Here’s what to know to get the most shopping bang out of your next trip, or whether to order online:

Will I pay tariffs on Shein orders? Most likely—and soon.

Starting May 2, lower-costing goods from China and Hong Kong are subject to import taxes and customs inspections. That’s because Trump signed an executive order to end the popular *de minimis* exemption for items with a retail value of \$800 or less.

The change means fast-fashion items bought from retailers such as Shein and Temu will be subject to these duties. The retailers say they will raise prices beginning April 25.

The *de minimis* exemption still applies to products ordered and shipped from other countries.

Do I pay a 10% tariff on items I buy and bring back?

Typically no. Personal exemptions exist for items brought back for personal use. Tariffs are levied on a case-by-case basis but, generally, personal items aren’t considered imports because they aren’t bought and sold commercially, according to a Customs and Border Protection spokesperson.

Still, that doesn’t mean you can bring thousands of dollars worth of items into the U.S. free of tax.

What is the dollar limit before additional fees kick in?

The most common limit is a personal exemption for purchases of as much as \$800. It applies to travelers who have been out of the U.S. more than 48 hours. Above \$800, a flat-duty rate of at least 3% will typically be charged to the next \$1,000 worth of items, according to the CBP website. Fine art is the exception; no matter the price, it is duty-free.

After \$1,800, additional rates apply, depending on the product and country, though family members traveling together can combine their individual \$800 exemptions.



You can only use an exemption once every 31 days. If you claimed a \$300 exemption after a trip to Japan and bought \$500 worth of goods during a trip to England two weeks later, you couldn’t claim the exemption again.

The 48-hour rule means that if, say, you cross the border for a day trip to popular online retailer SSENSE’s flagship store in Montréal, you can’t claim the \$800 personal exemption. The amount is \$200, according to the CBP website.

These limits apply to items brought with you. They can’t be shipped separately. You need to declare your purchases, even if they are under \$800. Otherwise, you risk losing membership to Global Entry.

Many U.S. travelers claim refunds on value-added taxes after shopping abroad in places such as Milan. Arianna Parker brought back Japanese products, below, due to uncertainty over tariffs.



You might also risk fines and have to forfeit the item.

Can I buy \$500 in skin-care items in Japan and ship them home without paying the tax?

No. The limit on new, personal items sent back to the U.S. is \$200. If it is more, the shipping carrier will assess the value. You can mail gifts free of duty and tax to family and friends in the U.S., but the limit is \$100 a day.

You can mail back personal items, such as clothes, to the U.S. without paying a tax, but they must be American-made. Shipping internationally is typically expensive.

How do I avoid paying VAT?

Many travelers claim refunds on value-added tax, a charge adopted by more than 170 countries. This tax is determined by the value added at every stage of the item’s production and varies by country. In Europe, it must be at least 15%.

Typically, retailers fill out refund paperwork that has to be validated before you leave the country. Many airports have offices to complete this, but leave ample time, says Kimberly Hilliard, a travel adviser with Front Porch Travel. Travelers should have their passport on hand while making purchases, she advises. And remember: Many services that process the paperwork take a cut of the refund.

What are ways to take advantage of this?

Jack Ezon, founder of Embark Beyond, a luxury travel company,

says more of his affluent clients request wardrobes for their European trips to take advantage of prices paid in euros. He employs shoppers to buy clothes locally, curate looks in multiple sizes and deliver them to the person’s hotel room so they are ready when the traveler arrives. Clients only pay the cost in the local currency and can get a VAT refund.

This can amount to big savings. For example, the shoppers in Paris found Hermès sandals for €610, or about \$695. They retail for \$800 online. With the cheaper price and the 20% VAT in France, consumers get a significant discount.

Are duty-free stores exempt?

Not necessarily. When you buy something from a duty-free store, you aren’t charged the value-added tax or duty tax the country would typically charge.

But, if you exceed the personal exemption allowance—typically \$800 in the U.S.—you have to pay additional tax.

Some items have additional restrictions. Travelers can usually bring 1 liter of alcohol duty-free, but must pay tax on more bottles, even if they haven’t met the \$800 minimum.

And there are exceptions: For used items, duty is typically waived if they are more than a year old.

The bottom line—technically, anyway: You can’t sneak clothes through customs without claiming them just because you took the tags off and wore them on a trip.

By John Jurgensen

This article contains spoilers for “The Last of Us” season 2, episode 2.

A brutal plot twist in Sunday’s episode of HBO’s “The Last of Us” sent shock waves through viewers—except for the ones who always knew it was coming. They’d already processed the killing of a beloved core character when they played the videogame that inspired the TV series.

“It’s been a real trip to be on this side of a ticking time bomb,” said Rob Mahoney, who offers a gamer perspective on a podcast that analyzes the HBO show.

Set in a world overrun by fungus-infected zombies, “The Last of Us” lost one of its pillars when Joel, a flawed hero played by Pedro Pascal, got attacked by Abby (Kaitlyn Dever), a new character wielded a golf club. Joel led viewers through the show’s first season as a reluctant father figure and protector of Ellie (Bella Ramsey), a teen with immunity to a plague.

In season 1, when Joel is tasked with delivering Ellie to scientists who plan to develop a cure for the disease at the cost of her life, he chooses instead to save her—killing the researchers. When we meet Abby this season, she is out for blood, set to hunt down Joel.

But that expectation could not prepare audiences for the violence that would come in episode 2. On

social media Sunday night, even initiated viewers expressed shock at the episode’s brutality.

“I don’t take joy in people’s trauma, but I do take joy in the fact that a lot of people are about to have a really powerful experience with the story,” Mahoney, co-host of “The Prestige TV Podcast,” said in an interview last week, when gamers were still speculating about when the show’s producers would pull the trigger on Joel.

Killing off main characters is familiar territory for HBO, whose hit show “Game of Thrones” beheaded one of its protagonists, Lord Eddard Stark, in its first season. The event seemed to break the rules of television for viewers accustomed to heroes who always win. But readers of George R.R. Martin’s series of bloody fantasy novels knew better. Later in the show, more main characters were massacred in an ambush that was already infamous among Martin’s readers as “the red wedding.”

In a promo teaser before the latest episode of “The Last of Us,” HBO included shots from Ned Stark’s execution in “Game of Thrones” and other big moments from the network’s Sunday-night series, hinting at the Monday-morning discussions to come about Joel’s killing.

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As “The Last of Us” season 2 approached, gamers not only debated how the character’s death would hit people new to the story, but how it might feel to revisit an in-game event that divided players.

The way it went down (at the start of the second installment released in 2020) shocked players in part because the Abby character hadn’t foreshadowed her plan to kill Joel. People went haywire in the Reddit community dedicated to the game, recalled Anne-Marie Boring, one of the group’s moderators. Players lashed out at the games cre-

▲ Pedro Pascal’s flawed hero Joel led viewers through the first season of HBO’s ‘The Last of Us.’

ators and each other as they argued over the how, why and when of eradicating Joel. “We’ve now had five years to essentially chew on it. We may not necessarily agree with all the gaming decisions, but we understand why Joel’s death had to happen,” Boring said.

“It is really the only thing that could drive Ellie to do everything that she does following his death,” she added, alluding to more plot

twists ahead in the show.

Videogames, long a medium for immersive storytelling and character-building, have become an increasingly powerful force shaping film and television. Adaptations of Minecraft, Sonic the Hedgehog, Super Mario Bros. and more have helped shore up Hollywood’s bottom line. But “The Last of Us” belongs to a special category of games with story arcs and emotional stakes that rival cinema or surpass it, players say.

Translating such beloved properties for mass consumption presents a dual challenge for studios: reaching audiences who don’t know the game and pleasing those who do.

Players of “The Last of Us” have tracked where the TV version stays faithful to the game and where it deviates, including in a season 1 episode that won an Emmy for guest star Nick Offerman. The season 2 premiere reproduced game elements ranging from a photo of a dog (on the employee-of-the-month wall at a ransacked grocery store) to the exact lighting and camera angles of a slow dance between Ellie and her friend Dina, played by Isabela Merced.

Those elements probably went over the heads of non-gamer fans, but Joel’s death is continuing to ripple through the entire “Last of Us” audience. “It could definitely be a way of bridging the gap between the TV audience and the gaming audience, because misery loves company, you know,” said Boring. “And Joel’s death is misery.”

PERSONAL JOURNAL.

‘Finfluencers’ Look for Market Edge

Posting financial advice on social media has become a big business in the past few years. Now comes the test.

BY DALVIN BROWN
AND OYIN ADEDOYIN

Most people’s investment accounts are looking pretty ugly this month. Jeremy Schneider posted a snapshot of his to more than half a million Instagram followers.

He said he lost a quarter-million dollars in the span of two days in early April, when stock losses accelerated as President Trump laid out his tariff policies. It was one more chance for Schneider to tell his followers to look past the volatility and stay invested in the markets.

“I wanted to put my face on my page so that people knew I’m still here, the sky’s not falling,” he said.

“Finfluencers” like Schneider are at the peak of their relevance. Many have spent years increasing their followings and building out businesses by putting relatable and emotionally resonant money advice directly in front of people’s faces. Now, an uncertain market and economy has people grasping for any advice they can get.

If these influencers can meet the moment, they stand to challenge traditional assumptions about who is qualified to give financial advice. Just like professional advisers and money managers, influencers are learning that their jobs are far harder in stormy markets.

Schneider had planned to take two months off for paternity leave after his son was born in mid-February. But the market beckoned him back. On March 10, Schneider posted a video of himself in his car to avoid disturbing his newborn son. Displayed above his head was the text, “Is the BIG CRASH coming?! What should you do?!”

Schneider has recently earned



▲ Jeremy Schneider, Vivian Tu and Nicole Victoria are ‘finfluencers’ addressing the volatility.

more followers and more engagement. But he has been noticing more infighting in the comments section of posts and some people say he is becoming too political, he said.

Financial influencers often aren’t certified financial planners and don’t have formal training. Many of the popular influencers are giving advice that sounds a lot like what an adviser might say: Don’t make rash decisions in turbulent markets. Diversify. Invest for the long haul.

Unlike financial advisers who charge fees to manage money, finfluencers give free advice through snappy social media videos. They

build followings among younger investors by translating jargon-filled concepts into everyday language and laying bare their own financial lives. They are sometimes sponsored by companies offering financial products.

“There are a ton of great influencers out there giving solid general advice,” says Douglas Boneparth, a certified financial planner in New York who also shares advice in online videos. “But they’re not creating personalized financial plans.”

More than 40% of Americans have considered financial information or advice from social media, according to a 2024 survey from Charles Schwab. Unsurprisingly, younger investors rely more heavily on social media.

Investors who are new, younger or use social media for their information are more likely to invest in riskier assets such as crypto and penny stocks, according to the Financial Industry Regulatory Authority’s Investor Education Foundation. A December Securities and Exchange Commission advisory report warned that it is increasingly difficult for these investors to distinguish between credible advice and self-serving promotion. Investors need to be discerning about what online advice to follow.

The growth of apps such as Instagram, YouTube and TikTok over the past decade have helped hobbyists turn themselves into



Influencers are learning their jobs are far harder in stormy makets.

pseudocelebrities. It is possible to make a good living by sharing sponsored or branded videos. Financial-content creators typically make 25% to 50% more per partnership than influencers in other categories because of their specialized knowledge, says Stacy Jones, founder of marketing agency Hollywood Branded.

Like many financial influencers, Vivian Tu launched her platform, @your.richbff, during the pandemic. She calls herself “your favorite Wall Street girlrie” and tries to make complex financial topics digestible for everyday people. She has amassed millions of followers on Instagram and TikTok, published a book and created a podcast.

Tu’s full-fledged operation typically plans and produces videos a week in advance. But in these up-and-down markets, she has been turning them around the same day.

Influencers’ wide reach has given them insight into Americans’ financial anxieties. Nicole Victoria has noticed more of her followers were asking whether they had enough saved to weather a potential recession.

The 34-year-old former real-estate agent has described the downturn as an opportunity, not a crisis. “When recessions happen, assets go on sale,” she told her followers. “When assets go on sale, you can buy more with less.”

The current mix of geopolitical

and economic upheaval is forcing many to grapple with how much to mix politics and market advice.

In videos for her more than two million TikTok followers, Tori Dunlap, a 30-year-old former marketing manager from Seattle, has framed the market chaos as a politically manufactured crisis.

After a few days of tariff whiplash earlier this month, she parked her car and propped her smartphone on the dashboard. She said into the camera: “Trump lit the match and burned the house down, then handed you the fire extinguisher.”

She said her audience expects honesty, not neutrality. “People aren’t just asking, ‘What does this mean for my portfolio?’ ” she said. “They want to feel validated, to know how to react, and what action they can take.”

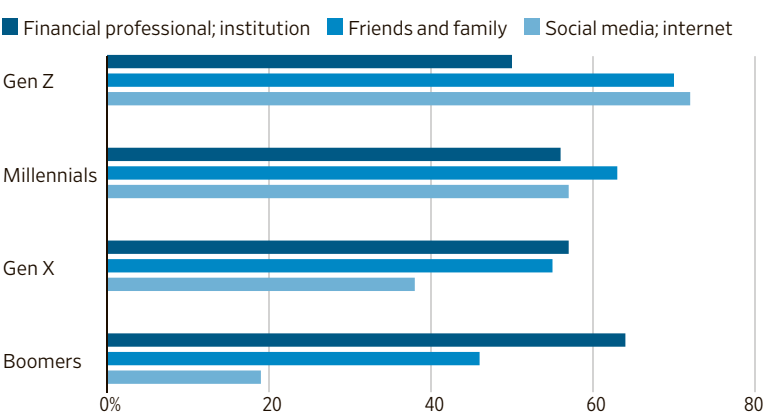
Her advice: Stick to long-term investment plans.

Tyler Gardner, a former portfolio manager who has over 1.3 million Instagram followers, has been giving similar advice but isn’t mentioning Trump or tariffs. The 42-year-old Vermont resident, known for giving tips on retirement investing and Social Security as he walks through the woods, says that would be the easy way to garner quick attention.

“We, as some of the bigger finance influencers, have a very real responsibility to make sure that we are not adding to the anxiety,” Gardner said.

He has instead been reaching for classic finance books such as Burton Malkiel’s “A Random Walk Down Wall Street.”

Where people go for financial advice, by generation



Note: Respondents could choose more than one category.
Source: Charles Schwab poll (conducted by Logica Research) of 1,000 adults aged 21–75 conducted March 4–18, 2024. An additional 200 Generation Z respondents completed the study.

Picking Up A Prize Bull Is a Battle

Continued from Page One

So when Grimmus’s private jet touched down here last month and he strolled into the barn at TD Angus ranch, all eyes were on him. Which one did he like?

Grimmus would keep them waiting.

After 283 bulls were scooped up, his prize came charging out onto the show ring. No. 284 had what he likes:



a longer neck, a chest that looks like it can add more weight, and a backside with a nice arch. Grimmus figured the bull could fetch as much as \$60,000, and he was prepared to pay up.

Sales like this one can make or break a rancher’s year, and as a result they are filled with the kind of tension and gamesmanship often associated with art auctions or the NFL draft.

In North Platte that day, the average selling price was about \$10,000, up from a year ago and double what it was seven years ago, according to the rancher running the sale, TD Angus owner Trey Wasserburger.

He and his wife, Dayna, spend hundreds of thousands of hours preparing his roster of bulls and putting together the catalog. They do ultrasounds on the bulls to compile

stats such as the marbling score, which determines the potential tenderness of a future cut of steak. Their paycheck comes once a year during the sale.

Ranchers pore through the data and analyze the images of a sales catalog. Rare is the bull that hits all the boxes based on his genes, frame and testicular fortitude. Scouts also look for intangible traits, such as if he looks “powerfully made” or has the requisite sass and swagger to spread his seed.

Shaun Loughery is a 6th-generation Nebraska rancher and part of the Milldale Ranch, one of the oldest running ranching operations in the state. He looks at the lineage of the bull, who his mother and father were, and for certain physical traits: not too big, with near-perfect feet for wandering around his 3,000 acres and large testicles that won’t freeze during the winter. It has to have “that look,” he said.

“You just know it,” he said. “He can’t be too tall, can’t be too small. We like them long. We like them deep.”

The day began at 8 a.m. when ranchers came early to scout the bulls in the pens before the auction started just after noon. Wasserburger, standing up front, introduced the day’s festivities, thanking his family and America’s cattle ranchers. “This is a special time in North Platte,” he said.

The sliding door moved to the side, releasing the first bull, which charged around the show ring while men and women in cowboy hats scribbled

◀ Ranchers look over the bulls at the TD Angus annual bull sale in North Platte, Neb., in March.

▶ Randall Grimmus flew in to the auction from California to try to snag bull No. 284.

notes. A slight hand raise is all that was needed to signal their bid.

Up close, auctions get messy. The bulls occasionally defecate, and if a tail swings at the right time, it flings it into the crowd like a killer whale splashing the onlookers at SeaWorld.

The auctioneer called out, “He’s a big, gentle bull” and “he’s deep and smooth, a Doc Ryan” as he started the bidding at \$5,000 before quickly climbing to \$15,000, \$20,000, \$40,000 and soon \$55,000. “Your man has to beat \$55,000, c’m on Randy,” he said, trying to get Grimmus to bid. Grimmus didn’t bite.

Ranchers try to squeeze competitors. Loughery sent his foreman into the bleachers to do the bidding so he wouldn’t get recognized and be bid against.

“Sometimes I will get emotional, I will get pissed and it will cost me thousands of dollars I didn’t intend to spend,” Loughery said. “In this business, these cowboys are awful prideful.”

Loughery bought two bulls that day, one for \$17,000 and another for \$9,000. He was outbid on his favorite by buyers from the West Coast. “Those guys were vicious,” he said.

He liked the mother of that particular bull. After being outbid for him, Loughery found a different one later in the sale that came from the same mother for a cheaper price.

The earlier bulls are the priciest and best ones. After the first few are sold, one rancher in the crowd stormed out, saying he “brought a knife to a gunfight.”

As the sale goes on, ranchers in



the crowd began to talk amongst themselves about which bull Grimmus had his eye on. When 284 arrived, he finally struck.

Once he started bidding, others followed, driving up the price. Grimmus once took a bull up to \$500,000 but didn’t buy him. This one didn’t go that high; Grimmus got his prize for \$45,000. The bull before it in the lineup went for \$7,000.

“A bull can pay for himself if he’s the right kind,” Grimmus said. He’s looking for a bull to breed with a dairy animal at his operation, allowing him to create beef and dairy hybrid calves.

After five hours and 400 bulls, the crowd thinned out and a makeshift bar emerged. Attendees who stuck around were rewarded with fresh cuts of steak off the grills, potato and salad sides, and Keystone beers and sodas in red Solo cups.

The following day, bulls were loaded into trailers with their new owners. The work for next year’s sale began.

LD PHOTOGRAPHY (2)



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ARTS IN REVIEW

THEATER REVIEW | CHARLES ISHERWOOD

Soaring Out of a Cave

‘Floyd Collins’ is a gorgeous musical about a man trapped underground

The magical elixir of celebrity proves unhelpful, and maybe even fatal, to the title character in “Floyd Collins,” the 1996 musical being produced on Broadway for the first time by Lincoln Center Theater.

In this adventurous, stirring show, with a beautiful score by Adam Guettel and a crisp but complex book by Tina Landau, who also directs (as she did the original production), the plight of a young cave explorer who gets trapped underground becomes a national sensation. But Floyd’s fate suggests that fame is not a cure for all that ails—an exotic notion in an era when amassing a social-media following seems to be the new American dream.

“Floyd Collins” is a stylistic outlier among Broadway musicals today. The tale it unfolds, based on events that took place in rural Kentucky in 1925, grows more bleak as the days tick by, and Floyd, played by Jeremy Jordan, remains wedged inside the cave. Even by the groundbreaking standards of the work of Richard Rodgers, Mr. Guettel’s grandfather—notably “Oklahoma!” and “Carousel”—the musical is painted in mostly dark hues. Floyd doesn’t even have a girl pining for him up above, although his devoted sister, Nellie, played by the singer-songwriter Lizzy McAlpine in a remarkable Broadway debut, is as anxious for her brother’s welfare as any girlfriend.

Mr. Jordan must be experiencing whiplash. He recently ended a run as the title character in the glitzy Broadway adaptation of “The Great Gatsby.” A musical in more stark contrast to the world of “Floyd Collins” is unimaginable. While the production has been scaled up for Broadway—filling the expansive Vivian Beaumont stage with minimalist sets by the design collective dots and handsome period costumes in muted tones by Anita Yavich—“Floyd Collins” remains an intimate tale for such a large theater, although the space has its aptly cavernous aspects. (The echoes of Floyd’s yodeling in the depths might need no enhancement.) A seasoned actor giving his



finest performance to date, Mr. Jordan provides the musical with an affecting emotional center. (It doesn’t hurt that his good looks are redolent of movie stars of the period.) Floyd hopes to bring his struggling family an upturn in its fortunes by finding a cave on a neighboring farm that might become a tourist draw. Mr. Jordan’s rich tenor brings arresting excitement to his songs, and he radiates buoyant spirit as Floyd makes his descent; even when he squeezes through a tight passage and becomes trapped, Mr. Jordan’s Floyd remains in good humor as attempts are made, with increasing

▲ **Jeremy Jordan, left; Lizzy McAlpine and Mr. Jordan, right; the show’s score is by Adam Guettel.**

desperation, to extricate him. The entire cast is superlative. As noted, Ms. McAlpine gives a touching performance as Floyd’s psychologically fragile sister. She shares a surpassingly lovely duet with the cabaret veteran Jessica Molaskey, as their stepmother, Miss Jane, and later, in the haunting song “The Dream,” urges Floyd to embrace his unhappy fate. Equally fine are Marc Kudisch as Floyd’s overwhelmed father,



and Jason Gotay as Floyd’s brother, Homer, who descends into the cave to keep Floyd’s spirits up. Mr. Gotay’s vibrant performance—as Floyd’s calamity gains attention, a movie director entices Homer with a promise of a film career—infuses the somber proceedings with energizing doses of brightness.

And as the ambitious journalist Skeets Miller, whose stories bring Floyd’s plight the national spotlight, Taylor Trensch gives a nuanced performance, as opportunism melts into compassion when he squeezes into the cave and strikes up an affectionate alliance

with Floyd. In a breathtakingly moving moment attesting to the accomplishment of Ms. Landau’s book, when Skeets prepares to depart after descending the cave for the last time, Floyd asks him for a kiss (a friendly one), sensing this may be his final contact with another human being.

In the second act, the subdued mood is enlivened as gawkers, hawkers and cynical jackdaw reporters descend upon the scene. The looming backdrop, previously colored in muted tones evoking the rural atmosphere, glows with lurid shades as Floyd’s increasingly dire predicament attracts a carnivalesque atmosphere—including the well-meaning but opportunistic engineer H.T. Carmichael (Sean Allan Krill), whose plan to dig a shaft only causes conflict and confusion.

Mr. Guettel, whose scores for “The Light in the Piazza” and “Days of Wine and Roses” have established him as among the most sophisticated composer-lyricists working today, in this early work drew on the sounds of country and bluegrass music with acumen. This staging features new, more symphonic orchestrations by Bruce Coughlin that are sometimes less idiomatic but more diverse, including dissonant piano and string arpeggios that heighten the tension as hopes for Floyd’s salvation become more tenuous.

Although its subject is inherently sad, “Floyd Collins” depicts the title character and his family with a tenderness that allows the musical to transcend any abiding sense of despair. Floyd’s final solo, “How Glory Goes”—one of Mr. Guettel’s most rhapsodic and best-known songs—is performed with a transfixing ardency by Mr. Jordan, and leaves you with a sense of spiritual uplift that, in contrast to similar climaxes in many musicals, feels not manufactured to manipulate the emotions, but absolutely authentic.

Floyd Collins
Lincoln Center Theater at the Vivian Beaumont, 150 W. 65th St., New York, 212-239-6200, closes June 22

Mr. Isherwood is the Journal’s theater critic.

ARTS CALENDAR

HAPPENINGS FOR THE WEEK OF APRIL 22

By WSJ Arts in Review Staff

Film

“The Accountant 2”
(April 25)

Ben Affleck’s forensic accountant is back to crunch numbers and bad guys. Director Gavin O’Connor and writer Bill Dubuque return with a sequel to their 2016 action thriller that sees the hero teaming up with his estranged brother (Jon Bernthal) to hunt down the assassins who killed someone close to a Treasury agent.



▲ Ben Affleck and Jon Bernthal in ‘The Accountant 2.’

show gets an onstage spinoff, which lands on Broadway after a successful West End run. Stephen Daldry directs this creepy tale about an Indiana town rocked by a spree of shocking crimes and one family’s confrontation with evil forces beyond their control.

“Pirates! The Penzance Musical”
(Todd Haimes Theatre, New York, April 24-July 27)

Roundabout Theatre’s New Orleans reimaging of

interracial couple and their historic case that struck down anti-miscegenation laws in America.

Art

“Sargent and Paris”
(The Met Fifth Avenue, New York, April 27-Aug. 3)

From the moment John Singer Sargent arrived in Paris in 1874, he was sure of his success. Over the next decade, he would go on to create some of his most iconic works, including the Met’s “Madame X,” which scandalized the Paris Salon when it was shown there. This show traces his time in the city and his travels outside of it—to Italy, the Netherlands, Spain and North Africa—to look at how the American painter was indelibly shaped by the City of Light.

Videogames

“Clair Obscur: Expedition 33”
(PlayStation 5, PC, Xbox Series X/S, April 24)

This turn-based RPG takes place in a dark, Belle Époque fantasy world in which players go on an expedition to defeat an evil force threatening to destroy humanity.

Last Call
“Paper, Color, Line: European Master Drawings From the Wadsworth Atheneum”
(Wadsworth Atheneum Museum of Art, Hartford, Conn., through April 27)

The Connecticut museum exhibits eye-catching drawings from its holdings, spanning centuries and featuring such artists as Gainsborough, Ingres, Courbet, Degas, Picasso and Miró. Our critic called the institution “a cultural gem” and said the show’s “drawings are largely stellar, unusual, historically important or all of the above.”

For additional Arts Calendar listings visit [wsj.com](https://www.wsj.com). Write to brian.kelly@dwsj.com.

The WSJ Daily Crossword | Edited by Mike Shenk

1	2	3	4	5	6		7	8	9	10		11	12	13
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- 29 Facing serious trouble
- 32 Subtly suggest
- 33 DDE’s command in WWII
- 35 Arizona city, or a nearby desert feature
- 36 Pops the question?
- 38 St. Louis landmark
- 39 Singer Bareilles
- 40 Inactive
- 45 Some scans
- 46 Bothers a bedmate, perhaps
- 47 Person discriminating against seniors

GOING SOLO | By Zachary David Levy

Across

- 1 Give a hard time
- 7 Calendar unit
- 11 Some corp. bigwigs
- 14 Holder of more than a thousand patents
- 15 “Plant of immortality,” to the ancient Egyptians
- 16 Rage
- 17 The massage therapist left the opera in awe, remarking: “___”
- 19 Conk out
- 20 “Didn’t I warn you?”
- 21 Poker table giveaway
- 22 Seasonal staffer
- 23 The butcher agreed: “___”
- 27 Descendants
- 30 Shoelace end
- 31 First-rate
- 32 Guardian spirits
- 34 Doctors’ org.
- 37 The plumber was overwhelmed: “___”
- 41 Have a bawl
- 42 Betray to the Feds
- 43 Work station
- 44 Ghana’s capital
- 46 Spicy dips
- 48 The mountain climber concurred: “___”
- 52 Head honcho
- 53 Oklahoma tribe
- 54 Astronaut Grissom
- 57 Bit of gear for a roadie
- 58 The general, wiping away tears, summed up the performance: “___”
- 62 Chinese “way”
- 63 Some corp. bigwigs
- 64 Grand home
- 65 Abbr. on a cornerstone
- 66 Phileas Fogg’s heading
- 67 Shorthand experts

Down

- 1 Gas station brand with an annual holiday truck
- 2 For two, musically
- 3 Paella base
- 4 Fire residue
- 5 Take the edge off
- 6 Shows of contempt
- 7 2008 Pixar film featuring a lonely robot
- 8 Two-time Super Bowl MVP Manning
- 9 Impossibly long stretch
- 10 Beer bash item
- 11 Blockbuster rentals
- 12 Do some sprucing up
- 13 Oozes
- 18 Title role for Will Ferrell
- 22 Common title starter
- 23 Frost in New England, e.g.
- 24 General rule
- 25 Worker’s relieved cry
- 26 Prune
- 27 Familiar phrases
- 28 Salmon variety

- 48 Subside
- 49 How to cry uncle in Ecuador
- 50 Friars Club event
- 51 Lawyer: Abbr.
- 54 FBI agent, informally
- 55 Not more than
- 56 Spike Lee’s “___ Gotta Have It”
- 58 Bartender’s “rocks”
- 59 Gossip, in slang
- 60 Mayday call
- 61 All-purpose vehicle, briefly

Previous Puzzle’s Solution

C	A	B	A	R	E	T	S		S	O	M	B	E	R
I	L	O	V	E	Y	O	U		P	R	A	I	S	E
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► Solve this puzzle online and discuss it at [WSJ.com/Puzzles](https://www.wsj.com/puzzles).

Theater
“Stranger Things: The First Shadow”
(Marquis Theatre, New York, opens April 22)
The hit sci-fi/horror TV

SPORTS

Shedeur Sanders Is Draft’s Big Mystery

The son of Hall of Famer Deion Sanders has emerged as one of this year’s top quarterback prospects—but one who has drawn a wide range of opinions on whether he can star in the NFL



By Andrew Beaton

Over the last two years, Deion Sanders has transformed Colorado into college football’s most unlikely must-watch team. And the player he tasked with overseeing that turnaround was a quarterback Sanders knew better than anyone: his son. From the moment he stepped on campus, Shedeur Sanders dazzled with his pinpoint accuracy as a previously lifeless program turned into one of the sport’s most entertaining products. Soon enough, it became clear that he wasn’t merely the son of an NFL legend. The younger Sanders was a bona fide prospect in his own right. But the strange part is that even though Sanders may be this NFL draft’s most thoroughly dissected player after a couple of years at the center of Coach Prime mania, he may also be its biggest enigma. The early stages of this draft aren’t expected to yield too many surprises. When the Tennessee Titans are on the clock with the first overall pick Thursday, they’re widely expected to take Miami quarterback Cam Ward. Penn State pass rusher Abdul Carter and Colorado two-way threat Travis Hunter, who starred



Shedeur Sanders, top, is one of the top quarterback prospects in this year’s NFL Draft. He is the son of Colorado coach Deion Sanders, above.

at both receiver and cornerback, will follow soon afterward. But where exactly Sanders will land has turned into the one question that has everyone flummoxed. For all the hoopla surrounding Sanders’s time at Colorado, his NFL future boils down to whether NFL teams believe he can be a franchise quarterback—and his time in college has produced a wider array of evaluations than any passer in recent memory. Sanders’s numbers establish him as one of the most accurate passers in college history. Yet, ironically for someone whose father possessed such otherworldly athleticism that he played in the NFL and MLB at the same time, Sanders’s biggest shortcoming might just be his lack of mobility in an age when that’s more prized than ever. For his part, Sanders’s sales pitch is simple: wherever he has gone, he has transformed losing teams into winners. “History repeats itself over and over and over,” he said, “and I’ve done it over and over and over.” Sanders also has a history of defying expectations. He wasn’t viewed as a can’t-miss, five-star prospect coming out of high school and started off playing for his dad at Jackson State, where he helped turn the Tigers into a juggernaut in the second tier of

Division I. He then transferred to Colorado when his father took the coaching gig there. That’s when Sanders got to test himself against better competition on a weekly basis. It’s also when he established himself as a future pro, albeit one not everyone is completely sold on. Sanders’s first year with the Buffaloes in 2023 got off to a roaring start when they won their first three games while averaging more than 40 points. From the get-go, when Sanders threw for 510 yards in a win over a ranked TCU team, he showed the type of accuracy that NFL coaches dream about. But when that season collapsed, with the team winning just one of its final nine matchups, it also exposed holes in Sanders’s game. For one, he took an extraordinary number of sacks,

71.8%
Shedeur Sanders’s completion percentage at Colorado

finishing the year with 53. While some critics pointed to the team’s offensive line deficiencies, others noted that he seemed to have a penchant for holding on to the ball a bit too long. Sanders improved this past year, leading Colorado to nine wins. For most of the season, he was viewed as neck-and-neck with Miami’s Cam Ward to be the top quarterback taken in the draft. And in many ways, Ward’s free-wheeling style provided a contrast for the biggest concern NFL evaluators have about Sanders: his lack of speed. As Sanders finished his two years at Colorado completing a record 71.8% of his passes, he demonstrated a clear talent to pass from the pocket but not the ability to make big plays with his legs. And the prospect of going up against bigger and faster players in the NFL has only fueled doubts about his ability to stay upright at the next level. What figures to be answered on Thursday is which team will try to build its future around a player who profiles as an old-school pocket passer. Plenty of teams near the top of the draft are searching for a long-term solution at the game’s most important position, beginning with the Cleveland Browns at No. 2. The New York Giants, who just had Sanders in for a private workout, hold the third selection. Many pundits have Sanders pegged for the New Orleans Saints at No. 9. But there’s enough uncertainty around him that nothing is out of the question. That could be a team trading up to nab him—or seeing him tumble.

Jason Gay

NBA’s Most Dominant Team Gears Up for a Long Run



One of the more obnoxious (but predictable) rituals that occurs whenever a sports team from a Midwest or medium-size city starts having success is the performative hand-wringing over what would happen if said sports team started reaching championships—i.e. would it repel casual viewers, sink TV ratings, be bad for the sport overall, and oh no, oh dear, blah, blah, blah. The groaning reeks, naturally, of coastal bias—the irritating notion that sporting events don’t mean much until coastal California or the Acela corridor is involved. But the bias often gets reinforced by media coverage (itself largely coastal), and, after a while, it starts to curdle into a wide concern, even if it’s mostly absurd. This is a long way of saying that the Oklahoma City Thunder have been the best basketball team in the NBA this season, and I can’t wait to see what they do in these freshly-launched playoffs. I dare anyone not currently losing to the Thunder to not be entertained by the Thunder. And if you think OKC’s ascension would be bad for basketball, you should be forced to sit behind Shaquille O’Neal as he slowly drives a Mini-Cooper cross-country. Formerly the SuperSonics of Seattle, once ascendant as the launchpad of Kevin Durant and Russell Westbrook, the Thunder spent the early part of this decade back on the NBA’s ocean floor to

reassemble their basketball outfit, and the rebuild is paying off. This season OKC, which plays in the competitive Western Conference, won 68 games—the most wins in more than 50 years by a club that didn’t have Michael Jordan or Steph Curry on it. As the Journal’s basketball maestro Robert O’Connell wrote the other day, in terms of “net rating”—a respected metric of offensive and defensive excellence—the 2024-25 Thunder’s only statistical equal are those peak Jordan Bulls. The Thunder’s 12.9 point average margin of victory? The highest in league history. Another way of putting it: These dudes are really, really good. On Sunday, in Game 1 of their first-round playoff series, Oklahoma City defeated Memphis 131-80. I promise you, that was the real score. Memphis rushed out to a 4-0 lead, and that was more or less that for the grisly Grizzly highlights. OKC led 68-36 at the half, 112-63 after three quarters, and I’m surprised Memphis didn’t ask right then for a bus to come take them home. It was the largest Game 1 pummeling in NBA playoff history, and evidence of what we already knew: These Thunder are primed and ready. The centerpiece is Shai Gilgeous-Alexander, a smooth-playing 26-year-old Canadian who led the league in scoring this season (32.7 points per game) and is



Shai Gilgeous-Alexander averaged 32.7 points per game to lead the NBA.

in a 1-2 race with Denver’s Nikola Jokic for Most Valuable Player. “SGA,” as he’s known, is favored to win. Gilgeous-Alexander is a star with no pronounced weakness—he’s talented as a shooter and finisher, from close and deep, and he gets his teammates involved. He plays good defense, takes oodles of free throws (and makes them), and, for opposing fans, has reached the status of That Guy You Don’t Want to See With the Ball in His Hands in the final minute. The problem is: OKC is deep. And big. And young (they possess the NBA’s youngest roster). Coached by Mark Daigneault, they play better defense than any team in the league, which means that even if SGA has an off night

(which is hardly ever), the Thunder can beat you defensively or with talent like Jalen Williams and Chet Holmgren to Aaron Wiggins to Lu Dort to Isaiah Hartenstein and Joe to Cason Wallace to Alex Caruso to... It feels like I’m ticking off the entire roster, but that’s what playing OKC is like. They’re like a wave pool. They keep coming, tall and short, fast and slow. They play varied basketball! They shoot the 3 like everyone, but don’t treat a midrange shot like it’s poison. Now they’re onto the Prove It stage. The Thunder occupy a similar airspace to last year’s Boston Celtics, another deep and historically-talented outfit that had to win a title in order to shed nagging doubts. It’s OKC’s time to prove it. In

2023-24 Oklahoma City finished with the best record in the conference, then lost in the second round to a peppy Dallas team led by (handkerchief, please) Luka Doncic. This year, anything less than a championship (appearance) will be seen as a bummer. They’ll have lots of competition. In the West there’s Golden State, who beat Houston on Sunday night, plus Denver, the Los Angeles Clippers and of course the Minnesota Timberwolves, who play with a chip on the chip that’s already on their shoulder, and seldom back down from anyone. Then there are the Lakers, who are practically a media adjunct at this point, with all the hourly obsession and chronicling of LeBron James, Luka Doncic and various Showtime machinations. No doubt they move the needle, but the Lake Show looked mortal to muscular Minny this weekend. Does LeBronic have the gas for a run? In the East, two teams are pronounced favorites: Boston and conference-winning Cleveland. OKC went 2-0 against the Celtics in the regular season; it split with the Cavs. Those numbers are meaningless in June. What matters more: depth, defense, health. All areas where OKC thrives. Ignore the performative whiners and coastal bias. Some people complain just to complain. Watch Oklahoma City. The Thunder are coming, like it or not. I say: What’s not to like?

OPINION

The Misunderstood Pontiff



GLOBAL VIEW
By **Walter Russell Mead**

Pope Francis’ death concludes the most misunderstood pontificate in modern times. Hailed by some as a progressive reformer, and attacked by church conservatives as an iconoclastic revolutionary, Francis’ approach to the Catholic Church resembled the credo of the nobleman Tancredi Falconeri in Giuseppe Tomasi di Lampedusa’s novel “The Leopard.” Everything must change so that everything can remain the same, Falconeri says, to explain his embrace of Garibaldi’s revolutionaries during the wars of Italian unification. This spirit of conservative reform guided Francis right up through the closing hours of his reign.

Francis’ elevation to the papacy was itself Falconerian. The last pope born outside Europe had been the Syrian-born Gregory III, who died in 741. The election of a native Argentine was widely hailed as a break with more than 1,000 years of a European monopoly on the papacy, and a sign that a modernizing church was turning outward toward the non-European, non-Western world.

Reality was less simple. Francis was as European as a non-European can be, and his election brought the papacy home to its Italian roots. When John Paul II was succeeded by Benedict XVI in

2005, this was the first time since Gregory XI followed Urban V in 1370 that two non-Italians in a row had served as bishop of Rome. For Italian prelates unhappy with this shift, the Argentine-born Jorge Mario Bergoglio was a godsend. The son of Italian immigrants, Bergoglio spoke Italian at home as a child and was a citizen of the Global South who was legally eligible for Italian citizenship. Everything had changed, and everything remained the same.

The job has its perks, but no Roman pontiff can expect an easy life. With about 1.4 billion members and a substantial presence on every inhabited continent, the Church of Rome is the world’s largest single religious organization, and its inner divisions and disputes mirror those of the rest of the world. Mostly wealthy and socially liberal churches in Europe and North America face demographic decline and chronic shortages of priests. Feminists in these countries resent what they see as outmoded ideas like an all-male priesthood, while many seek changes in traditional church teaching on matters of sexuality, marriage, birth control and abortion.

In Latin America, where the church enjoyed centuries of dominance dating back to the colonial era, Pentecostal and evangelical movements have eroded the Catholic Church’s base among the masses, while more-affluent families have become more secular. Burgeoning Catholic populations across Africa and

much of Asia brighten the global outlook for the church but raise financial and pastoral issues as well. African Catholics in particular (like African Protestants) tend to be much more theologically conservative than their coreligionists in Europe and North America.

Keeping this large and fractious flock together is a tough assignment. Pope Francis approached it in three ways.

Francis was hailed as a progressive reformer and also attacked as a revolutionary.

First and foremost, he revolutionized the presentation of the papacy. Francis’ papacy was one for the poor and the marginalized. He shunned luxury and criticized the affluent lives of wealthy churchmen. He spoke compassionately to those who felt excluded or left behind. He was a charismatic leader who could speak to the hearts of his listeners.

Yet to the disappointment of many progressives, the pope was careful not to cross what he considered doctrinal red lines. He tweaked some pastoral guidelines but whether the topic was ordaining women to the priesthood or changing established teaching on homosexual behavior, Francis didn’t budge.

Second, he complemented this stance with a political approach that was critical of

what he considered the inhumane system of liberal capitalism. Drawing on a rich tradition of antimarket teaching (the Inquisition once included Adam Smith’s “Wealth of Nations” on its index of books that most Catholics were forbidden to read) Pope Francis sought to place the church on what he believed was the side of the poor. Aligning the church with the economic left, Francis hoped, would enhance its popularity both in the doctrinally conservative but economically poor Global South and in the wealthy but guilt-ridden liberal North.

Third, Pope Francis sought to modernize and rationalize the church. At his accession, the Vatican had the oldest and arguably the most labyrinthine bureaucratic structure in the contemporary world. Only time will tell whether Francis’ reforms prove effective and lasting, but his attempt to eliminate fiefs and streamline the church’s operations was much-needed and courageous.

The church Pope Francis leaves behind looks very much like what Falconeri wanted for Sicily. Appearances have changed, sometimes dramatically, but the heart of the institution remains what it was.

Francis did not solve the church’s financial problems or harmonize its inner tensions, but he avoided major schisms and weathered the inevitable scandals in reasonably good shape. Many popes have done less; only a handful did more. His successor will soon discover whether it was enough.

BOOKSHELF | By Melanie Kirkpatrick

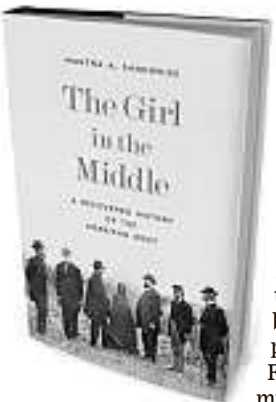
Conquest and Sacred Ground

The Girl in the Middle

By **Martha A. Sandweiss**
Princeton, 368 pages, \$32

When considering the sad history of Native Americans’ interactions with white newcomers to North America, “peace” isn’t a word that springs to mind. The record is fraught with violence, from the 17th-century King Philip’s War, which nearly wiped out the Native Americans of New England, to the Trail of Tears, Little Big Horn and other tragedies in subsequent years.

Violent conflicts with Plains Indians increased sharply around the middle of the 19th century, as white settlers traveled deep into Indian Country, threatening the territories and natural resources of Native Americans. In response, Congress in 1867 organized a federal Peace Commission. Its mandate was to “remove the causes of war,” secure the frontier settlements and the emerging railroad lines, and devise a plan for “civilizing” the Native Americans—which is to say, push them onto reservations in the expectation that they would eventually be assimilated into mainstream American society. The Peace Commission met with tribal leaders at Fort Laramie, a remote military outpost in what was then the Dakota Territory and is now Wyoming.



remote military outpost in what was then the Dakota Territory and is now Wyoming.

In “The Girl in the Middle,” Martha Sandweiss uses the Peace Commission as a springboard to examine the transformation of the West and, especially, the lives of Native American and mixed-race people who lived in the Northern Plains. Her deeply researched book takes its title from an arresting black-and-white photograph of the peace commissioners gathered at Fort Laramie in 1868. Six men, in military and civilian apparel, are

lined up on either side of a petite Native American girl who is wrapped in a blanket. The men are identified in pencil markings under the photo, but the child is unnamed. In “The Girl in the Middle,” Ms. Sandweiss, a professor emerita of history at Princeton University, recounts her long quest to discover the girl’s identity and life story. “Who is she?” the author asks. “Why is she there?”

Before answering these questions, the author profiles at length two men involved with the Peace Commission: Alexander Gardner, the photographer who took the picture that inspired the book, and Gen. William Harney, a cavalry officer in the Union Army during the Civil War and a member of the commission. While we learn the girl’s name and parentage early on—she is Sophie Mousseau, born in 1860 to a French-Canadian trader and an Oglala Lakota named Yellow Woman—that’s about all we’ll know about her until the book’s final chapters.

The Scottish-born Gardner immigrated to the U.S. in the 1850s, learned the photographic trade and went to work managing the studio of the better-known Mathew Brady. Like Brady, Gardner gained fame for his work during the Civil War. Ms. Sandweiss calls his photographs of the bloated corpses piled up on abandoned battlefields “a blow to the gut.” He also produced 38 portraits of President Lincoln, who would stop by Gardner’s studio in Washington, D.C. Thanks to a contact in the Secret Service, Gardner photographed the conspirators behind Lincoln’s assassination, first when they were in federal custody and then, Ms. Sandweiss describes, “as they swung from a hangman’s noose.”

She was the daughter of a French-Canadian trader and an Oglala Lakota woman, a witness to an era of sweeping, painful change.

After the war, Gardner headed west, documenting the laying of railroad tracks in Kansas, photographing tribal leaders and capturing everyday domestic scenes in the encampments surrounding Fort Laramie, where 9,000 Native Americans had set up temporary accommodations for the commission. Gardner understood that his photographs were preserving the memory of tribal cultures that were fast disappearing.

Commissioner Harney was a seasoned military officer with long experience fighting Native Americans around the country. He carried with him a reputation for cruelty and abuse, not least because of his murder of a young female slave named Hannah whom he whipped to death in 1834 in St. Louis. The Lakotas called him “Woman Killer” for the massacre he led against the women and children of a Native American village in 1855 at Blue Water Creek, in present-day Nebraska.

Ms. Sandweiss is an elegant writer who knows how to craft a satisfying story. But she is easily distracted, allowing the narrative to veer off track and burdening the reader with an overload of detail.

It is a relief, then, when we finally arrive at the promised story of the girl in the middle of the photograph. Sophie, who gave birth to 13 children, sits at the heart of a large, mixed-race family that bridged the white and Native American worlds. She spoke English, French and Lakota, lived on and off the Great Sioux Reservation, and transitioned back and forth between cultures. Her first husband was an Irish-born teamster; her second husband was a mixed-race performer in an Indian “medicine show.”

Sophie also stands at the center of “a sweeping story about the transformation of the West in the decades after the Civil War,” Ms. Sandweiss writes. The lives of Sophie’s family members provide stories “about entrepreneurial capitalism, western expansion, the forced dispossession of Native peoples, the shifting politics of race, and the emergence of a government bureaucracy.” Sophie’s children followed various professional paths—interpreter, scout, rancher, farmer. Her son, James Ryan, was one of the first Native Americans to earn a law degree and possibly the first to become a judge.

At the Peace Commission, tribal leaders agreed to settle on reservations and not attack trains or travelers going west. The government, in turn, promised to close some military forts, establish schools on reservations and provide food rations to compensate for the Native Americans’ loss of hunting grounds. It was a step toward the debilitating dependency on the federal government that still disables Native Americans today.

In less than a decade, the treaties negotiated by the Peace Commission came undone as the U.S. went back on its pledges. The most notable failure was the agreement over the Black Hills, a sacred site that had been ceded in perpetuity to Native Americans. Congress unilaterally took back the Black Hills in 1877 and officially opened the land to gold mining. The Peace Commission would go down in history as another tragedy for Native Americans.

Ms. Kirkpatrick, a former deputy editor of the Journal’s editorial page, is a senior fellow at the Hudson Institute.

By **Linda McMahon**

President Biden never had the authority to forgive student loans across the board, as the Supreme Court held in 2023. But for political gain, he dangled the carrot of loan forgiveness in front of young voters, among other things by keeping in place a temporary Covid-era deferment program. Thus the Education Department allowed students to rack up a massive debt that is now long past due.

Between 2021 and 2024, federal student-loan debt increased by more than \$60 billion a year, while the department manipulated repayment plans and forgiveness policies until only 38% of the student-loan portfolio was in repayment. This is unsustainable for both students and taxpayers.

I am announcing the end of this dishonest and irresponsible policy. We will conform the department’s repayment options to federal court decisions and end the Biden-era practice of zero-interest, zero-accountability forbearances that are pushing borrowers into loan delinquency and default. On May 5, we will begin

the process of moving roughly 1.8 million borrowers into repayment plans and restart collections of loans in default. Borrowers who don’t make payments on time will see their credit scores go down, and in some cases their wages automatically garnished.

We’re ending a Covid-era deferment plan that Biden kept in place far too long.

Why? Not because we want to be unkind to student borrowers. Borrowing money and failing to pay it back isn’t a victimless offense. Debt doesn’t go away; it gets transferred to others. If borrowers don’t pay their debts to the government, taxpayers do.

Student loans must always be paid back because they are unlike other types of consumer loans. If a borrower stops paying a mortgage or a car payment, he will go into foreclosure or find his car repossessed. Student loans have no collateral. It is impos-

sible to repossess a college degree. That’s why they are very rarely discharged even in bankruptcy.

That’s the hard truth for borrowers. But I have another hard truth for the institutions that made empty promises to students while pocketing their loan dollars.

Colleges and universities call themselves nonprofits, but for years they have profited massively off the federal subsidy of loans, hiking tuition and piling up multibillion-dollar endowments while students graduate six figures in the red. A widely cited 2015 study found that for every dollar of increased federal caps on subsidized loans, colleges raised tuition by 60 cents.

Many of the degree-granting programs that qualify for student loans are worthless on the job market, but colleges continue to accept students to these programs and encourage them to borrow to pay for them. Accountability is a two-way street. As we push to hold student borrowers to account, we will also push colleges to be responsible and transparent.

If you are a student bor-

rower with a federal loan balance and haven’t been making payments, you must restart payments now. Our Federal Student Aid office is providing every form of assistance we legally can to ensure that a monthly payment can fit into your budget. We recently extended the FSA call-center operations with weekend hours to ensure that your individual questions can be answered. We are updating the loan simulator to help calculate your easiest repayment plan. We also provide an advanced AI assistant, Aidan, to help pinpoint your best financial strategy.

As we plan for the department’s future, we won’t leave the loan portfolio in disarray. We are committed to ensuring that borrowers are paying back their loans, that they are fully supported in doing so, and that colleges can’t create such a massive liability for students and their families, jeopardizing their ability to achieve the American dream.

Ms. McMahon is U.S. education secretary.

William McGurn is away.

Francis Was a Shepherd, Not a Reformer

By **Matthew Hennessey**

The media will lionize Pope Francis as a reformer, but that isn’t right. To make lasting change in an institution, you need institutional skills. Francis’ disposition was pastoral, not administrative.

In the Catholic Church, political power is concentrated in the Roman curia—the practically invisible coterie of busybodies, many of them high-ranking clergy, who administer the vast Vatican bureaucracy. The curia is staffed largely by Italians. Francis was an outsider from faraway Argentina, which put him at a disadvantage in his own house. He had no interest in the material trappings of power, forswearing the famous bling of the papacy. He preferred to live not in the luxurious papal apartments but in a simple room in the hotel on the Vatican grounds.

Francis was a shepherd. He had the smell of his sheep about him. The manipulators and inside players of the Roman curia ate him for lunch. He didn’t reform them; they reformed him.

Vatican intrigues and curial infighting happen mostly in the dark. The church is by nature insular and secretive. Bishops are loyal to the pope, even when they don’t agree

with him. Priests are loyal to their bishops in the same way. Journalism, the standard check on bureaucratic abuses in an open society, has difficulty penetrating the Vatican’s thick walls. Catholic journalists have their own loyalties. They tend to pull their punches for fear of hurting the church they love.

For Catholics of a conservative disposition, Francis’ papacy was a bumpy ride. It began with the shocking resignation of his orthodox and stalwart predecessor, Pope Benedict XVI. It ended with a manufactured

He found himself outmatched by the curia, as the Vatican bureaucracy is known.

mini-controversy about his supposed snubbing of Vice President JD Vance. In between there was frequent confusion, many casual slights and a handful of indefensible betrayals.

Pope Francis blessed a series of disgraceful accommodations with communist China, which brutalizes its Christian population. Faithful Catholics who had sustained underground churches at serious risk to their lives felt abandoned by the Vatican’s willing-

ness to make nice with their persecutors. Untold numbers of Chinese Catholics are wasting away in Chinese prisons. Jimmy Lai is only the most well-known.

Francis’ China policy was essentially the reverse of the approach taken by Pope John Paul II to the Soviet Union. It’s hard to believe that he crafted it himself. While Francis was a frequent critic of free-market capitalism, he acquired as the bishop of Buenos Aires a reputation as a staunch anticommunist. The likeliest scenario is that powerful Vatican officials convinced him that a diplomatic opening to China was in the church’s long-term interest. It was a mistake that will stain his legacy.

Among the most shameful episodes of the Francis papacy was the railroading of Australian Cardinal George Pell. Francis asked Pell in 2014 to come to Rome to reform the Vatican’s tangled, scandal-plagued finances, putting him on a collision course with curial power. In 2017 Pell was accused of committing a barely believable series of sexual crimes in the 1990s and returned to Australia to defend himself. Pell was convicted and spent 404 days in solitary confinement—deprived even of the materials necessary to say daily Mass. Australia’s High Court overturned Pell’s convic-

tion in 2019 and he was freed. Pell, who died in 2023, speculated publicly that his curial enemies had set him up.

Francis failed Pell. A plugged-in pope with control over the Vatican bureaucracy would never have allowed such a naked injustice to occur on his watch. Corruption among the curia was at least part of the reason Benedict resigned in the first place. Francis was unable to excise the rot. He was no reformer.

It took some time for Francis to adjust to being pope. In ungarded moments early in his papacy, he was blunt and unforgiving about the rigidity he perceived among tradition-minded Catholics. He chastised Catholic couples for thinking they needed to “breed like rabbits.” He punished conservative bishops for their “backward” and “narrow” views.

When asked whether homosexuals could be Catholic priests, he made an off-the-cuff remark that will be his legacy, for good or ill: “Who am I to judge?” He was the pope, the Roman pontiff. For believing Catholics he was the vicar of Christ on earth.

But he was no reformer. May perpetual light shine upon him.

Mr. Hennessey is the Journal’s deputy editorial features editor.

OPINION

REVIEW & OUTLOOK

The Fire Powell Market Rout

If the White House wanted a test of how firing Jerome Powell would go over in the markets, it succeeded on Monday. U.S. stocks and the dollar plunged while yields on long-term Treasurys climbed after President Trump renewed his attacks on the Federal Reserve Chairman.

Monday was the first full trading day for markets to absorb National Economic Council director Kevin Hassett's comments Friday that the White House is studying if Mr. Powell can legally be fired. On Monday Mr. Trump demanded again that Mr. Powell make "pre-emptive" interest rate cuts to avoid a slowdown. Cue the meltdown in stocks, bonds and the dollar, a trifecta of declining confidence.

Mr. Trump is furious that Mr. Powell has said publicly that tariffs will likely lead to higher inflation and slower growth. Mr. Trump conceded the growth point on Monday, lambasting Mr. Powell: "There can be a SLOWING of the economy unless Mr. Too Late, a major loser, lowers interest rates, NOW."

Markets fear Mr. Trump really might fire Mr. Powell, not that it would do the President any good. He'd have to remove more than the Chairman to change the Federal Open Market Committee, which sets interest rates and tries to satisfy the central bank's dual mandate of maximum employment and stable prices.

Mr. Trump can't fire the regional Fed bank presidents on the committee, and all 12 voting members of the FOMC seem to agree with the Fed's recent policy moves. A Powell replacement would also have a harder time establishing credibility with markets.

The same goes if Mr. Trump were to name a "shadow" Fed Chairman who would be expected to comment on the central bank's every move between now and May 2026 when Mr. Powell's term expires. This is a recipe for more market uncertainty. Whose forward guidance should investors follow, Mr. Powell's or his replacement's?

The Powell Fed's policy is hardly tight in any case. He's in the process of ending quanti-

tative tightening by no longer shrinking the Fed balance sheet, which amounts to easing. His public message is that the tariffs make fulfilling the Fed's twin mandates more difficult. That's undeniably true.

The tariffs will cause at least a one-time increase in the price of tarified goods, which may become more entrenched if the Fed accommodates them by cutting rates. Meanwhile, they are increasing uncertainty for businesses and consumers, which will slow the economy and hiring.

Mr. Powell stands ready to cut rates if the economy shows more weakness, even though inflation is still above its 2% target. The Fed's preferred inflation index of personal consumption expenditures rose 2.5% on an annual basis in February, and 2.8% excluding food and energy. That's not "virtually No Inflation," as Mr. Trump said Monday on social media.

Mr. Trump thinks he can bully everyone into submission, but he can't bully Adam Smith, who deals in reality. Markets know tariffs are taxes, and taxes are anti-growth. The Trump tariffs are the biggest economic policy mistake in decades, and extending the 2017 tax reform and deregulation may not compensate for all the damage.

There are also fears that if tariffs fail to reorder the global trading system, Mr. Trump might impose a fee on Treasury debt as chief White House economist Stephen Miran has proposed. This would amount to a partial U.S. default since it would cut the rate of return. Think Treasury yields are rising now? Watch what happens if a Miran fee is imposed.

All of this is tempting economic fate and contributing to a global "sell America" narrative in financial markets. That's why the dollar is under pressure. Smart Presidents pay attention to market signals and adapt. The adaptation now would be to negotiate a quick end to the tariff barrage. Claim some trade-deal victories, and call it a day.

But markets are spooked because they don't know if Mr. Trump listens to anyone but his own impulses.

Investors render a verdict on tariffs and politicizing the Fed.

The Hegseth Pentagon Chronicles

No doubt the Beltway press would love to knock Pete Hegseth out as Defense secretary, but that doesn't come close to explaining the mess at the Pentagon. The staff infighting, dismissals, and leaks over Signal app chats look to be the self-inflicted mistakes of a management neophyte.

Three advisers were dismissed last week and hit social media to claim ill-treatment. Another departed adviser published an account of what he called "a month of total chaos at the Pentagon" in Politico. According to multiple media accounts, Mr. Hegseth ran a chat on the Signal messaging app that discussed a military strike and included his wife and other associates.

Sen. Tom Cotton quipped on social media that President Trump won't be taking staffing advice from Politico, and that is for sure. Mr. Hegseth was typically dismissive. "A few leakers get fired and suddenly a bunch of hit pieces come out, from the same media that peddled the Russia hoax," Mr. Hegseth said Monday.

But the media didn't make up the staff turmoil, or the embarrassing Signal chat that Mr. Hegseth didn't deny. Can you imagine Bob Gates

talking about a military strike on an app with friends and family?

All of this is news because it relates to whether Mr. Hegseth can handle the job. As GOP Sen. Mitch McConnell warned in voting against Mr. Hegseth's confirmation, the desire to be a change agent isn't a sufficient credential to run the giant Pentagon bureaucracy.

If Mr. Hegseth is wise, he'll use the staff shakeup to hire some loyal grownups who know the building, instead of the self-promoting isolationists he first brought in. What is harder to know is how much these first two months on the job have hurt Mr. Hegseth's credibility inside the military. His calling card is enforcing high standards and accountability at every military level. He's relieved several general officers to make his point, sometimes firing indiscriminately without checking his scope. Is the secretary accountable himself?

President Trump gave Mr. Hegseth a vote of public confidence Monday. But it's no credit to either man that the Defense chief has spent his first weeks in office validating the confirmation concerns of his critics.

The Defense secretary is validating the concerns of his critics.

Pope Francis, 1936-2025

When Jorge Mario Bergoglio was elected the 266th pope in 2013, it marked a series of firsts. He was the first Jesuit pope and, as an Argentine, the first in centuries from outside Europe. Yet his legacy as Pope Francis, who died on Easter Monday at age 88, was disappointing even on the priorities he set for his papacy.

Pope Francis was best known for urging concern for the poor, in the best Christian tradition. He called for a clergy of "shepherds who have the smell of their sheep"—that is, priests and nuns who shared the suffering of their neighbors. He made support for the weakest among us the rhetorical centerpiece of his papacy. He brought a public informality and openness to the Vatican.

Alas, Pope Francis believed ideologies that keep the poor in poverty. One of those earthly dogmas is radical environmentalism, which isn't about keeping the earth clean for human beings but keeping the earth for itself and treating man as the enemy.

In one of his first writings as pope, *Laudato Si'*, Pope Francis cited air conditioning as an example of the "harmful habits of consumption" that will lead to mankind's self-destruction. He didn't seem to realize that escaping poverty requires greater energy consumption.

His papacy was marked by anti-Americanism, and not merely against Donald Trump. He seemed to believe that Latin America is poor because the United States is rich. That's a recipe for stagnation and despair because the real reasons so many in Latin America languish in poverty are at home: Lack of the rule of law, business-government collusion, protectionism, and other barriers to human flourishing.

Some attribute his hostility to free markets to his Latin American background. Born in Buenos Aires, Pope Francis at a young age was made the provincial superior for the Jesuit order in Argentina during the time of the military junta. This was a hard line to walk, and some in his order accused him unfairly of being too friendly with the regime.

Argentina for much of his life was dominated by Peronism, a brand of left-wing populism named for Argentine President Juan Peron. When Bergoglio looked around, he saw corruption and the rich doing very well as their fellow countrymen languished in poverty. Perhaps it was understandable that he confused Argentina's corporatism with capitalism.

Less forgivable was his deal with Beijing as pope that gave the Communist Party influence in the choice of bishops. Conditions for Catholics in China have worsened, though the Vatican has renewed the kowtow several times. The Vatican has stayed silent on the plight of publisher Jimmy Lai, who is China's best-known imprisoned Catholic.

Unlike his two immediate predecessors—John Paul II and Benedict—Pope Francis was from the progressive wing of his Church. He punished traditionalist bishops who disagreed with his direction, and he has populated the cardinal ranks with fellow progressives.

The irony is that this progressivism is most popular in places like Europe where the Sunday pews are empty. The Church is thriving in Africa and among younger orthodox Catholics in the West looking for meaning in life beyond material consumption. The cardinals who will choose the pope's successor will help determine which future they want for the Church and the world's 1.3 billion Catholics.

He championed the poor while favoring ideas that keep them poor.

LETTERS TO THE EDITOR

Why Should Racial Exclusion Be Tax Exempt?

Howard Husock is right to applaud the Gates Foundation's decision to end race-based restrictions in its scholarship program (Letters, April 17). But many observers of philanthropic endeavors will quibble with his suggestion that the Internal Revenue Service remain passive in the face of similar discriminatory policies by other tax-exempt organizations.

The legal foundation for IRS oversight is well-established. In *Bob Jones University v. United States* (1983), the Supreme Court upheld the IRS's revocation of a university's tax-exempt status because its policies violated "fundamental public policy." The court ruled that racial discrimination is incompatible with the public good, even absent a specific federal statute prohibiting it. That decision didn't rely on the 1964 Civil Rights Act; it relied on the IRS's long-standing interpretation of a 70-year-old federal statute that established tax exemption under §501(c)(3).

In *Students for Fair Admissions v. Harvard* (2023), the court ruled that educational institutions—public and

private—must not discriminate by race. These decisions collectively confirm that racial exclusion isn't a permissible "charitable" activity. Moreover, regardless of the Harvard case or any subsequent litigation, numerous federal, state and local laws have long banned racial discrimination by public and private actors alike.

Mr. Husock is concerned about politicizing the IRS. His worries are justified considering the agency's history of targeting organizations that were allied with the "Tea Party" movement. But it isn't politicization to enforce settled law. Just as the IRS was right to deny tax-exempt status to institutions practicing segregation in the 1970s, it is right today for the agency to ensure that nonprofit organizations don't discriminate under the pretext of "diversity" or "equity."

Equal treatment under the law isn't a partisan issue. It is a constitutional imperative that the IRS has the authority and duty to uphold.

EDWARD BLUM
American Alliance For Equal Rights
Tallahassee, Fla.

Science Suffers With Trump's Funding Freeze

The White House's ultimatum to Harvard threatens to dismantle the federal-academic partnership that has fueled American innovation for decades ("Donald Trump Tries to Run Harvard," Review & Outlook, April 16). The administration's demands—including auditing the viewpoints of students and faculty and mandating hiring based on ideological litmus tests—represent an unprecedented intrusion of government power into academic independence. The university had no choice but to resist, which triggered a \$2.2 billion funding freeze, halting vital research into diseases like tuberculosis and ALS.

The timing couldn't be worse. America's scientific leadership is already in decline. Recent data from the 2024 Nature Index, a measure of high-quality scientific output, reveal a troubling development. Five years ago, U.S. universities dominated these rankings. Today, Chinese universities occupy nine of the top 10 positions. Only one American university, Harvard, remains.

One of us (Prof. Strominger) in 1948 urged the formation of a national science foundation to secure America's scientific independence. That happened two years later—and, since then, with bipartisan support the U.S. has secured scientific independence and global leadership through sustained federal investment in basic research.

We have both witnessed how such investment has brought extraordinary returns. The discoveries treating cancer and diabetes originated from basic research conducted de-

cades ago. Their applications couldn't have been predicted at the time.

Industry alone can't sustain the unpredictable explorations of natural phenomena essential for driving future innovation. Neither can income from university endowments. Our biomedical research programs are supported almost entirely by National Institutes of Health grants. These are multiyear projects that are planned and budgeted for at each step. A sudden funding freeze would force us to halt the recruitment and training of brilliant scientists, abandon purchasing cutting-edge equipment and dramatically curtail our experiments at the threshold of treatments for neurodegenerative diseases and aging. The effect would be to harm millions of Americans awaiting these medical advances. A full implementation of Mr. Trump's goals to reduce NIH funding could result in the permanent loss of our funding and shuttering of our labs.

America's scientific enterprise demands reliable stewardship, not destabilizing political intervention. Our health, economic prosperity and scientific self-determination depend on responding decisively to this threat. If we let the federal government use science funding as a weapon to control academic discourse and priorities, we risk becoming exactly what we sought to avoid in 1948: a nation dependent on others for the scientific knowledge that shapes our future.

STIRLING CHURCHMAN & JACK STROMINGER
Harvard University
Cambridge, Mass.

Why Young Men Should Shirk Manufacturing

As much as I admire Allysia Finley's work, I'm afraid she misses a key point in her column "A Good Man for U.S. Manufacturing Is Hard to Find" (Life Science, April 7). It's true: We need to revitalize manufacturing in the U.S. and rebuild the Navy and our shipyards. Work in the trades in most cases is well-compensated compared with the wage-earning power of a bachelor's degree in many disciplines. As a longtime conservative, mechanical engineer and former Navy engineering duty officer, I find working with my hands and head most enjoyable and productive. But I can't recommend it to young men today, because working in a factory or shipyard often requires joining a union, which are mostly controlled by left-leaning liberals. My own experience in naval shipyards showed me that a job that could have been completed by a trained electro-mechanic in a few hours took days or sometimes weeks thanks to

union trade rules. Ship construction and repairs are chronically late and overbudget as a result.

We need to reinvestigate our industrial base, but taxpayer-provided funds should flow only to right-to-work states. Let the bell of freedom ring without the requirement that the hand on the clapper be from the "Bell Ringing Workers of America."

PETE HARRELL
San Antonio

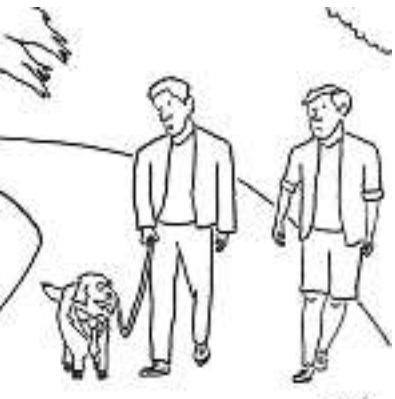
One-Way Ticket to Tyranny

Regarding "Put Not Your Trust in Recep Tayyip Erdogan" (Letters, April 16): Elliott Abrams could have referenced what King Abdullah of Jordan recalls Mr. Erdogan saying: "Democracy is a bus ride—once I get to my stop, I'm getting off." It appears that he feels he's at his stop, ready not only to dissolve democracy in Turkey but to work against the interests of fellow NATO member countries in service of his agenda to position Turkey at the head of a Muslim Brotherhood-led Mideast.

STUART CREQUE
Moraga, Calif.

Pepper ... And Salt

THE WALL STREET JOURNAL



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OPINION

Pope Francis’ Legacy of Question Marks

By Francis X. Maier

George Bergoglio, better known to the world as Pope Francis, died Monday at 88. He now enters history to join his 265 predecessors. A conclave of senior counselors—the worldwide College of Cardinals—will choose his successor. In the meantime, it’s worth remembering that Roman pontiffs have always been a mixed crew. For believing Catholics, the pope is the bishop of Rome and successor of St. Peter, who was martyred in the imperial city. He is also pastor of the universal church, the “Holy Father,” a source of sound teaching, encouragement and unity for the faithful.

The Argentinian pontiff sowed confusion within the Catholic Church on matters of doctrine.

Such is the theory. The actual record is more complex. The church regards more than 80 of its former popes as saints—men of exceptional holiness, leadership and service. The list of genuinely bad popes is small. Most popes have been adequate men by the standards of their faith and the conditions of their time. They do their best and are soon forgotten. Where Francis will fit in the Catholic memory is unclear.

Francis was the first pope since the Second Vatican Council (1962-65) to serve with no direct experience of its issues and proceedings. He was 28 and not yet a priest when the council closed. Born in Buenos Aires, he was the first pope in many centuries elected from outside Europe and the first member of the Society of Jesus, the Jesuits. Both factors played a major role in shaping his papal ministry. After ordination to the priesthood in 1969, Bergoglio served as master of novices and professor of theology, among other posts within the Jesuit community, including a difficult and unpopular term as Argentina’s Jesuit provincial.

Pope John Paul II named him an auxiliary bishop of Buenos Aires in 1992, the city’s archbishop in 1998 and a cardinal in 2001. He was elected pope in 2013, shortly after the resignation of Joseph Ratzinger, Pope Benedict XVI. It soon became clear that Francis’ priorities and style of governance differed in emphasis, and arguably in substance, from his immediate predecessors in some key ways.

On the positive side, Francis brought a simplicity and informality to his public ministry that had widespread appeal. His commitment to those on the margins—the poor, the disabled, the migrant, the refugee—was hardly new in the church, but Francis made it a centerpiece of his service. His themes of mercy and accompaniment drew praise from many outside the Cath-



Pope Francis in the Vatican, Feb. 5.

olic orbit and otherwise remote from religious belief. He pressed for more-decentralized church structures with wider lay involvement and pursued friendly dialogue with Islam and other non-Christian religions. He was a vigorous opponent of the death penalty and materialist excesses. He reordered the Vatican’s administrative machinery to be more receptive to the needs of local bishops. He sought a new, if controversial, church relationship with China and took steps toward the reform of the Vatican’s finances. His obvious concern for the

environment, rooted in a biblical respect for creation, made common cause with global efforts related to climate.

The downsides of his papacy were just as striking. Despite his calls for openness and listening, he was the most authoritarian pope in a century. His distaste for “doctors of the law” led to a pattern of sloppiness in the canonical life of the church, the code of church law that guarantees proper procedures, due process and the rights of believers. His excessive reliance on the Jesuits for support was unhealthy, both in

theological content and for its perception of favoritism within the church. His frequent criticism of the clergy alienated many good priests and bishops, and his loose public comments on sensitive issues sowed confusion. His gutting and reinvention of Rome’s John Paul II Institute for the Study of Marriage and the Family was seen by many as petty and vindictive toward the legacy of his Polish predecessor.

Francis had a resentful streak toward even faithful criticism, an understandable dislike for the U.S. given his Latin American roots but also an unwarranted animus toward U.S. church leadership and American Catholic life in general. He lacked a convincing Christian anthropology at a time when human sexuality and identity are in crisis. His focus on “synodality,” an obscure and manipulable concept, ignored many more-pressing issues facing the church.

Confusion on matters of doctrine is lethal for a creedal community like the church. A core task of every pope is to unify his people. However good his intentions, Francis seemed to do the opposite. Shortly after his election, one of his hagiographers described him as “the great reformer.” The ambiguity and division he leaves behind suggest a more likely legacy: the great question mark.

Mr. Maier is a senior fellow in Catholic Studies at the Ethics and Public Policy Center.

Is Trump a Tyrant or a Savior? Maybe Just a Bumbler



FREE EXPRESSION
By Gerard Baker

If you confine yourself to the mass media, you won’t find many dissenters from a binary view of President Trump’s second first 100 days. His hyperactive start is either an overdue and necessarily bruising overhaul of America’s corrupted institutional framework, a revolution against a failed establishment, or else the most menacing arrogation of executive power in the history of the republic, a series of giant steps toward complete authoritarian takeover.

But I wonder if there isn’t an emerging mass of people for whom the bigger question isn’t whether their president is a savior or a tyrant, but whether this man and his team are really capable of pulling off a project so bold and ambitious—whatever the intent. The important question may not be whether they are encouragingly redemptive or bottomlessly malevolent but whether they are simply incapable.

To be sure, the grand task they

have set for themselves—remaking the American and global order of the past few decades—would have been a stretch for a team of brilliant strongmen with the political genius of Machiavelli and the ruthless efficiency of the Spanish Inquisition.

Mr. Trump’s immediate principal goals were laudable and commanded widespread approval: close the porous border, downsize a bloated government, end the woke lunacy that has had most of our establishment in its thrall, restore American strength in the world.

But identifying goals is the easy part. Achieving them is a different matter. This exercise requires successful fights with entrenched, powerful interests in a diverse and pluralist country—and world.

In their multifront 100-day war, the Trump team has taken on, in no particular order, the courts, leading universities, most of the media, much of the legal profession, the bond markets, the currency markets, the equity markets, the world’s second-largest economy and second most powerful geopolitical force, the global system of alliances, and the global economic system.

The theory behind the blitzkrieg approach is that its boldness is its

principal guarantee of success: that by flooding the zone you keep enemies off balance and disoriented by the sheer energy, demoralized by the sheer ambition. But you do have to execute. The evidence is accumulating that this war is less Blitzkrieg than Blunderland.

The Department of Government Efficiency has, as many of us suspected it would, delivered a mouse to challenge the mountain of U.S. government spending. The effort to revive American manufacturing is harming American manufacturing.

The goals of his second term are ambitious. But so far the execution has been strikingly incompetent.

Changing the rules of the international economy has proved hard: We still await even one of those vaunted trade deals from supplicant foreigners. Ending the war in Ukraine hasn’t happened—but we have managed to alienate just about every partner we have. We may at least be edging closer to a bold new Iranian strate-

gy—but it seems to be a retreat of Barack Obama’s failed strategy. Not only is there no evidence that China has been cowed by any of this, but it also seems the People’s Republic of Harvard now likes its chances against the federal government—helped by the report that a blundering administration accidentally pressed send.

To give credit where due, immigration restrictionism has been a big success. Many of us may not like the price paid in legal chicanery and a dubiously necessary heavy hand, and the administration may yet have to choose between an outright constitutional crisis and looking weak if it backs down to the courts over its deportation efforts. But the law-enforcement efforts and the message sent to immigration scofflaws have begun to offset the damage done by years of open borders.

But elsewhere the impression is of escalating failure alongside escalating overreach. In its first few weeks the most striking difference between the second and first Trump administrations was a unity of purpose, a lack of internal dissent and an accent on execution. But two stories caught my eye last week for a more familiar

picture of indiscipline and disarray.

First we learned from the Journal about the bizarre lengths to which the president’s economic-policy advisers went to get Mr. Trump to pause his destructive initial global tariff plan, how they had to ensure that tariff fan Peter Navarro was out of physical range of the president to get Mr. Trump to issue a statement revising the plan.

Then there was the news of intensified internal fights at the Pentagon as three aides to Defense Secretary Pete Hegseth were ousted. They issued a joint statement that they had been victims of “baseless attacks” from colleagues.

I don’t doubt the seriousness of intent with which the Trump administration is seeking to remake the political and cultural landscape. Nor do I disdain the fears of those who argue that the administration’s expansive interpretation of its executive authorities represents a threat to the constitutional order.

The problem I have is that even as they overstep their limits, they seem to blunder deeper into the mire. Their biggest risk may be that voters will start to ask: What’s the use of a strong man who can’t do anything right?

Nonreligious Parents Have Rights Too

By Melissa Moschella

Does the government have the authority to indoctrinate children in controversial sexual ideology even when parents object? The Supreme Court will take up this question on Tuesday in *Mahmoud v. Taylor*.

The Mahmouds and other parents wanted to opt their children out of public-school lessons promoting “gender transition” and pride parades to kindergartners and grade-schoolers in Montgomery County, Md., but the government didn’t allow it. Parents are asking the Supreme Court to defend their rights. But which rights should the court vindicate?

The parents’ lawyers argue primarily that the government’s refusal to allow opt-outs from these lessons violates the First Amendment right to the free exercise of religion. This argument is strategic. Recent Supreme Court rulings have held that the state unconstitutionally violates religious freedom when it forces people to choose between forgoing a public benefit and forgoing the exercise of their religion, unless it is the

least restrictive means to a compelling state interest.

Based on this, the Maryland school board is unconstitutionally inhibiting the free exercise of religion by forcing parents to subject their children to indoctrination contrary to their faith or forgo the benefit of public education. Because education is compulsory, state coercion is even more direct for the parents who can’t afford pricey private schools in this Washington suburb.

What about nonreligious parents? When I told my father, who is secular and a staunch Democrat, about this case, he said that you don’t have to be religious to object to telling 3-year-olds that doctors only “guess” a baby’s sex at birth or giving them a “Pride Puppy” storybook instructing them to search for images of things they would find at a pride parade, such as a drag queen, leather and an intersex flag. He thinks that parents having the right to opt their children out of such indoctrination is just common sense.

The Constitution protects the rights of all parents, not only religious ones. In *Pierce v. Society of*

Sisters (1925), the Supreme Court held unanimously that parents have the right to direct their children’s education. *Pierce* held that it is unconstitutional for states to force all children to attend public schools; but there are other ways in which states violate parents’ constitutional rights in education.

Parents’ right to direct their children’s education doesn’t end once they choose a public school—and many parents have little to no choice about what school their children attend given the cost of private schools and the lack of school choice. The common law that *Pierce* relied on, and pre-*Pierce* state supreme court cases, affirmed that parents have broad educational rights even within public schools. In these cases, parents sought to avail their children of free public education while opting them out of certain classes—such as singing and bookkeeping—that they didn’t want their children to attend, usually for nonreligious reasons. Parents won seven of the eight such cases, based on the common-law view that primary educational authority belongs to parents, and the state’s role is to

assist parents in fulfilling their educational duties, without usurping parents’ authority.

Parental rights in education aren’t absolute. They’re based on parents’ natural educational duties, which the government can enforce to ensure that children are prepared

No declaration of faith should be required to opt children out of sexual indoctrination lessons.

to be law-abiding, productive citizens. But *Pierce* and the common-law tradition indicate that state enforcement is limited to what is “plainly essential to good citizenship,” such as literacy, numeracy and civic knowledge. Controversial sexual ideologies don’t meet this bar.

Over the past 50 years, federal courts have offered inconsistent interpretations of *Pierce*, and many have presented a historically inaccurate, watered-down interpretation in which parents’ constitutional right

to direct their children’s education “does not extend beyond the threshold of the school door,” as the Ninth U.S. Circuit Court of Appeals stated in *Fields v. Palmdale* (2005). In contrast to the pre-*Pierce* cases, in which parents won opt-out rights from anodyne classes such as singing, a 1995 First Circuit case, *Brown v. Hot, Sexy and Safer Productions*, held that parents don’t even have the right to exempt their children from an assembly that included a masturbation simulation, a male student’s licking an “oversized” condom on stage, and a female student’s pulling the condom over the male student’s head.

The current court will almost certainly protect the rights of the parents in *Mahmoud*. The question is if the justices will correct this mistaken interpretation of *Pierce*. Will they grant the victory solely on free-exercise grounds, or will they also offer much-needed clarification on the scope and strength of parents’ fundamental right to direct their children’s education? A narrow religious-liberty ruling would only kick the can down the road, spurring further litigation to vindicate the rights of nonreligious parents. Meantime, public schools nationwide would continue violating parents’ rights.

All parents, religious or not, have a natural right to direct their children’s education—a right that, as common law jurist William Blackstone said, flows from child-rearing duties “laid on them not only by nature herself, but by their own proper act, in bringing them into the world.” That right—long recognized in our nation’s legal tradition—is now under siege, and it’s up to the Supreme Court to protect it.

Ms. Moschella is a philosophy professor at Notre Dame’s McGrath Institute for Church Life and author of “To Whom Do Children Belong? Parental Rights, Civic Education, and Children’s Autonomy.”

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Notable & Quotable: Cooties

Bruce Handy writing for the Atlantic, April 16:

A sudden and mysterious outbreak of communicable disease began recently in my apartment building in Manhattan. Three 7-year-olds, a boy and two girls, were sharing the elevator one day. . . . The boy was leaning against the back of the elevator, between the two girls. “Help! I’m in a girl sandwich,” he said. “If I’m not careful, I’m going to get cooties!”

“Kids still play Cooties?” I asked, surprised that cooties were not a relic of my Boomer childhood but had endured into the 21st century, still

sparking alarm, feigned or real, among the young. “Yeah-huh,” the boy said. One of the girls piped up: “I know how to give a cootie shot.” She demonstrated on her own shoulder, her technique a bit of a blur.

The kids and their caretaker got off on their floor, leaving me to ponder the cootie phenomenon for the first time in many decades. Beyond being amused, I was struck by the morbid salience of a children’s game that mimics infection at a time when vaccine skepticism is on the rise and an outbreak of a non-pretend disease, measles, is threatening the lives of children in the Southwest.

WORLD NEWS

Russia Hails U.S. Idea to Bar Kyiv From NATO

By GEORGI KANTCHEV

Russia said it was pleased with a Trump administration proposal to rule out Ukraine joining the North Atlantic Treaty Organization as a way to end the war, but it showed no urgency in reaching a deal. The administration presented the idea as part of a package of proposals to Ukrainian and European officials last week, The Wall Street Journal has reported. The U.S. is awaiting Kyiv's response, which is expected during a meeting with Ukrainian and European officials in London this week. If the American, European and Ukrainian positions align, the proposals may then be presented to Moscow. "We have heard from Washington at various levels that Ukraine's membership in

NATO is out of the question. This is something that satisfies us and coincides with our position," Kremlin spokesman Dmitry Peskov said on Monday. Peskov, however, declined to comment on the prospects of an agreement on solving the conflict and "especially about a time frame." President Trump on Sunday said he hoped Ukraine and Russia would make a deal this week. Later Monday, Russian President Vladimir Putin said Moscow had a "positive attitude" toward any peace initiatives but that Kyiv needed to show a similar willingness. He said fighting had resumed after the Easter cease-fire he had declared, which didn't actually lead to a halt in the shooting. Some analysts said Putin's call for a cease-fire

was likely a gambit aimed at Trump, who had threatened to stop pursuing peace talks. Ukrainian President Volodymyr Zelensky said on Monday he spoke with U.K. Prime Minister Keir Starmer ahead of this week's meeting in London. He said Ukraine was ready to move constructively toward an end to the conflict. "An unconditional ceasefire must be the first step toward peace, and this Easter made it clear that it is Russia's actions that are prolonging the war," Zelensky said in a post on X. Although the U.S. has held

multiple rounds of talks, including the first direct dialogue between Washington and Moscow since the full-scale invasion, these efforts haven't halted the fighting. Moscow has been slow-walking the peace talks, calculating that battlefield gains give it more leverage for maximum concessions. Secretary of State Marco Rubio on Friday said the U.S. would shift to other diplomatic priorities if it determined a deal wasn't doable in the next few weeks. Trump later said the U.S. was "going to take a pass" if either Mos-

cow or Kyiv was hindering progress on a peace deal. Russia has long claimed that Ukraine joining NATO is unacceptable, viewing it as a direct threat to its security and an encroachment into what it considers its sphere of influence. Western officials have countered that NATO is a defensive alliance that isn't threatening Moscow, and Ukraine as an independent nation has the right to choose its own security arrangements and alliances. Besides excluding Ukraine from NATO, the Trump administration's proposals include potential U.S. recognition of Russia's 2014 annexation of Crimea. Another U.S. idea calls for designating the territory around the nuclear reactor in Zaporizhzhia

as neutral territory that could be under American control. The ideas were outlined in a confidential document presented by senior Trump administration officials to their Ukrainian counterparts in Paris on Thursday, the Journal reported. They were also shared with senior European officials. Peskov on Monday declined to comment on U.S. peace proposals beyond Ukrainian NATO membership, saying efforts to resolve the conflict shouldn't take place in public. "There are many such reports now, many discussions," he said. "Of course, work on finding ways to peacefully resolve the situation cannot and should not take place in the public arena. It should take place in an absolutely discreet mode."

Moscow is calculating that battlefield gains give it more leverage.

Nordic Nations Join to Fend Off Moscow

By SUNE ENGEL RASMUSSEN

For a long time, the Nordic countries were better known for their peace efforts and cozy living than militarism. Now, they are shedding that persona. The Nordics have emerged as a model for Europe's defense. They are leading efforts to reverse decades of military drawdowns to counter Russian aggression and uncertain security guarantees from the Trump White House. The four main Nordic countries are among Europe's top donors of military aid to Ukraine by population, and have taken steps to usher in a new regional security architecture that is less reliant on the U.S.

Any Nordic country would struggle to militarily square up to Russia on its own. But combined, the Nordics have an economy about the size of Mexico's, and nearly the same size as Russia's. Following Sweden and Finland's accession to the North Atlantic Treaty Organization, they have pooled some of their forces.

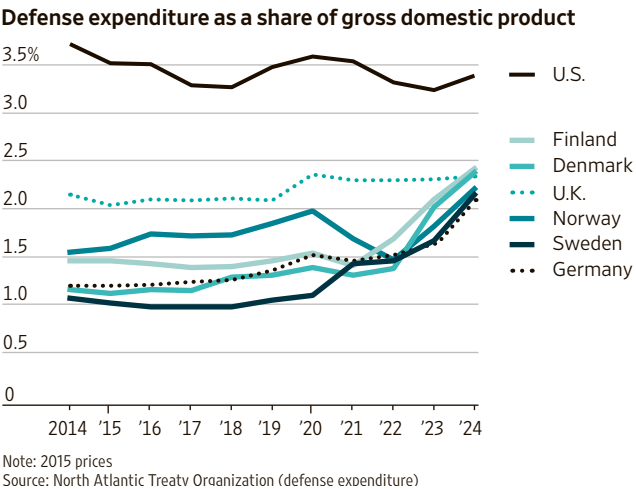
Sweden boasts an advanced defense industry that makes submarines, battle tanks and supersonic jet fighters. Norway possesses maritime surveillance and fighting capabilities in the Arctic. Finland has one of the largest standing armies and artillery forces per capita in Europe. And Denmark's special forces have decades of experience deploying to some of the most dangerous parts of Afghanistan and Iraq to fight American wars. (The fifth Nordic country, Iceland, has no standing army or defense industry.)

"You have a regional grouping with the economic and resource potential to develop a fully integrated defense-industrial base like Germany has, but with a completely different kind of threat perception and political will," said Eric Ciaramella, senior fellow in the Russia and Eurasia program at the Carnegie Endowment for International Peace think tank and former senior U.S. intelligence analyst. The Nordics share historic cultural bonds. In the Middle Ages, Scandinavian Vikings colonized and marauded throughout Europe, even reaching North America. For centuries after, the Nordic countries fought bloody wars among themselves, with regional powers Denmark and Sweden fighting over territory.

Now, the shared Nordic view of Russia as a serious threat has pulled those countries closer together than at any



ASA SUSTROM FOR WSJ



point in modern history. A recent Danish intelligence assessment said Russia could start a major war against one or more European NATO countries within three to five years, a view that chimes more with the Baltic nations than other Western capitals.

"The Nordic countries have a unified security policy for the first time since the Kalmar Union in the 1400s," said Jens Stoltenberg, the former NATO secretary-general who is now Norway's finance minister. "They have recognized the importance of deepening their military cooperation in a way that we haven't seen for several centuries."

The Nordics have combined their air forces, establishing a Joint Nordic Air Command in 2023. Last year, they set out a vision for common defense through 2030 under the Nordic Defense Cooperation, or Norddefco.

To be sure, the Nordics are compensating for decades of disarmament following the end of the Cold War. The need to rearm has only grown amid

Europe's fading trust in the U.S. as a reliable ally under President Trump.

Nowhere is this realization felt more acutely than in Copenhagen, which is on the front line of Europe's confrontation with Trump after he threatened to annex Greenland, a Danish territory. Denmark's protection of the Arctic island, which is three times the size of Texas, relies largely on seven aging vessels so denuded of weapons and sensors that they barely count as warships, and about a dozen elite soldiers pulled on sleds by dogs.

Denmark's decision in February to raise military spending by 70% over the next two years—including in Greenland—was "an expression of panic," said Peter Viggo Jakobsen, associate professor at the Royal Danish Defence College.

"Denmark is up against the clock because we have lost faith in the Americans. The reason we have thrown ourselves into Nordic cooperation with such vigor is that we can't protect ourselves. And if NATO can't do it, the Nordics are an

alternative," Jakobsen said. Denmark has become one of the loudest voices calling for European rearmament. Danish Prime Minister Mette Frederiksen said in March that she wouldn't rule out housing nuclear weapons on Danish soil, a historic shift. After donating all of its artillery to Ukraine, Copenhagen conceived of a plan to fund contracts between the Ukrainian government and the country's cash-strapped defense firms to produce weapons tailored for its shifting battlefield needs—an approach dubbed "the Danish model."

Propping up Ukraine's own defense industry is a sustainable way to add deterrence against Russia while the U.S. blocks Ukrainian membership in NATO, said Anna Wieselander, the Stockholm-based director for Northern Europe at the Atlantic Council think tank. "Linking our defense industries together is a very strong signal," she said. Nordic paths may diverge in the future. But for now, a united Nordic bloc could serve as a model for other clusters of nations, such as around the Black Sea, said Matti Pesu, senior research fellow with the Finnish Institute of International Affairs. The model can also serve as an insurance policy for the future, if the trans-Atlantic alliance disintegrates under Trump, he said. "It's a potential Plan B if NATO doesn't work," Pesu said.

Accusations of Ties To Cartels Plague Mexican Politician

By JOSÉ DE CÓRDOBA

CULIACÁN, Mexico—Since President took office, the White House has accused Mexico of maintaining "an intolerable alliance" with drug cartels. That has drawn attention to Sinaloa state Gov. Rubén Rocha and his alleged ties to local drug bosses. Rocha, a former academic, leads a state that is so deeply linked to narcotics that the cartel of the same name is a top local employer. A turf war between cartel factions is rocking Sinaloa, and many there say one reason Rocha can't stop it is because of alleged ties to cartel chiefs.

After gunmen killed two boys and their father early this year, thousands of protesters marched on the governor's palace and smashed the glass door to Rocha's office. A plane dropped fliers in the state capital, Culiacán, in September referring to Rocha as a "narco governor" and assassin who had "delivered our state to criminals."

A cartel patriarch imprisoned in Texas said in a letter released by his lawyer last summer that he had been kidnapped and taken to the U.S. after being tricked into showing up for what he thought would be a meeting to mediate a dispute between Rocha and a Sinaloa politician who later that day turned up dead.

Many Sinaloa residents saw the fact that Mexico's most important drug boss would accept an invitation to fix a political dispute and attend with a very small security detail as evidence of collusion. Rocha has said he didn't know about the meeting and wasn't invited.

"Organized crime and the government are the same thing," said María Isabel Cruz, leader of Warrior Bloodhounds, which looks for missing victims of Mexico's drug violence.

Rocha said he has no links to the cartel and has never met a cartel boss. "I'm not a criminal," Rocha told reporters in October. He declined to comment for this article.

Trouble in Sinaloa has put Mexico's president, Claudia Sheinbaum, in a bind. Trump has imposed tariffs on some Mexican goods on the grounds that the government isn't doing enough to stopentanyl trafficking. Defense Secretary Pete Hegseth threatened military action in Mexico against cartels if the government didn't step up.

Since the cartel turf war began last year, Mexico's federal government has largely taken over Sinaloa's security agencies, deploying thousands

of soldiers to the state. Some Sheinbaum advisers have urged her to remove Rocha from office to fend off U.S. pressure, people familiar with the discussions said. Sheinbaum, who has publicly backed Rocha, has said there is no evidence against the governor and that he isn't under investigation. A Sheinbaum spokesman declined to comment. Rocha got a political boost in February from Andrés Manuel López Beltrán, the son of former Mexican President Andrés Manuel López Obrador. López Beltrán, a top official of the ruling Morena party, visited Culiacán and handed Rocha a new party credential. López Obr-



CARL DE SOUZA/AGENCE FRANCE PRESSE/GETTY IMAGES

Sinaloa state Gov. Rubén Rocha is seen in October, when he told reporters, 'I am not a criminal.'

dor, who founded the party, is also Sheinbaum's mentor.

Rocha, 75, was born in Sinaloa and began his career as a math teacher, eventually becoming rector of Sinaloa Autonomous University. He has written 13 books, including a novel about the drug business overtaking Sinaloa.

During the 2021 governor's race, which Rocha won in a landslide, a reporter asked him whether it was necessary to coordinate with organized crime to run a state such as Sinaloa. "You have to find a way to do it," Rocha said.

The Pentagon estimates that about a third of Mexico is controlled by cartels that have penetrated government, especially at state and municipal levels.

U.S. pressure on the Sinaloa cartel might have set in motion the series of events that led to the current turf war and put Rocha under a microscope.

According to U.S. officials, Joaquín Guzmán, a boss of the Chapitos, kidnapped cartel co-founder Ismael Zambada last July and flew with him to the U.S. in a bid to secure lenient treatment from U.S. prosecutors while turning himself in. Guzman's father is Joaquín "El Chapo" Guzmán, a cartel co-founder imprisoned in the U.S.



FERNANDO LLANO/ASSOCIATED PRESS

Police officers and soldiers in February inspected drivers at a checkpoint in Culiacán, the capital of Mexico's Sinaloa state.

WORLD WATCH

THAILAND

Contractor Denies Fault in Collapse

A Thai-Chinese company on Monday denied allegations that its steel rods failed safety-standard tests as authorities examine the collapse last month of a high-rise building under construction in Bangkok. They are investigating Xin Ke Yuan Steel and another Chinese contractor involved in the construction as they seek to learn how the building came to crumble following an earthquake centered in Myanmar, more than 800 miles away. The collapse sparked ques-

tions about the enforcement of construction safety and the state-run Chinese contractor, China Railway No. 10 Engineering Group, leading to the arrest Saturday of its Chinese executive in Thailand on suspicion of operating the business through the use of nominees. Foreigners can operate a business in Thailand, but it must be a joint venture with a Thai partner, and they cannot own more than 49%. Industry Minister Akanat Promphan said two types of steel rods found at the collapse site didn't pass safety standards, and that Xin Ke Yuan supplied both. —Associated Press

GAZA

Rescue Group Calls Probe 'Fabricated'

The main Palestinian rescue service in Gaza on Monday condemned Israel's probe into the March 23 killings of 15 medical workers, calling it a "fabricated investigation." The army said Sunday it had found "professional failures" and dismissed a deputy commander. The incident left eight Palestinian Red Crescent Society medics, six members of the Hamas government's Civil Defense unit and a United Nations staffer dead. Troops bulldozed over the bodies along with their man-

gled vehicles, burying them in a mass grave. U.N. and rescue workers weren't able to reach the site until a week later. The Palestinian Red Crescent Society accused Israel of making "fallacious allegations" that medical rescue teams are part of Hamas and asked why Israel continues to detain a paramedic who survived the attack. Israel at first claimed the medics' vehicles were acting suspiciously and didn't have emergency signals on when troops opened fire. But the army backtracked after cellphone video recovered from one medic showed otherwise. —Associated Press

BUSINESS & FINANCE

Crypto Knocks on Banking’s Door

Circle, BitGo and others plan to apply for mainstream charters or licenses

By GINA HEEB
AND VICKY GE HUANG

Crypto is pushing deeper into the banking system. A regulatory crackdown on crypto in the wake of the meltdown of FTX and two crypto-friendly banks prompted some in traditional finance to break up with the industry two years ago. Now President Trump’s pledge to make America a “bitcoin superpower” has set the

stage for crypto to become more intertwined with the banking system.

Several crypto firms including Circle and BitGo plan to apply for bank charters or licenses, according to people familiar with the matter. Crypto exchange **Coinbase Global** and stablecoin company **Paxos** are considering similar moves, other people said.

That comes as the Trump administration moves to incor-

porate crypto into mainstream finance and Congress advances a pair of bills that would establish a regulatory framework for

stablecoins, which let people easily trade in and out of more volatile cryptocurrencies. The legislation would require stablecoin issuers to have charters or licenses from regulators.

Some crypto firms are interested in national trust or industrial bank charters that would enable them to operate

more like traditional lenders, such as by taking deposits and making loans. Others are after relatively narrow licenses that would allow them to issue a stablecoin.

World Liberty Financial, the Trump family’s crypto project, unveiled plans to launch a stablecoin called USD1 last month. It said the stablecoin’s reserves would be safeguarded by crypto custodian BitGo, which is getting close to submitting the bank-charter application, people familiar with the matter said.

Any crypto firm that obtains a bank charter would become subject to stricter regulatory oversight.

Anchorage Digital, so far the only crypto firm in the country with a federal bank charter, said it spent tens of millions of dollars to comply with regulations.

In 2022, a bank regulator issued a consent order against Anchorage, pointing to anti-money-laundering deficiencies.

“It has not been easy,” said Nathan McCauley, chief executive officer of Anchorage, which obtained its charter in 2021. But he said the “whole gamut of regulatory and compliance obligations that banks have can be intertwined with the crypto industry.”

The San Francisco-based *Please turn to page B4*

Goods Bound for U.S. Stuck In Tariff Limbo

By JEANNE WHALEN
AND BOB TITA

Just after the Trump administration raised tariffs on Chinese goods to 145% this month, a truck full of fake eyelashes came to a screeching halt in Mexico, just shy of the U.S. border.

The lashes, made in China and shipped to a Mexican port, were on their way to U.S. customers of **Lilac St.**, a company founded by Seattle businesswoman Alicia Zeng. One of Zeng’s employees had phoned the company’s warehouse in Mexico and told them to “send humans to flag down that truck,” because Lilac St. couldn’t afford import tariffs higher than the value of the cargo itself, Zeng said.

“If we pay 145% tariffs we would lose a significant amount of money on every product we send in,” she said.

Many U.S. companies are making similar hard calls as they scramble to adjust to President Trump’s new trade war with China. Some are halting imports as they hope for a trade truce that will result in lower tariffs. A few interviewed by The Wall Street Journal are trying to move their production from China to the U.S., but most are eyeing other Asian countries, saying U.S. production of their goods doesn’t exist.

Many are reluctant to make big changes if the new rules are just going to get overturned by a tweet.

“When they make a decision, they change their mind, and when they change their *Please turn to page B2*

DHL Stops High-Value Shipments To U.S. Consumers

By KIMBERLEY KAO

Deutsche Post suspended high-value shipments to the U.S. effective Monday as it struggles with delays from customs clearances amid the new U.S. rules.

The company, which trades as **DHL Group**, said in a statement that a “surge in formal customs clearances, which we are handling around the clock” for goods valued at more than \$800, regardless of where they were shipped from, may cause multiday delays.

The action comes as new U.S. Customs regulations have required goods above \$800 in value to undergo tighter customs processing, which took effect April 5, DHL said. That is down from the \$2,500 threshold previously.

To manage the delays, “we will temporarily suspend [business-to-consumer] shipments to private individuals in the U.S. where the declared value exceeds \$800” until further notice, the company said.

Business-to-business shipments aren’t affected but could face delays.

DHL’s move came less than a week after Hong Kong’s postal service said it was halting shipments bound for the U.S.

“The U.S. is unreasonable, bullying and imposing tariffs abusively,” Hongkong Post said Wednesday. “Hongkong Post will definitely not collect any so-called tariffs on behalf of the U.S. and will suspend the acceptance of postal items containing goods destined to the U.S.”

Oil Patch Confronts Its Huge Wastewater Problem

By BENOÎT MORENNE

MARTIN COUNTY, Texas—Two dozen cone-shaped, floating evaporators hum on a huge saltwater pond in the middle of the biggest oil field in the U.S.

They are part of an experiment by **Exxon Mobil** to address one of the challenges facing frackers in the Permian Basin of West Texas and New Mexico: what to do with the gargantuan amounts of noxious water they produce alongside crude.

As oil production has jumped to records in recent years, so have water volumes. Permian producers on average pump about four barrels of water for each barrel of crude. They have long reinjected it underground, which has caused the ground to buckle, triggered earthquakes and made drilling more onerous.

Last year, Permian drillers discarded roughly 5.5 billion barrels of water that way, according to water analytics firm B3 Insight, roughly equivalent to the amount of water that New York City consumes in about eight months.

Now, companies are investing millions of dollars testing technologies to evaporate the water faster and strip it of salt so it can be reused outside the oil patch. They are crafting plans to release scrubbed water into rivers—and hope to one day provide it to farmers and municipalities.

“We need a Manhattan Project to deal with the produced water,” said Kirk Edwards, an oil executive and

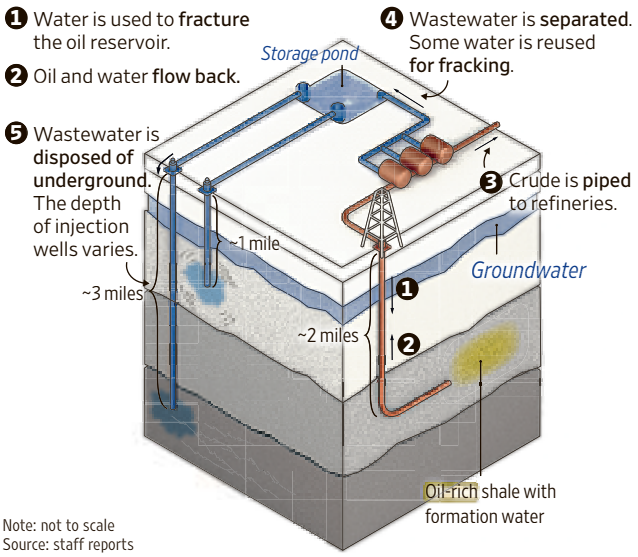
former chairman of the Permian Basin Petroleum Association, referring to the U.S. effort to produce the first atomic bomb.

The Trump administration has taken notice. The Environmental Protection Agency last month announced it would reconsider wastewater regulations for the oil-and-gas industry to “help unleash American energy.” Peggy Browne, the EPA’s acting as-

sistant administrator at the office of water, said the review would consider reusing produced water for purposes from cooling data centers to fire control, power generation, and ecological needs.

Companies in recent years have made strides in treating the brine and recycling it for their operations, but more water flows back to the surface than they can use. Meanwhile, *Please turn to page B2*

Oil extraction and wastewater disposal



Machines at an Exxon Mobil pilot project in Texas agitate the surface of a saltwater pond so the water evaporates faster.

Nike Finds Robots Struggle to Make Shoes

By JON EMONT

President Trump is betting that the threat of stiff tariffs on low-cost countries in Asia and elsewhere will pressure American companies to bring manufacturing—and jobs—back to the U.S.

But high U.S. labor costs mean companies would have to find ways to replace human workers with machines. For some industries, that has proved surprisingly difficult.

Indeed, a yearslong effort by **Nike** to shift part of its manufacturing from China, Indonesia and Vietnam to North America illustrates how tough it is for U.S. brands to wean themselves off the flexible, low-cost contract manufacturers that use armies of laborers to churn out an array of products for American consumers.

Starting in 2015, Nike poured millions into an effort to partly automate what has always been a labor-intensive industry. At the time, rising labor costs in China and advances in manufacturing techniques such as 3-D printing opened the possibility of finding a new way to make shoes that would rely on fewer workers.

The shoe giant turned to Flex, an American manufacturer that helped Apple set up a complex factory in Texas to



Starting in 2015, Nike poured millions into an effort to partly automate what has always been a labor-intensive industry.

make Mac Pros. The goal: make tens of millions of Nike sneakers at a new high-tech manufacturing site in Guadalajara, Mexico, by 2023. The plant would include thousands of workers, but far fewer than are needed in Asia to make the same number of sneakers. If successful, the project could be a model for production in the U.S., according to some involved in the effort.

Nike’s competitors sensed an opportunity to rethink a manufacturing model built around Asian factories where armies of cheap, skilled laborers stitch fabrics and glue

soles to shoes by hand.

“It feels less modern and more like a Ford Model T production line combined with a Middle Ages cobbler’s bench,” said Kevin Haley, then the executive vice president of innovation at clothing maker **Under Armour**, in 2015. He pledged to use automation to make shoes in Baltimore, a project he called “Project Glory.”

Around the same time, **Adidas** launched “speedfactories” in Atlanta and Ansbach, Germany, with high-tech machinery that quickly spit out shoes.

“If they want to move out

of China and Vietnam, they have to have technology to do that differently,” said Mike Dennison, Flex’s then-president, in 2016.

Nike’s effort was the boldest. The company aimed for large-scale automated production in under a decade, which it said would save on labor costs and allow it to deliver new models of shoes to Americans faster.

Tom Fletcher, who oversaw the project for Flex, came into the effort feeling confident, having just built a Mac Pro factory for Apple in Austin, Texas. Flex pushed to rejigger production lines and use automation, trying to find as many ways as possible to minimize human interaction. That experience came in handy.

Nike and Flex established new production lines that used machines commonly seen in electronics manufacturing—but rarely shoemaking—such as a “pick and place” machine that is known for mounting components onto circuit boards. The machines were supposed to build the upper part of a shoe, knit fabric, add logos and glue the sole.

The effort quickly ran into trouble. The robots struggled to handle the soft, squishy and stretchy parts that are inte- *Please turn to page B2*

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Oil Patch Has Water Problem

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the volumes of liquid they can pump into the ground have shrunk as companies have started to run out of underground space, and regulators have imposed limits on disposal to prevent earthquakes.

Enter the evaporators. Exxon, the largest Permian producer, started testing the machines about a year ago as a pilot project. The devices, manufactured by Colorado-based **RWI Enhanced Evaporation**, blow air down on the pond of produced water to create droplets and ripples, which speeds up the evaporation process. One machine costs about \$46,000 and consumes about as much electricity as a wet-dry vacuum cleaner.

RWI estimates that between 20% and 50% more liquid gets vaporized that way compared with natural evaporation. Wind, heat, humidity and sunlight all have a bearing on how much water is vaporized.

The technology is no panacea: While an injection well typically guzzles between 10,000 and 25,000 barrels of water a day, an evaporator working in optimal conditions vaporizes about 32 barrels an hour, according to Robert Balantyne, a senior vice president at RWI.

Rich Dealy, who oversees Exxon Mobil's Permian operations, said the pilot project is just one of several options the company is studying to address the water issue. It also

■ is looking at piping water to the fringes of the Permian, where there is more underground space available, as well as at desalination.

■ Frackers say removing salt from produced water means it could be used to water city parks, golf courses and potentially non-food crops such as cotton. Texas has granted some permits to release treated water into the environment. New Mexico has allowed companies to run pilot tests but has stopped short of letting them discharge treated water outside the oil fields.

■ “How do we get surface disposal is kind of the next big step,” said Dealy.

Exxon says it aims to have a commercial-size desalina-

tion facility operating in the Permian by the end of next year. Energy-services firm **Tetra Technologies** and driller **EOG Resources** last month announced they were commencing a pilot project to desalinate produced water from the Permian.

Although it costs about twice as much to desalinate produced water as it does to inject it down a well, the companies are hopeful they can bring the cost down.

“Everybody is getting to the point now where this can be done effectively, and it can be done cost-effectively,” said Robert Crain, an executive vice president at Texas Pacific Water Resources, a water-focused unit of landowner **Texas Pacific Land**.

The firm has tested desalination technology at a 20-barrels-a-day pilot project outside Midland. One common technique to remove salt is to run the liquid through membranes that hold back solids, but oil-field water, which is much saltier than seawater, takes a toll on the material. Instead, Crain's company freezes the brew, which helps separate saltwater from fresher water.

Crain's goal is to bring the cost of purifying a barrel down to 75 cents, which is slightly more than what it costs to flush it down a well. Texas Pacific Water Resources has begun constructing a \$25 million desalination facility with an initial capacity of 10,000 barrels of produced water a day, and plans to build a Permian plant 10 times as big next year.

The company plans to use some of the desalinated water for restoration projects on land owned by Texas Pacific Land. It also has applied for a state permit to discharge a portion into a salty tributary

■ of the Pecos River, which runs through the Permian to the Rio Grande, starting with up to 20,000 barrels a day this year, increasing to 100,000 barrels in later years.

■ Texas Pacific

Water Resources has tested for hundreds more contaminants in the desalinated water than what is required by regulators, said Adrienne Lopez, the company's research-and-development manager. She said the firm passed multiple rounds of a lab test to determine whether the purified water will hurt living aquatic organisms.

“We don't want to put something on the ground or in a river that is essentially going to cause harm or get us in trouble,” she said.

BUSINESS & FINANCE



Basic Fun has about two months of inventory of Lincoln Logs, Care Bears and other items in its U.S. warehouses.

Goods Stuck In Limbo

Continued from page B1

mind, they change it again,” said Clifton Broumand, whose company, **Man & Machine**, assembles waterproof keyboards and mice in Maryland, from Asian and domestic components. He is considering moving that assembly to Malaysia to escape some of the tariff burden, but the uncertainty makes it hard to plan.

The goods these U.S. companies sell are often the kind of whimsical or niche products that have thrived in an era of e-commerce and low-cost Asian manufacturing. Golf practice nets. Smartphone mounts that stick to a dashboard and eyelash glue.

Zeng started her company during the pandemic, figuring she would provide an alternative for women who couldn't go to the salon for lash extensions. She spent the summer of 2020 boxing up lashes on her living-room couch. Five years later, she has annual revenue of \$15 million and 15 U.S. employees who work remotely in Michigan, Ohio, Texas and other states.

The company's success hinges on the delicate, feathery lashes churned out by a supplier in the fake-eyelash capi-

tal of the world: Qingdao, China. Factories there buy ultrathin plastic fibers from South Korean suppliers, which they cut and curl into faux lashes. Then the really hard work begins: Workers use tweezers to lift single fibers and arrange them into small clusters resembling human lashes, Zeng said.

“It's so, so delicate and you couldn't just turn on a machine somewhere and do this,” she said. The production “just does not exist in the United States, for reasons you can imagine,” she added. Lilac St. sells the lashes for \$6 to \$11 a package.

Zeng, for now, is holding her truck at the Mexican warehouse, hoping for some resolution to the trade war. Several other shipments that are half-way across the ocean will soon join the truck. Zeng has two to three months of inventory in the U.S. that she can continue selling. “I think we're trying to hold out for at least one more month to see what happens. But then we'll have to make some hard choices,” she said.

She has asked her Chinese suppliers about moving production elsewhere in Asia, but she said they aren't ready to commit.

Basic Fun, a Boca Raton, Fla.,-based seller of children's toys, has also halted shipments from China, hoping that tariffs recede to more manageable levels. The company has about two months of inventory of Lincoln Logs, Care Bears and other items in U.S. ware-

houses, Chief Executive Jay Foreman said.

“Basically, what we're doing is eating our inventory and hoping that it will last us until this gets settled,” he said. “If it doesn't, we'll be out of business.”

Toy manufacturing was one of the first industries that took root in China, decades ago. “Even if you wanted to make things here, the components all come from China,” Foreman said.

Some shipping companies are so concerned about U.S. importers abandoning their cargo and declining to pay shipping fees that they are asking for full payment upfront. Hong Miller, owner of **Wincity Trade**, an import-export company in Grosse Pointe, Mich., said her longtime shipping company usually requires only a deposit upfront but recently asked for full payment.

Many entrepreneurs are scrambling to move production out of China. Bob Brammer's company in Traverse City, Mich., sells aluminum handrails and other accessories that get installed in RVs. He started reshoring some of the production from China to Michigan a few years ago and moved other production lines to India. New tariffs are now prompting him to move the remainder of his China-based manufacturing.

His company, **Stromberg Carlson Products**, found a Michigan aluminum supplier to sell him the raw materials to make one of his handrails—no small matter, as Trump's

25% tariff on imported aluminum has created a scramble for domestic sources. “They said, Bob, we'll support that. You're bringing it home from China? We'll support that,” Brammer said.

He just had a machinery supplier, Haas Automation, come by to estimate the cost of new manufacturing equipment and he needs to have eight molds made to produce hardware for the rails.

Brammer said he supports the tariffs overall and is glad to bring more production back to the U.S., but he wishes the Trump administration had given companies more time to prepare. “I've got to get this stuff made soon to keep my inventory flowing smoothly. I've got to get it up and running in eight weeks,” he said.

Trump's tariffs during his first administration prompted many U.S. companies to reduce their reliance on China.

Roger Alves, chief executive of **Scosche Industries**, a consumer electronics company in Oxnard, Calif., said the firm has reduced its production in China from 90% of its goods to 30% since 2018, shifting to other suppliers in Southeast Asia. The company has constantly tried to move the remaining production out, but it has been hard to find manufacturers elsewhere that can do the work as well, at such a good price, Alves said. Bringing the work to the U.S. isn't realistic, he said, because the U.S. doesn't produce many types of electronics.

Robots Struggle to Make Shoes

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gral to shoemaking. Shoe fabrics expand and contract depending on the temperature. And in shoemaking no two soles are exactly alike. Human workers can adapt to such challenges, but it proved difficult for machines.

“You're trying to do something very precise and then it gets a little colder or warmer, and the material changes on you,” said Fletcher. “We did not anticipate that.”

As a result, factory production never became as automated as envisioned. As shoe production increased, the factory personnel swelled to 5,000, about twice as many as originally planned and costing more than a similar workforce in Vietnam. Task after task proved challenging to automate, like the delicate work of gluing soles to the upper part of the shoe.

“If you didn't lay it the right way, there would be a noticeable twisting of the shoe, a misalignment that aesthetically means it would fail quality tests,” said Fletcher.

A central problem was the huge variety of shoes Nike produces. Unlike cars or iPhones, shoe models are changing all the time.

But automating manufacturing means designing simple products that machines can undertake over and over again. Electronics manufacturing uses hard, standardized materials, allowing machines to replicate the same step millions of times.

“You have to make sacrifices from how to design to



To build more-automated shoe production in the U.S., Nike turned to Flex, a manufacturer that helped Apple set up a complex factory in Texas to make Mac Pros.

the complexity of the materials and models you'll work with,” said Michael Newton, the former Nike executive who oversaw the project. “That goes against what the consumer wants. They want incredible diversity of product.”

At one point, it took the Flex team eight months to figure out how to automate a way to put the Nike swish on a shoe, only for Nike to move onto a new shoe line for which the method Flex developed no longer worked.

Newton said it would have been easier to mass-produce uncomplicated shoes, such as ones with a machine-knit upper part and matched with simple molded bottoms. But Nike was unwilling to put limits on its designs and expected manufacturers to produce whatever new shoes their teams dreamed up.

By 2017, Flex's investors were banking at rising costs at the company, with some questioning why an outfit that makes electronics was in-

involved in shoe production.

Flex and Nike wound up the project by early 2019. By then, Under Armour stopped mentioning to investors its “Project Glory” mission to make shoes in the U.S. That year, Adidas, which also faced challenges producing complex shoes with robots, said it would close production in Atlanta and Germany. It shipped its “speedfactory” technology to suppliers in Asia.

The three shoemakers stuck with their original offshore locations—Vietnam, China and Indonesia—even after pandemic-era factory shutdowns showed the risk of having such a concentrated node of production.

Adidas, Under Armour and Nike declined to comment on their past reshoring efforts. Representatives for Nike and Under Armour said the companies are working out responses to tariffs.

Now, China, Vietnam and Indonesia are in Trump's sights. This month, he placed

tariffs of 46% and 32% on Vietnam and Indonesia, respectively, before lowering them to 10% and granting them a 90-day reprieve. The U.S. raised tariffs on imports from China to 145%.

Commerce Secretary Howard Lutnick said the administration wants labor-intensive industries to return to the U.S. There will be an “army of millions and millions of people screwing in little, little screws to make iPhones,” he said in a recent interview with CBS.

The threat of new tariffs is pushing some to ask whether Nike and others will ultimately have to reconsider efforts to automate manufacturing and bring shoe production back to the U.S. Newton and Fletcher think it still could be done, although it wouldn't be easy.

“You need to have some deep pockets and some patience because it's not going to happen fast,” said Fletcher. The previous experience “was humbling, for sure.”

BUSINESS NEWS

Chipotle to Open Mexico Location

Burrito chain tests expansion into Latin America in pact with operator Alsea

By Denny Jacob

Chipotle Mexican Grill will open a storefront in Mexico and look to expand into additional markets in the region.

The burrito chain on Monday said it signed a development agreement with Alsea, a restaurant operator in Latin America and Europe, to open a location in Mexico by early 2026.

Chief Business Development Officer Nate Lawton said Mexico's familiarity with Chipotle's ingredients and its affinity for fresh food make it an attractive growth market for the company.

Expansion into Mexico will test whether Chief Executive Scott Boatwright can maintain the string of sales and profits that have helped Chipotle outpace the broader industry. The company is expected to report first-quarter results April 23.

Chipotle's announcement comes as the Trump administration imposes tariffs on U.S. allies and non-allies alike, prompting many businesses to put certain investments on hold as they look for clarity



The chain sees Mexico as an attractive growth market due to its familiarity with its ingredients and affinity for fresh food.

on tariffs and brace for a potential slowdown.

The Newport Beach, Calif., company has demonstrated it can navigate a world where tariffs hang over consumers and businesses. For years it scoured the Americas and the Caribbean in search of farms

and suppliers to fill its vast need for avocados as it looked to diminish its reliance on Mexico.

Chipotle has said it won't raise the price of guacamole even as it expects tariffs imposed on Mexican imports to weigh on its profit margins

this year.

The company's push into Mexico will test its international-expansion strategy. It signed its first international development agreement in July 2023 with Alshaya Group to open restaurants in the Middle East, and Alshaya cur-

rently operates three Chipotle restaurants in Kuwait and two in the United Arab Emirates.

Chipotle's existing international portfolio includes 58 locations in Canada, 20 in the U.K., six in France and two in Germany.

Accounting Firms in \$7 Billion Merger

By Mark Maurer

Accounting firms Baker Tilly and Moss Adams agreed to merge in a deal valued at roughly \$7 billion, which would make it the largest firm in the industry to be partly owned by private-equity investors.

The combined firm, which would be the sixth-biggest accounting firm in the U.S., will carry the Baker Tilly name, specifically Baker Tilly US on the audit side and Baker Tilly Advisory Group on the nonaudit side. The Wall Street Journal previously reported the two firms were in advanced talks.

Baker Tilly in the U.S. has international operations of its own that it largely amassed through acquisitions, which are part of the merger with Moss Adams. But the other member firms in the Baker Tilly global network, known as Baker Tilly International, are excluded from the transaction.

The combined new firm aims to generate about \$6 billion in annual revenue by 2030, compared with the more than \$3 billion they collectively booked in 2024, said Moss Adams Chief Executive Eric Miles and Baker Tilly CEO Jeff Ferro.

The deal is expected to close in June, at which time Ferro will become CEO of the combined firm through his retirement at the end of the year. Miles would then succeed Ferro on Jan. 1, with Ferro remaining a director. The firm will have about 11,500 people, including 600 partners from Baker Tilly and 403 from Moss Adams.

The deal follows Baker Tilly's sale of a stake last year to Hellman & Friedman and Valeas Capital Partners, as well as a series of other private-equity investments in accounting firms in recent years.

In an interview, Miles said, "Our leadership team and board started looking at the industry in-depth and all the changes that were occurring over a year ago and we asked: If these forces continue to play out, what do we need to do to continue to thrive and be relevant in five to 10 years? We reached the conclusion that a merger best allows us to continue to thrive and be relevant. Baker Tilly stood out head and shoulders above our other peer firms given those long-term objectives. Private equity was secondary to this question."

On why they chose to give up the Moss Adams name, Miles said, "We don't have nearly the national brand that Baker Tilly does. Baker Tilly is the logical brand to adopt."

South Korean Entertainment Group Plans IPO

By Jihye Lee

Galaxy Corporation, a South Korean entertainment-technology group representing K-pop star G-Dragon, is planning to go public next year in a deal that could value it at around \$1 billion, the company's chief executive said.

The company aims to submit a preliminary initial public offering application with South Korea's financial regulator in the fourth quarter of 2025, targeting a listing on the mainboard Kospi in the first half of 2026, Chief Executive Choi Yong-ho said in an interview.

Galaxy Corporation, which produced the hit Netflix series "Physical 100," has raised funds from investors including SK Telecom and major lender Shinhan Bank. The company is conducting a new fundraising round and is in discussions with potential backers such as Saudi Arabia's Public Investment Fund and several high-net-worth individuals from the Middle East and Southeast Asia, Choi said.

In 2024, Galaxy Corporation had annual revenue of roughly 40 billion won, equivalent to \$28.2 million, that

stemmed mainly from Korean entertainment shows. This year, it expects a significant portion of revenue to be generated by pop star G-Dragon, who is planning a world tour incorporating robots and artificial-intelligence technology.

South Korea's entertainment industry has captured global attention in recent years, led by major K-pop groups such as BTS and Blackpink.

Galaxy Corporation, which signed G-Dragon in 2023, will use the proceeds from the IPO to acquire intellectual property, launch new K-pop bands and expand into AI-related ventures, Choi said.

The company is also seeking to bring in cornerstone investors ahead of the IPO.

Market uncertainty weighed on South Korea's IPO activity last year, according to the country's financial regulator. Concerns around the Trump administration's announcement of tariffs on U.S. trading partners in April, and Beijing's retaliatory measures, have led to heightened uncertainty in global markets this year.

But Choi said he views the tit-for-tat moves between the U.S. and China as a potential opportunity for South Korea's



The company expects a significant portion of its revenue to be generated by K-pop star G-Dragon.

entertainment industry.

"The current U.S.-China trade tensions leading to Beijing ordering a limit on Hollywood content is actually really good news for the Korean entertainment industry," he said.

Earlier this month, Beijing said it would reduce the number of U.S. film imports in retaliation against President Trump's tariffs on China.

Analysts say there could be more room for Korean pop culture to shine if Seoul and Beijing strengthen ties.

"As [the] U.S.-China trade conflict escalates, it's worth keeping an eye on the Korean entertainment sector as it's free from the impact of tariffs and could benefit from improving relations between South Korea and China," KB Financial

analyst Sunwha Lee wrote in a recent note, reiterating buy calls on K-pop labels SM Entertainment, Hybe, YG Entertainment and JYP Entertainment.

Though it is unclear how the tariff conflict will play out, Choi thinks the stage is set for Galaxy to make its debut.

"We think it's a good time for our company to go public," the CEO said.

FTC Sues Uber Over Billing Practices

By Kelly Cloonan and Angel Au-Yeung

The Federal Trade Commission sued Uber, alleging deceptive billing and cancellation practices regarding its Uber One subscription service.

The lawsuit, filed on Monday, alleged that the ride-hailing company's subscription service charged consumers without their consent, failed to deliver promised savings and made it difficult for users to cancel.

The lawsuit said that some

customers who signed up for a free trial were automatically charged before their trial ended, even though the company promises the ability to cancel at no charge during the trial period.

Uber's stock fell 3.1% in Monday trading in New York.

President Trump's FTC chairman, Andrew Ferguson, said that the lawsuit is an example of the Trump-Vance administration "fighting back on behalf of the American people."

An Uber spokesman said

that its practices don't violate the law.

"Uber One's sign-up and cancellation processes are clear, simple, and follow the letter and spirit of the law," the spokesman said, adding the company doesn't sign up or charge consumers without their consent, and that cancellations can now be done any time in-app and take most people 20 seconds or less.

The FTC alleges that Uber One failed to deliver promised savings of \$25 a month and didn't account for the cost of

the subscription when calculating savings.

Uber also made it difficult for users to cancel the service despite its "cancel anytime" promises, the FTC claimed. Users can be forced to navigate as many as 23 screens and take as many as 32 actions to cancel, according to the lawsuit.

The cancellation process proved challenging enough that it spawned online tutorials to teach users how to cancel their subscriptions, the lawsuit alleged.

The agency alleges that Uber would remove the option to cancel from apps if it was within 48 hours of a user's billing date. If it was within the 48-hour window, the app asked consumers to contact the company's customer service support team. Users reported long wait times, with some not getting a response until after the free trial had ended.

The FTC said those practices violate the FTC Act and the Restore Online Shoppers' Confidence Act, which requires online sellers to clearly disclose certain terms, obtain consumers' consent before charging for a service and provide a simple way to cancel a recurring subscription.

Uber and its chief executive, Dara Khosrowshahi, each donated \$1 million to Trump's inauguration fund.



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Uber made it difficult for users to cancel the Uber One service, the FTC claimed in the suit.

BUSINESS & FINANCE

Green Investors Eye Weapons Producers

By YUSUF KHAN

Can a weapons manufacturer be considered sustainable?

On both sides of the Atlantic, companies and governments are recalibrating arguments for investing in renewables, minerals and clean technologies. Traditionally, the reason has been to decarbonize and reduce the effects of climate change, but now some are putting the focus on ensuring a supply of minerals to support weapons manufacturing and critical infrastructure in ways that can hopefully boost national security and deter global conflicts.

Consider rare-earth miners: Companies that once pitched themselves as suppliers of metals and minerals for wind turbines and electric vehicles are now seen as vital for the defense sector, providing material used in F35 jet fighters and missile technology.

Phoenix Tailings, a rare-earth mining and processing startup based in Woburn, Mass., said it is seeing demand from the defense industry as well as the electric-vehicle market.

“Whether it’s electric vehicles, wind turbines or next-generation defense systems, rare-earth elements are fundamental to the technologies that power our economy and national security,” said Nicholas Myers, the company’s chief executive.

China’s latest restrictions on rare-earth exports, coupled with intensifying geopolitical tensions, reinforce the risk exposure facing manufacturers, investors, and policymakers,

Myers said. “Supply-chain resilience is no longer optional—it’s a prerequisite for industrial competitiveness in the 21st century,” he said.

In the past, the sustainability and defense industries were considered incompatible. But in a rapidly changing geopolitical environment characterized by the onset of tariffs and a pushback against green initiatives, the two markets are developing mutual ambitions.

The issue has come to the fore in recent weeks, with the Trump administration pushing to secure mineral deals in Ukraine and parts of Africa, and looking to buy Greenland for the same reason. Europe has signaled moves to rearm and the stocks of European defense companies such as

Thales and **Rheinmetall** have soared, despite the effects of Trump’s trade war on global markets.

“Our security depends as much on tanks and nuclear deterrents as it does on energy

stability and an affordable supply of energy,” said Laurie Laybourn, executive director of the Strategic Climate Risks Initiative, a climate think tank based in the U.K. “Whether or not you think the world is a more dangerous place, you can still improve the security of your society through renewables.”

There is a longstanding argument that investing in defense can’t fit with strong socially responsible corporate values. However, in recent months, market participants in both sectors say that having a strong supply of energy, minerals and technologies reduces reliance on external sources

and in turn creates more-resilient supply chains able to play down new threats. That means more solar, wind and batteries being made and deployed inside state borders.

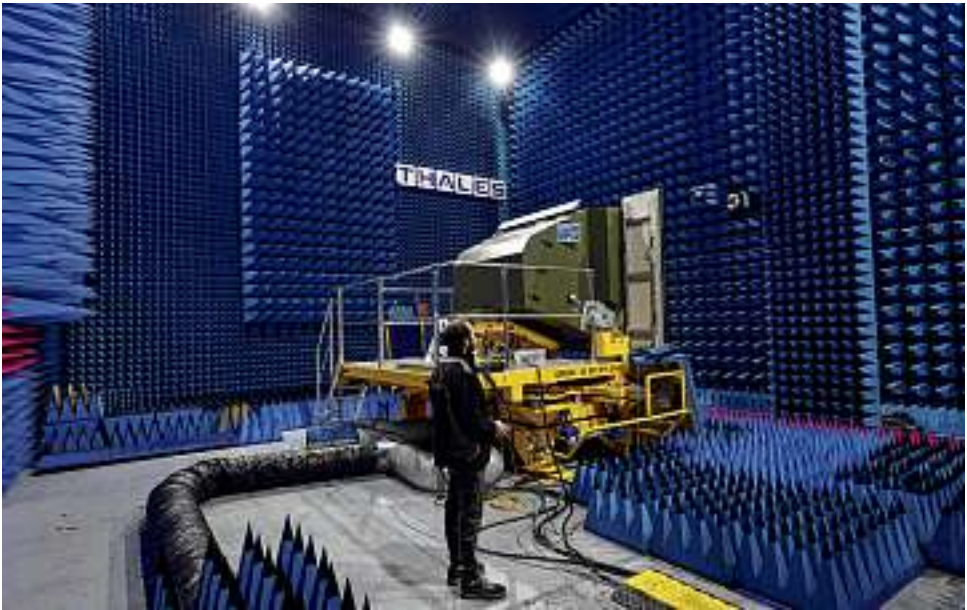
“There are some great yet beneficial ironies in having defense actors in the room right now,” said Olivia Lazard, a researcher on geopolitics and the energy transition at Carnegie Europe.

Lazard explained that the war in Ukraine exposed many of Europe’s vulnerabilities when it came to energy and minerals. Following the invasion, energy prices across the continent skyrocketed over worries that Russia would cut off gas exports to Europe.

The European Commission recently released a list of 47 mineral sites within the EU’s borders that it considers strategically important, part of a new assessment of the bloc’s mineral resources. When it started the initiative in 2023, the messaging focused on minerals such as lithium and copper needed for the energy transition. Now, it includes minerals for defense purposes, such as magnesium and tungsten.

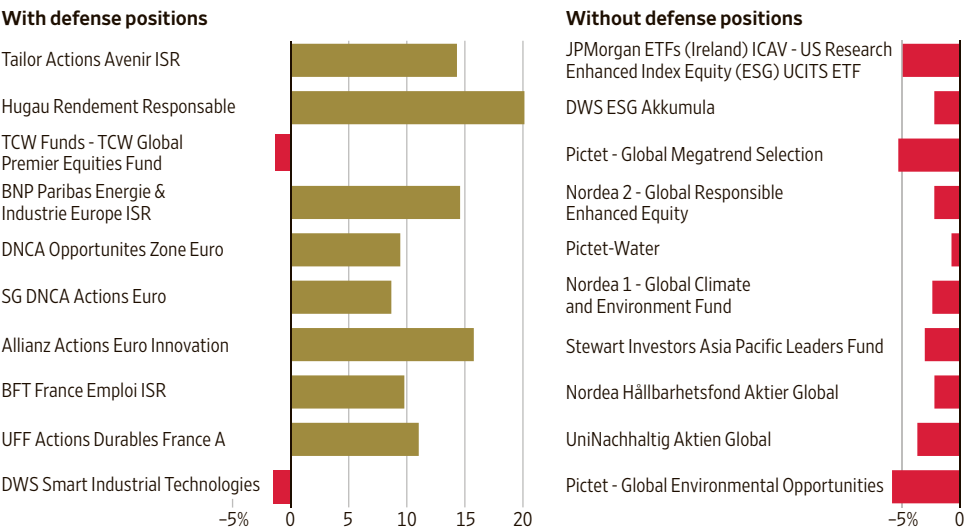
“The case for minerals in Europe has become even stronger with a new call for re-arming,” said Isabelle Dupraz, deputy director at the think tank European Initiative for Energy Security. Dupraz said that despite the fast changes in the geopolitical environment, those shifts could benefit the energy transition. “The need to end oil-and-gas dependency on national security imperative and economic security imperative.”

For investors, returns are already starting to show. Actively managed European ESG funds that included defense stocks outperformed those that didn’t, according to data



Shares of European defense companies such as Thales have soared as the continent rearms.

Returns of European ESG funds in the first quarter 2025



Source: Morningstar Direct

from Morningstar Sustainability. Most funds that include defense recorded returns of at least 10% at the end of March, while those that didn’t were likely posting negative returns, according to Morningstar.

Startups have already taken note. Flight-tracking startup **Wingbits** said that when it started operating, most of its customers were looking for ways to reduce the amount of fuel they used when flying in an effort to lower their emissions. Now, the Sweden-based company’s data is increasingly being sought by military actors, who want to see when

the GPS signals of airplanes or drones have been jammed in an effort to hide the aircraft.

“That is a major use case if you fly into this area you need to know this is happening so you can combat this,” said Robin Wingårdh, co-founder of Wingbits. “Different companies use the same solutions for different things.”

Tom Middendorp, a general serving in the Dutch Army and a former chief of defense with the country’s government, said he had seen first hand during tours of Afghanistan how the effects of climate change could lead to tension and conflict.

“It took a while before we found out it was all about water scarcity. The farmers needed water and couldn’t agree on how to divide the little that was there. So that gave further tensions and the Taliban jumped into that,” Middendorp said.

Middendorp added that as climate change takes hold, conflict on the ground is likely to worsen. “Looking at defense more strategically, if it already affects our security environments at this moment, that will only further increase looking at the future of how climate is changing,” he said.

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MARKETS DIGEST

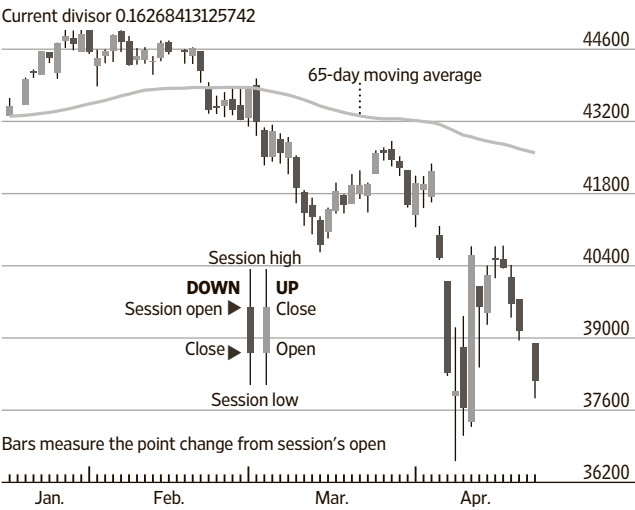
EQUITIES

Dow Jones Industrial Average

38170.41 ▼971.82, or 2.48%

High, low, open and close for each trading day of the past three months.

Trailing P/E ratio 21.92 26.58
P/E estimate * 18.59 18.22
Dividend yield 1.87 2.23
All-time high 45014.04, 12/04/24



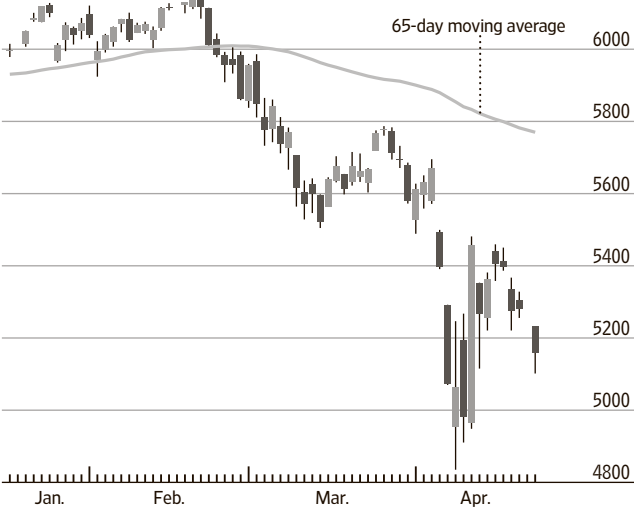
*Weekly P/E data based on as-reported earnings from Birinyi Associates Inc.; †Based on Nasdaq-100 Index

S&P 500 Index

5158.20 ▼124.50, or 2.36%

High, low, open and close for each trading day of the past three months.

Trailing P/E ratio * 21.37 24.36
P/E estimate * 19.78 20.65
Dividend yield * 1.47 1.40
All-time high 6144.15, 02/19/25

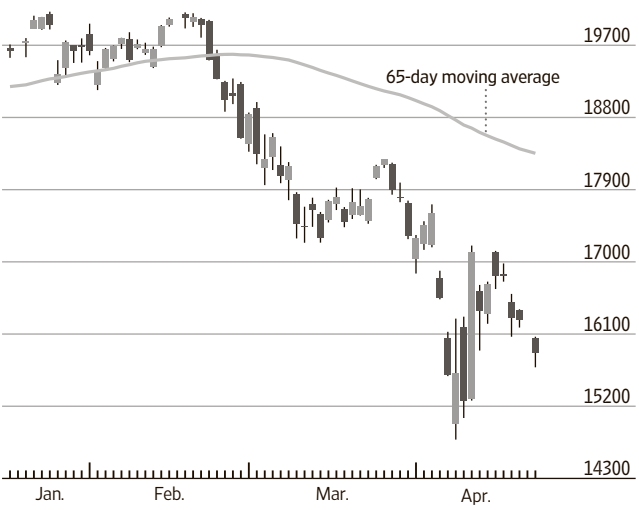


Nasdaq Composite Index

15870.90 ▼415.55, or 2.55%

High, low, open and close for each trading day of the past three months.

Trailing P/E ratio ** 27.15 29.72
P/E estimate ** 23.73 26.22
Dividend yield ** 0.88 0.89
All-time high: 20173.89, 12/16/24



Major U.S. Stock-Market Indexes

	High	Low	Latest Close	Net chg	% chg	High	52-Week Low	% chg	YTD	% chg 3-yr. ann.
Dow Jones										
Industrial Average	38906.04	37830.66	38170.41	-971.82	-2.48	45014.04	37645.59	-0.2	-10.3	3.1
Transportation Avg	13315.46	12961.63	13166.64	-272.08	-2.02	17754.38	12637.04	-13.5	-17.2	-5.1
Utility Average	1017.15	987.49	999.16	-21.39	-2.10	1079.88	883.33	13.1	1.7	-1.9
Total Stock Market	51614.06	50331.62	50881.83	-1232.59	-2.37	61024.05	49067.76	2.1	-12.9	4.7
Barron's 400	1122.07	1092.87	1102.71	-28.43	-2.51	1356.99	1058.38	-0.3	-11.9	3.2

Nasdaq Stock Market										
Nasdaq Composite	16066.79	15685.33	15870.90	-415.55	-2.55	20173.89	15267.91	2.7	-17.8	6.4
Nasdaq-100	18043.08	17592.92	17808.30	-449.79	-2.46	22175.60	17090.40	3.5	-15.2	9.1

S&P										
500 Index	5232.94	5101.63	5158.20	-124.50	-2.36	6144.15	4982.77	2.9	-12.3	5.5
MidCap 400	2727.58	2654.85	2680.89	-63.50	-2.31	3390.26	2560.93	-6.4	-14.1	0.3
SmallCap 600	1166.41	1140.01	1150.62	-24.26	-2.06	1544.66	1106.12	-9.0	-18.3	-3.8

Other Indexes										
Russell 2000	1863.21	1823.38	1840.32	-40.30	-2.14	2442.03	1760.71	-6.5	-17.5	-2.6
NYSE Composite	18367.12	17857.80	18032.37	-334.75	-1.82	20272.04	17188.46	2.4	-5.6	3.0
Value Line	528.61	513.16	518.10	-10.51	-1.99	656.04	495.50	-10.4	-15.2	-5.9
NYSE Arca Biotech	5304.92	5206.62	5241.68	-33.84	-0.64	6318.63	4902.00	6.7	-8.8	1.6
NYSE Arca Pharma	912.81	893.70	901.50	-9.52	-1.04	1140.17	860.88	-7.8	-3.5	2.1
KBW Bank	110.15	107.61	108.80	-1.80	-1.63	140.59	100.09	6.6	-14.6	-2.9
PHLX ^S Gold/Silver	197.65	190.29	193.04	1.54	0.81	195.33	131.01	47.3	40.7	7.2
PHLX ^S Oil Service	56.26	54.69	55.48	-1.62	-2.83	92.31	50.70	-36.7	-23.6	-11.9
PHLX ^S Semiconductor	3765.08	3681.15	3751.91	-80.55	-2.10	5904.54	3562.94	-14.4	-24.7	7.0
Cboe Volatility	35.75	31.79	33.82	4.17	14.06	52.33	11.86	99.6	94.9	14.2

^SNasdaq PHLX Sources: FactSet; Dow Jones Market Data

Late Trading

Most-active and biggest movers among NYSE, NYSE Arca, NYSE Amer. and Nasdaq issues from 4 p.m. to 6 p.m. ET as reported by electronic trading services, securities dealers and regional exchanges. Minimum share price of \$2 and minimum after-hours volume of 50,000 shares.

Most-active issues in late trading

Company	Symbol	Volume (000)	Last	Net chg	After-Hours % chg	High	Low
NVIDIA	NVDA	21,822.0	96.35	-0.56	-0.58	103.08	89.75
Direxion S&P 500 Bear 3X	SPXS	16,347.1	8.27	0.01	0.12	8.30	8.24
ProShares Short S&P 500	SH	8,097.4	47.80	0.01	0.02	47.90	47.79
Apple	AAPL	6,790.9	192.89	-0.27	-0.14	202.40	180.62
ExxonMobil	XOM	5,761.1	105.34	-0.01	-0.01	110.82	102.31
ProSh UltraPro Sh SP 500	SPXU	5,632.8	29.59	-0.03	-0.10	29.76	29.42
Tesla	TSLA	5,406.5	227.70	0.20	0.09	384.95	179.77
ProSh UltSh S&P 500	SDS	5,339.7	24.34	0.14	0.56	24.34	24.19

Percentage gainers...

Splash Beverage Group	SBEV	3,421.0	9.92	3.27	49.17	18.00	6.40
Calix	CALX	127.6	38.05	4.80	14.44	39.00	32.27
TMD Energy	TMDE	107.3	3.85	0.22	6.06	4.69	3.66
Sun Life Financial	SLF	98.9	59.39	2.84	5.02	59.39	56.55
Linde	LIN	73.0	466.04	22.19	5.00	466.04	420.85

...And losers

Medpace Holdings	MEDP	72.7	265.00	-23.99	-8.30	320.00	256.00
Hexcel	HXL	71.1	48.11	-2.39	-4.73	50.50	46.34
Rapid7	RPD	624.4	21.15	-0.75	-3.42	22.32	21.15
Avalonbay Communities	AVB	106.6	195.01	-6.78	-3.36	201.79	195.01
Scotts Miracle-Gro	SMG	63.4	49.90	-1.47	-2.86	52.36	49.90

Trading Diary

Volume, Advancers, Decliners
NYSE NYSE Amer.

Total volume*	1,018,756,014	15,064,355
Adv. volume*	144,902,786	7,776,747
Decl. volume*	867,442,090	7,268,672
Issues traded	2,823	292
Advances	419	88
Declines	2,369	202
Unchanged	35	2
New highs	24	5
New lows	106	1
Closing Arms ¹	0.95	0.41
Block trades ¹	4,766	140

	Nasdaq	NYSE Arca
Total volume*	6,678,735,987	359,830,406
Adv. volume*	2,105,585,624	110,164,251
Decl. volume*	4,325,078,784	248,638,082
Issues traded	4,533	2,224
Advances	1,228	357
Declines	3,183	1,851
Unchanged	122	16
New highs	44	46
New lows	199	30
Closing Arms ¹	0.79	0.40
Block trades ¹	45,429	1,534

*Primary market NYSE, NYSE American, NYSE Arca only.
¹(TRIN) A comparison of the number of advancing and declining issues with the volume of shares rising and falling. An Arms of less than 1 indicates buying demand; above 1 indicates selling pressure.

International Stock Indexes

Region/Country	Index	Close	Net chg	Latest % chg	YTD % chg
World	MSCI ACWI	783.11	-10.31	-1.30	-6.9
	MSCI ACWI ex-USA	339.51	1.87	0.55	4.2
	MSCI World	3424.33	-51.73	-1.49	-7.6
	MSCI Emerging Markets	1071.95	3.36	0.31	-0.3
	MSCI AC Americas	1952.58	-44.78	-2.24	-11.7
Canada	S&P/TSX Comp	24008.86	-183.95	-0.76	-2.9
Latin Amer.	MSCI EM Latin America	2069.42	21.64	1.06	11.7
Brazil	Bovespa	129650.03	...	Closed	7.8
Chile	S&P IPSA	4102.92	-33.81	-0.82	13.5
Mexico	S&P/BMV IPC	53758.75	740.18	1.40	8.6
EMEA	STOXX Europe 600	506.42	...	Closed	-0.2
	Euro STOXX	517.79	...	Closed	2.5
	Bel-20	4197.65	...	Closed	-1.6
	OMX Copenhagen 20	1625.06	...	Closed	-22.7
	CAC 40	7285.86	...	Closed	-1.3
	DAX	12105.86	...	Closed	6.5
	Tel Aviv	2461.08	-30.71	-1.23	2.8
	FTSE MIB	35980.43	...	Closed	5.2
	AEX	852.20	...	Closed	-3.0
	Oslo Bors All-Share	1660.79	...	Closed	1.0
	FTSE/JSE All-Share	89486.79	...	Closed	6.4
	IBEX 35	12918.00	...	Closed	11.4
	OMX Stockholm	894.01	...	Closed	-6.3
	Swiss Market	11660.60	...	Closed	0.5
	BIST 100	9321.94	4.40	0.05	-5.2
Asia-Pacific	FTSE 100	8275.66	...	Closed	1.3
	FTSE 250	19250.01	...	Closed	-6.7
	MSCI AC Asia Pacific	179.25	0.16	0.09	-1.3
	S&P/ASX 200	7819.10	...	Closed	-4.2
	Shanghai Composite	3291.43	14.70	0.45	-1.8
	Hang Seng	21395.14	...	Closed	6.7
	BSE Sensex	79408.50	855.30	1.09	1.6
	NIKKEI 225	34279.92	-450.36	-1.30	-14.1
	Straits Times	3759.22	38.89	1.05	-0.7
	KOSPI	2488.42	5.00	0.20	3.7
South Korea	TAIEX	19106.20	-288.83	-1.49	-17.1
	SET	1134.71	-16.24	-1.41	-19.0

Sources: FactSet; Dow Jones Market Data

Percentage Gainers...

Company	Symbol	Close	Net chg	% chg	High	Low	% chg
Upexi	UPXI	9.89	7.60	330.94	22.00	1.90	0.9
SHF Holdings	SHFS	4.19	1.96	87.89	18.80	1.84	-71.3
MicroAlgo	MLGO	11.86	5.08	74.93	509.60	1.11	-75.1
Splash Beverage Group	SBEV	6.65	2.47	59.09	20.83	0.96	-49.2
Mingteq International	MTEN	6.10	1.88	44.55	9.87	1.81	71.8
Forge Global	FRGE	12.30	3.61	41.54	31.65	6.60	-57.3
Inno Holdings	INHD	8.56	2.33	37.50	9.10	3.00	50.4
Excire	XCUR	11.30	2.86	33.89	36.00	1.44	318.8
Highest Performances ADR	HPH	8.32	1.76	26.83	558.00	3.76	-98.5
Dogwood Therapeutics	DWTX	5.37	1.10	25.76	29.28	1.62	-49.5
Patriot National Bancorp	PNBK	4.03	0.75	22.87	4.33	0.99	11.9
Ohmyhome	OMH	3.60	0.64	21.62	6.50	1.83	-33.1
Solid Biosciences	SLDB	3.03	0.48	18.82	10.99	2.45	-66.5
Lexeo Therapeutics	LXEO	3.21	0.50	18.45	19.50	1.45	-74.6
Baiya International Group	BIYA	3.71	0.52	16.30	8.00	1.21	...

Most Active Stocks

Company	Symbol	Volume (000)	% chg from 65-day avg	Latest Session % chg	52-Week High	Low	% chg
Damon	DMN	593,822	222.7	0.004	23.53	4.95	0.003
NVIDIA	NVDA	274,623	-10.6	96.91	-4.51	153.13	76.40
Direxion Dly SCOND 3 BL	SOXL	250,892	61.0	8.71	-5.33	70.08	7.23
Sharps Technology	STSS	158,146	68.3	0.03	...	18.15	0.01
ReShape Lifesciences	RSLS	150,549	1121.7	0.38	23.73	29.00	0.30
Direxion TSLA Bull 2X	TSLX	148,260	-2.4	6.78	-11.60	41.50	4.94
Plug Power	PLUG	135,001	113.1	0.79	-12.41	4.90	0.76
Femto Technologies	FMTQ	114,961	449.7	0.01	-36.84	25.84	0.01
ProShares UltraPro QQQ	TQQQ	113,177	16.0	41.86	-7.31	93.79	35.00
Direxion S&P 500 Bear 3X	SPXS	110,084	35.9	8.26	6.86	10.67	5.55

* Volumes of 100,000 shares or more are rounded to the nearest thousand

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Percentage Losers

Company	Symbol	— Latest Session —			— 52-Week —		
		Close	Net chg	% chg	High	Low	% chg
Lixiang Education ADR	LXEH	2.87	-3.97	-58.04	50.08	1.53	-28.5
American Rebel Holdings	AREB	2.39	-2.77	-53.68	231.75	1.10	-97.0
China SXT Pharm	SXTX	1.02	-1.14	-52.78	11.92	0.97	-88.0
SUNation Energy	SUNE	2.79	-1.21	-30.25	62700.00	2.70	-99.9
Janover	JNVR	39.35	-13.53	-25.58	79.50	3.37	356.5
Zhengye Biotechnology	ZYBT	7.70	-2.36	-23.46	11.20	3.50	...
Auddia	AUUD	3.26	-0.94	-22.38	33.32	3.00	-89.6
Scilex Holding	SLCX	4.70	-1.32	-21.93	80.50	4.56	-85.9
Starbox Group Holdings	STBX	1.89	-0.53	-21.90	492.80	1.37	-99.6
Local Bounti	LOCL	2.79	-0.76	-21.41	5.75	1.18	6.9
iCoreConnect	ICCT	1.91	-0.52	-21.40	27.80	0.24	-91.5
MicroCloud Hologram	HOLO	12.20	-3.16	-20.57	3120.00	11.21	-99.4
Eason Technology ADR	DXF	7.05	-1.65	-18.97	73.75	0.14	-77.9
Treasure Global	TGL	2.33	-0.50	-16.67	300.00	1.71	-99.0
TMC the metals company	TMC	2.44	-0.52	-17.57	3.57	0.72	48.8

Futures Contracts

Metal & Petroleum Futures					
	Open	High	Low	Settle	Open interest
Copper-High (CMX)-25,000 lbs.; \$ per lb.					
April	4.6940	4.7220	4.6940	4.7210	-0.0105 3,451
July	4.7565	4.8565	4.7370	4.7800	-0.0105 75,767
Gold (CMX)-100 troy oz.; \$ per troy oz.					
April	3342.20	3418.50	▲	3340.50	97.50 1,134
May	3330.00	3425.80	▲	3329.90	96.70 5,382
June	3347.00	3442.30	▲	3344.00	3425.30 96.90 349,922
July	3362.50	3455.00	▲	3362.50	3439.20 97.10 440
Aug	3375.10	3470.70	▲	3373.00	3454.60 97.50 60,139
Sept	3436.40	3475.00	▲	3436.00	3468.90 97.80 44
Palladium (NYM) - 50 troy oz.; \$ per troy oz.					
April	965.00	970.00	▲	965.00	925.70 -29.70 7
June	963.00	968.00	▲	931.10	-29.70 19,195
Platinum (NYM)-50 troy oz.; \$ per troy oz.					
April	957.70	957.70	957.70	957.80	-9.50 21
July	977.00	986.00	965.10	967.10	-9.90 69,818
Silver (CMX)-5,000 troy oz.; \$ per troy oz.					
April	32.650	32.785	32.620	32.496	0.076 113
July	32.780	33.415	32.695	32.832	0.052 70,595
Crude Oil, Light Sweet (NYM)-1,000 bbls.; \$ per bbl.					
May	64.30	64.43	62.45	63.08	-1.60 46,858
June	63.65	63.78	61.76	62.41	-1.60 323,773
July	63.02	63.10	61.10	61.68	-1.66 177,734
Sept	61.98	62.00	60.07	60.51	-1.71 141,551
Dec	61.05	61.14	59.43	59.73	-1.62 217,243
Dec'26	60.85	61.16	59.71	59.88	-1.30 134,480
NY Harbor ULSD (NYM)-42,000 gal.; \$ per gal.					
May	2.1462	2.1487	2.0986	2.1089	-0.0434 46,663
June	2.1055	2.1076	2.0586	2.0686	-0.0437 100,945
Gasoline-NY RBOB (NYM)-42,000 gal.; \$ per gal.					
May	2.0941	2.0966	2.0424	2.0653	-0.0335 63,141
June	2.0832	2.0882	2.0354	2.0556	-0.0349 114,596
Natural Gas (NYM)-10,000 MMBtu.; \$ per MMBtu.					
May	3.198	3.225	▼	2.994	3.016 -229 76,564
June	3.367	3.391	▼	3.155	3.177 -233 147,757
July	3.626	3.653	▼	3.415	3.439 -224 161,748
Sept	3.680	3.701	3.475	3.499	-207 116,655
Oct	3.728	3.775	3.553	3.576	-200 109,872
Jan'26	4.789	4.850	4.667	4.685	-154 122,647
Agriculture Futures					
Corn (CBT)-5,000 bu.; cents per bu.					
May	483.25	487.25	481.25	481.75	-50 279,832
July	491.25	495.00	489.50	490.00	-25 660,700
Oats (CBT)-5,000 bu.; cents per bu.					
May	359.00	361.25	352.75	355.75	-75 571
July	345.00	348.50	338.50	341.50	-35.0 2,013
Soybeans (CBT)-5,000 bu.; cents per bu.					
May	1039.75	1043.75	1029.00	1029.50	-7.00 153,408

Dividend Changes

Company	Symbol	Yld %	Amount New/Old	Payable/ Frq	Record
Increased					
Portland General Electric	POR	4.7	525 /50	Q	Jul15 /Jun24
Qualcomm	QCOM	2.5	89 /85	Q	Jun26 /Jun05
Reduced					
Mesa Royalty Trust	MTR	3.4	025 /03017	M	Jul31 /Apr30
Stocks					
FOXO Technologies	Foxo	110			/Apr29

Cash Prices | wsj.com/market-data/commodities

Monday, April 21, 2025

These prices reflect buying and selling of a variety of actual or "physical" commodities in the marketplace—separate from the futures price on an exchange, which reflects what the commodity might be worth in future months.

Monday		Monday		Monday	
Energy		4.7210		5.3600	
Coal,C Aplc.,12500Btu,12502-r,w		78.000		5.6075	
Coal,PwdrRvRbSn,8800Btu,0.8502-r,w		14.300		6.2250	
Metals		9375		320.51	
Gold, per troy oz		3420.00		303.10	
Engelhard industrial		3420.84		2.3200	
Handy & Harman base		3797.13		180.75	
Handy & Harman fabricated		*n.a.		177.50	
LBMA Gold Price AM		*n.a.		118.25	
LBMA Gold Price PM		*n.a.		3.7937	
Kruggerand,wholesale-e		3576.63		3.9432	
Maple Leaf-e		3662.19		3.6050	
American Eagle-e		3662.19		15.30	
Mexican peso-e		4415.51		n.a.	
Austria crown-e		3357.84		n.a.	
Austria phil-e		3593.74		n.a.	
Silver, troy oz.		33.0500		0.5100	
Engelhard industrial		32.7750		1.6854	
Handy & Harman base		40.9690		1.0172	
Handy & Harman fabricated		*n.a.		n.a.	
LBMA spot price		*n.a.		361.00	
(U.S.\$ equivalent)		24772		n.a.	
Coins,wholesale \$1,000 face-a		*n.a.		n.a.	
Other metals		*n.a.		n.a.	
LBMA Platinum Price PM		*n.a.		n.a.	
LBMA Palladium Price PM		*n.a.		n.a.	
Platinum,Engelhard industrial		975.0		0.4692	
Palladium,Engelhard industrial		960.0		0.5350	
Aluminum,LME, \$ per metric ton		*n.a.		n.a.	

KEY TO CODES: A=ask; B=bid; BP=country elevator bids to producers; C=corrected; D=CME; E=Manfra,Tordella & Brookes; H=American Commodities Brokerage Co; K=bi-weekly; M=monthly; N=nominal; n.a.=not quoted or not available; P=Sosland Publishing; R=SWL Energy; S=Platts-TSI; T=Cotlook Limited; U=USDA; V=Benchmark Mineral Intelligence; W=weekly; Y=International Coffee Organization; Z=not quoted. *Data as of 4/18

Source: Dow Jones Market Data

Borrowing Benchmarks | wsj.com/market-data/bonds/benchmarks

Money Rates

April 21, 2025

Key annual interest rates paid to borrow or lend money in U.S. and international markets. Rates below are a guide to general levels but don't always represent actual transactions.

Inflation		Latest		Week ago		-52-WEEK-- High Low	
March index level		Chg From (%)		Feb. '25		March '24	
U.S. consumer price index		All items		319.799		0.22 2.4	
Core		325.933		0.21 2.8			
International rates		Latest		Week ago		-52-Week-- High Low	
Prime rates		U.S.		7.50		7.50 8.50 7.50	
Canada		4.95		4.95 7.20 4.95			
Policy Rates		Euro zone		2.65		2.65 4.50 2.65	
Switzerland		0.75		0.75 2.00 0.75			
Britain		4.50		4.50 5.25 4.50			
Australia		4.10		4.10 4.35 4.10			
Overnight repurchase		U.S.		4.38		4.45 5.45 4.00	
U.S. government rates		Discount		4.50		4.50 5.50 4.50	

Key Interest Rates

Data are annualized on a 360-day basis. Treasury yields are per annum, on actively traded noninflation and inflation-indexed issues that are adjusted to constant maturities. Data are from weekly Federal Reserve release H.15.

Week Ended		-52-Week-- High Low	
Apr 18	Apr 11	High	Low
Federal funds (effective)			
4.33	4.33	5.33	4.33
Commercial paper			
Nonfinancial			
1-month	4.40	4.34	5.33 4.29
2-month	4.40	4.33	5.34 4.24
3-month	4.38	4.34	5.34 4.21
Financial			
1-month	4.35	4.34	5.35 4.30
2-month	4.35	4.34	5.34 4.28
3-month	4.39	4.33	5.36 4.27
Discount window primary credit			
4.50	4.50	5.50	4.50
Treasury yields at constant maturities			
1-month	4.35	4.36	5.52 4.35
3-month	4.33	4.33	5.52 4.31
Notes on data:			
Federal-funds rate is an average for the seven days ended Wednesday, weighted according to rates on broker trades; Commercial paper rates are discounted offer rates interpolated from sales by discounted averages of dealer bid rates on nationally traded certificates of deposit; Discount window primary credit rate is charged for discounts made and advances extended under the Federal Reserve's primary credit discount window program; rate is average for seven days ended Wednesday; Inflation-indexed long-term TIPS average is indexed and is based on the unweighted average bid yields for all TIPS with remaining terms to maturity of 10 years or more;			
Sources: Federal Reserve; for additional information on these rate data and their derivation, please see, https://www.federalreserve.gov/data/download/Build.aspx?ref=H15			

	Open	High	Low	Settle	Chg	Open interest
July	1050.25	1054.75	1040.75	1041.50	-6.25	324,520
Soybean Meal (CBT)-100 tons; \$ per ton.						
May	296.70	297.90	292.60	292.90	-2.70	112,246
July	304.00	305.30	300.00	300.30	-2.80	263,639
Soybean Oil (CBT)-60,000 lbs; cents per lb.						
May	47.86	48.28	47.46	47.82	-.05	69,537
July	48.26	48.77	47.95	48.31	-.03	235,147
Rough Rice (CBT)-2,000 cwt.; \$ per cwt.						
May	13.47	13.60	13.38	13.55	.07	5,789
July	13.58	13.69	13.46	13.65	.09	5,446
Wheat (CBT)-5,000 bu; cents per bu.						
May	549.25	552.75	537.25	538.50	-10.25	73,686
July	562.00	566.50	551.25	552.25	-10.00	231,788
Wheat (KC)-5,000 bu; cents per bu.						
May	554.75	562.00	549.75	550.75	-6.75	35,758
July	568.75	575.00	562.75	563.75	-6.25	137,684
Cattle-Feeder (CME)-50,000 lbs; cents per lb.						
May	286.90	288.35	285.10	285.525	-1.325	16,363
Aug	290.875	292.375	288.050	289.150	-1.725	32,354
Cattle-Live (CME)-40,000 lbs; cents per lb.						
April	209.900	210.975	209.000	209.775	-.050	8,023
June	204.250	206.175	203.400	203.750	-.325	132,908
Hogs-Lean (CME)-40,000 lbs; cents per lb.						
May	90.525	91.350	90.525	91.025	.625	4,040
June	98.400	99.100	97.550	98.050	.025	93,843
Lumber (CME)-27,500 bd. ft. \$ per 1,000 bd. ft.						
May	570.00	570.00	▼ 563.50	565.50	-7.50	3,392
July	598.00	598.00	▼ 591.00	593.50	-5.00	2,542
Milk (CME)-20,000 lbs; cents per lb.						
April	17.37	17.39	17.33	17.37	...	4,380
May	18.26	18.68	17.93	18.16	-.14	6,921
Cocoa (ICE-US)-10 metric tons; \$ per ton.						
May	8,380	8,970	8,380	8,810	445	4,588
July	8,300	8,887	8,300	8,701	406	36,944
Coffee (ICE-US)-37,500 lbs; cents per lb.						
May	374.50	379.00	364.40	366.80	-8.70	2,502
July	371.75	376.55	362.30	364.55	-8.05	67,451
Sugar-World (ICE-US)-112,000 lbs; cents per lb.						
May	17.93	18.14	17.76	17.81	-.12	98,541
July	17.80	18.05	17.67	17.74	-.07	322,394
Soy-Domestic (ICE-US)-112,000 lbs; cents per lb.						
July	37.01	37.01	37.01	37.01	...	655
Cotton (ICE-US)-50,000 lbs; cents per lb.						
May	66.25	66.80	65.35	65.77	-.55	7,829
July	67.20	67.40	66.21	66.82	-.31	115,284
Orange Juice (ICE-US)-15,000 lbs; cents per lb.						
May	305.65	305.65	289.00	289.00	-15.00	2,344
July	289.90	289.90	274.40	274.40	-15.00	4,301

MARKETS

Uncertainty Takes a Toll on Cotton Farms

Foreign buying is at risk as trade war roils the economics of growing the fiber

By Kirk Maltais

President Trump’s trade war comes as cotton farmers endure tough economics that aren’t expected to improve—leaving growers of the American staple crop with few choices.

Low commodity prices, high costs for supplies and an unpredictable world have cotton growers across the country on the ropes.

“The last two years have been, from an economic standpoint, as tough as I’ve ever seen,” said Lee Cromley, who farms 2,300 acres of cotton and peanuts in Brooklet, Ga.

Cromley, who has been farming for roughly 40 years, has seen challenges stack up for his cotton operations. Not only are farmers losing money on their crops—in Cromley’s case, roughly \$200 a cotton acre this year—but situations keep popping up for many producers that are putting them even further behind financially, including cleanup of damage from Hurricane Helene last year.

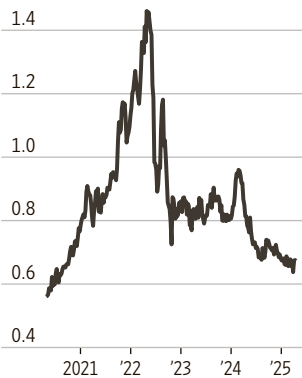
“Our hope this year is to cover our variable cost and help on some of our fixed costs,” said Cromley. “Obviously, that’s not sustainable.”

Cotton futures trading on the Intercontinental Exchange on Monday were down 0.8¢ to just below 67 cents a pound. Futures remain close to the 2025 low of 63 cents a pound revisited earlier this month following Trump’s speech announcing tariffs. Before this year, cotton prices hadn’t been that low since the Covid-19 pandemic.

Cotton futures are stymied by the tit-for-tat tariff battle between China and the U.S., with the U.S. raising tariffs on

Cotton futures prices*

\$1.6 a pound



*Continuous contract
Source: FactSet

In the 2024-2025 marketing year, U.S. cotton mills are estimated to consume the least cotton since the 1880s.

Chinese goods now up to as much as 245% in some cases. China has so far responded with a 125% tariff on U.S. goods.

China is the largest consumer of cotton in the world, and the country has a major influence on global cotton prices. China’s economy grew at a rate of 6.7% in 2018, the year after the first U.S.-China trade war commenced. But some economists think this second round will have a more vicious bite.

“When that trade war happened, there was a great big reshuffle,” said John Robinson, a cotton-marketing economist and professor in the Department of Agricultural Economics for Texas A&M. According to Robinson, supply chains for U.S. cotton were expanded to other nations in hopes of making the market better prepared for any future trade disruptions.

But with the threat of reciprocal tariffs, though paused for 90 days from April 9, this second trade war may create new barriers in those very markets in which U.S. exporters have been trying to grow to decrease their reliance on



MICAH GREEN/BOOMBERG NEWS

China.

Now Vietnam is the leading destination for U.S. cotton shipments, with commitments there so far in this marketing year to purchase nearly 2.5 million 480-pound bales of cotton from the U.S., according to data from the U.S. Department of Agriculture. Cotton sales to China were less than 30% of that in the same time frame, with the country seen fulfilling more of its cotton needs from suppliers such as Brazil.

But Vietnam was listed as one of the targets of reciprocal tariffs, with a 46% rate imposed before the 90-day pause. Tariffs also were assigned to India, Bangladesh, and Pakistan—the next-largest cotton users globally.

Trump has often touted tariffs as means of redirecting manufacturing back to America and making up for the loss

in export demand, posting on his Truth Social account over the weekend that the “easiest path” for companies to avoid tariff penalties is to “build in America.” Like for many industries, there is a lot of

ground that manufacturers of clothing and textiles would need to cover quickly to do so. In a report this month, the USDA estimated that U.S. cotton mills in the 2024-2025 marketing year would consume the lowest amount of cotton since the 1880s.

Some in the cotton industry are hopeful U.S. tariffs won’t lead to retaliation, which would allow fiber sales to continue unfettered. But

the threat looms. Should the tariffs come into full force, prices for apparel are expected to rise by 17%. Textiles in general could rise nearly 10%.

Cotton is uniquely exposed to the effects of tariffs in a way other U.S. crops like corn and soybeans aren’t. Buying new clothes is a discretionary expense, and it would be among the first costs that consumers would cut back on during an economic downturn.

Like for most farmers, costs for supplies such as seeds and fertilizer remain high and are expected to rise as new tariffs set in. But for

cotton farmers, costs for specialized machinery are becoming unmanageable—prices for a new cotton-picking machine now well above \$1 million. These machines can’t be used to work on more-standard row crops like corn or soybeans, making it hard for cotton farmers to simply pivot to other more-lucrative crops.

So many cotton farmers are grappling with realities of money-losing acres, and the outdated Farm Bill—which was extended through September 2025 but uses crop-insurance figures that were formulated when the bill was passed in 2018—means the safety net for cotton farmers is especially weak.

“We’ve gone beyond just losing money; we’ve got growers losing the farm,” said Gary Adams, President and CEO of the National Cotton Council.

245%

The top U.S. tariff rate on goods from China, the largest cotton consumer

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MARKETS

Dow Nears the Worst April Since 1932

By HANNAH ERIN LANG

The Trump rout is taking on historic dimensions.

The Dow Jones Industrial Average shed almost 1,000 points on Monday and is headed for its worst April performance since 1932, according to Dow Jones Market Data.

The S&P 500 index's performance since Inauguration Day is now the worst for any presidential term on record in data going back to 1928, according to Bespoke Investment Group.

Worries about trade restrictions and the prospect of President Trump firing Federal Reserve Chairman Jerome Powell have investors bracing for greater losses ahead.

Corporate earnings reports are rolling in, along with executives' tariff-dented financial outlooks for the months ahead. Few executives think the administration's negotiations with trade partners will yield results soon enough to ease the strain.

Meanwhile, counterweights that usually strengthen when stocks fall—like government bonds and the U.S. dollar—are also under pressure, leaving investors with few havens to wait out the storm.

"It's the hallmark of the 'no confidence' trade," said Scott Ladner, chief investment officer at Horizon Investments. The Charlotte-based firm trimmed its U.S. equity position several weeks ago to favor more international stocks.

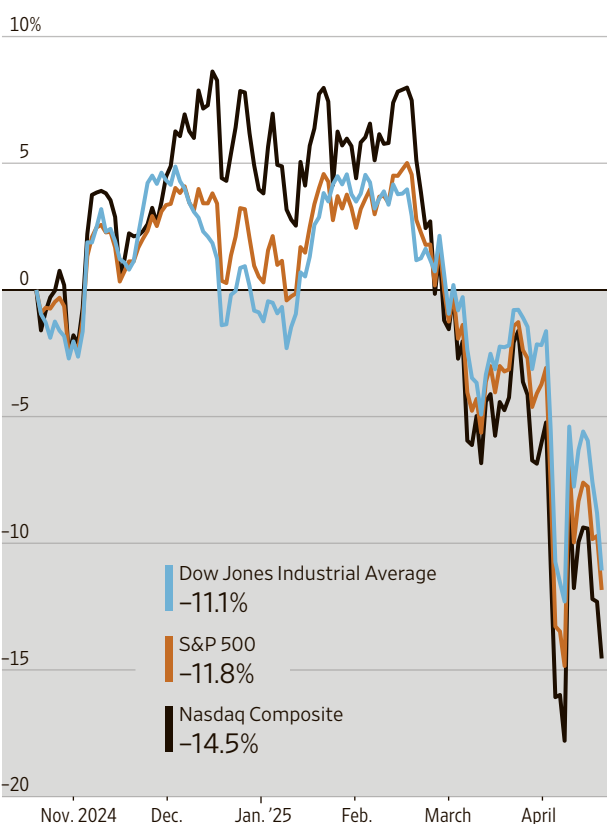
"It's impossible to commit capital to an economy that is unstable and unknowable because of policy structure," Ladner said.

Here is how markets have reacted as threats have multiplied:

Stocks

In the weeks after Donald Trump's presidential victory, major U.S. stock indexes soared, lifted by investors' hopes for tax cuts and a deregulatory push that could boost

Index performance over the past six months



Sources: FactSet (performance, gold futures, VIX); Tullett Prebon (yields); Dow Jones Market Data (dollar index)

corporate earnings.

But the administration instead pressed ahead with aggressive tariffs that threaten to raise prices and slow economic growth.

Many investors still wrote off the president's threats as mere bluster, a negotiating tactic meant to spur concessions from other countries. That changed on April 2, the day Trump declared "Liberation Day" and when he revealed steep tariffs that sent financial markets into a tailspin.

Treasurys

Markets still haven't recovered—even after the president rolled back and delayed many of his tariff plans.

Typically, bond prices rise when stocks fall, offering a hedge for investors during

stock market turmoil.

But that hasn't been the case in recent weeks.

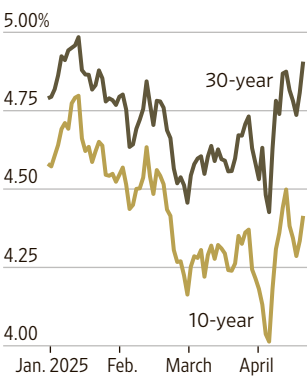
Yields on 10-year U.S. Treasurys, a key benchmark for borrowing costs, have increased 0.16 percentage point in April.

Bond yields rise as prices fall, meaning investors are selling U.S. government bonds—widely considered one of the safest and most dependable assets—even when stocks are falling.

The dollar

Concerns about the economy, along with fears about Trump's growing feud with the

U.S. Treasury yields



Gold futures price



Fed, are weighing on the U.S. dollar.

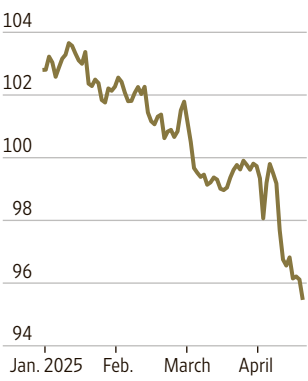
The ICE U.S. dollar index, a measure of the dollar against a basket of major currencies, slipped more than 1% on Monday to its lowest level in three years.

Gold

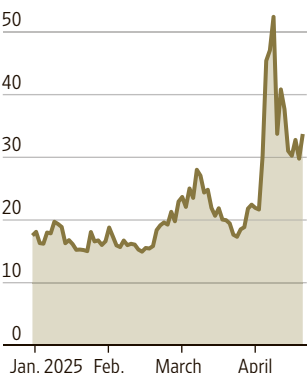
With other defensive plays falling short, investors have piled into one of oldest hedges there is: gold. Future prices for the precious metal reached another all-time high on Monday.

Gold futures gained over 2% from Thursday's settling price to breach \$3,400 for the first time. Gold futures have climbed almost 30% since the

WSJ Dollar Index



Cboe Volatility Index



start of the year.

VIX

The markets' "fear gauge" remains elevated, with worries about the trade war and the broader economy adding up to expectations for more volatility ahead.

Sentiment

The mood on Wall Street is darkening as a result. Bearishness levels—or expectations that stock prices will fall—among ordinary investors have hovered above 50% for eight consecutive weeks, according to a weekly survey from the American Association of Individual Investors.

That is the longest-lasting bear majority on record, the investor group said, based on data going back to 1987.

STOCK SPOTLIGHT

Hertz Global Holdings

Hertz shares dropped 5% following a huge rally last week prompted by hedge-fund manager Bill Ackman's firm disclosing a significant stake in the rental-car company.

MicroStrategy

Crypto-sensitive stocks, including bitcoin hoarder MicroStrategy, rose 0.2% after bitcoin rebounded Monday to its highest level since early March.

Capital One Financial

The credit-card issuer's shares gained 1.5% after bank regulators approved its \$35 billion acquisition of rival Discover late Friday. Discover shares increased 3.6% on Monday.

Comerica and Zions Bancorp
The regional banks slid after reporting earnings before the market opening. Comerica's shares lost 4.4% while Zions stock declined 1.5%.

Tesla

The electric-vehicle manufacturer is scheduled to publish its financial results on Tuesday. The company's shares dropped 5.8% on Monday.

TUESDAY'S EVENTS:

◆ **Federal Reserve Speakers:**
Vice Chair Philip Jefferson on economic mobility, and Fed governor Adriana Kugler on monetary policy.

EARNINGS EXPECTED:

Morning Earnings:
GE Aerospace
Verizon
3M
RTX
Lockheed Martin

Afternoon Earnings:
Tesla
Capital One

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FINANCIAL ANALYSIS & COMMENTARY

More Bad News for Luxury Stocks

Weak dollar, record gold price give high-end brands more to worry about than just tariffs and lower consumer spending

As if direct tariffs weren't bad enough: Skittish investors who are dumping the dollar and hoarding gold could make a visit to the luxury store even more expensive for Americans.

The dollar has slid roughly 6% against the euro since April 2. Its fall has been surprising; investors usually buy the dollar when the outlook for the economy darkens. Worries about how President Trump's 145% tariffs could hurt the Chinese economy also have sent the yuan down around 6% against the euro recently.

The moves are a problem for European luxury companies. Their businesses thrive when the dollar and yuan are strong and the euro is weak.

High-end brands manufacture their goods in Italy and France, so their costs are in euros. But they do most of their business with Chinese and American consumers, who together generate more than half of the luxury-goods industry's sales.

Meanwhile, investors and central banks crowd into gold, creating another irritant for brands. Gold touched more than \$3,300 an ounce last week. This raises input costs for luxury watch and jewelry makers that will have to be passed on to clients.

Brands will probably have to raise prices in the U.S. and China to protect their profit margins. Trump's 90-day tariff pause means imports from the European Union currently carry a 10% levy, down from the 20% rate that was initially



Some brands can lift their prices, but weaker ones like Gucci can't do it without risking driving customers away.

announced.

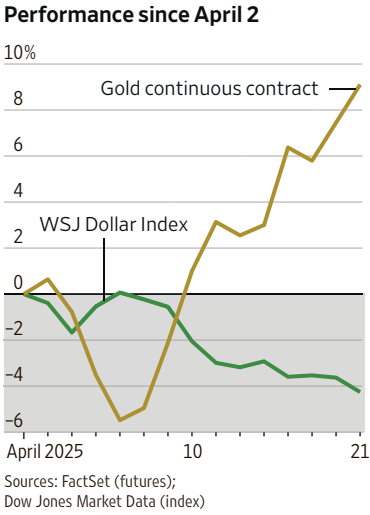
But any temporary relief from the lower rate will be wiped out by the weaker dollar, according to analysts at Jefferies.

Brands such as Chanel and **Christian Dior** that cater to the wealthiest shoppers can probably get away with charging more with-

out damaging demand. Last week, **Hermès** said it would raise prices in the U.S. on May 1, passing the full pain of tariffs on to the American consumer. For weaker labels such as Gucci, price increases could give customers a reason to stay away.

Shoppers also will be less in the

mood to splurge while on vacation. U.S. luxury consumers make around 20% of their purchases overseas, according to Bernstein luxury analyst Luca Solca. Regional price differences and tax refunds mean it can be almost one-third cheaper to buy the same Louis Vuitton handbag in Paris than in New York.



The dollar's slide will make overseas shopping trips more expensive. So American tourists won't provide the same boost to sales in Europe's luxury stores that they have over the past couple of years.

Luxury brands already hurt their businesses by raising prices too quickly during the pandemic and sidelining middle-class consumers. The number of luxury goods sold between 2022 and 2024 collapsed more than one-fifth, according to estimates from consulting firm Bain & Co.

Posh brands have developed a reputation for offering poor value for money. That will be harder to shake as gold bugs and the weaker dollar force them to raise their prices again.

—Carol Ryan

How Long Will Big U.S. Banks Continue To Lead the World?

America is the China of banking.

While the U.S. may import more manufactured goods than it exports, it runs a large trade surplus in one notable business: financial services. The overall U.S. trade surplus for financial services in 2024 was about \$130 billion, according to data from the U.S. Bureau of Economic Analysis.

Some of that reflects quirks of global money flows, like U.S. firms managing offshore funds. But it also includes things such as trading commissions, underwriting and mergers-and-acquisitions advice. Categories including those services collectively represented a nearly \$10 billion surplus last year.

This plays out in practice in global league tables for advising on deals and fundraising. The rankings have tilted sharply toward American banks in the period since the 2008 financial crisis. Last year, U.S. banks occupied the top five spots for investment-banking revenue worldwide, and were seven of the top 10, according to Dealogic.

So when it comes to a global trade war, U.S. megabanks could become collateral damage. Many of Europe's champions retrenched over the past 15 years, while Chinese and Asian powerhouses have limited heft beyond their region. A

long-lasting trade war could begin to change the playing field.

Already, U.S. banks have reported a slowdown in dealmaking activity, with clients on pause as they wait for clarity on trade policy. The risk is that they lose even the deals that are getting done to foreign rivals they previously bested.

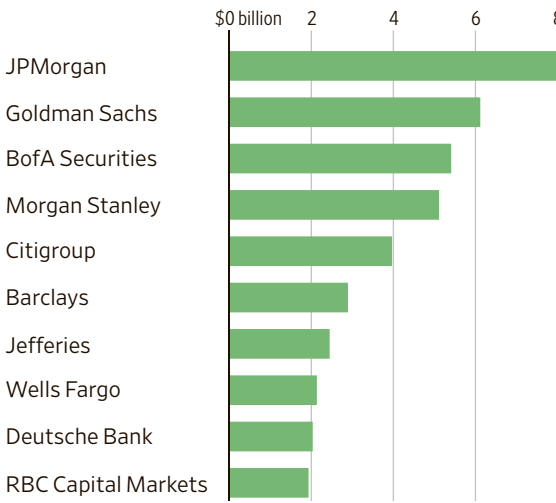
"We will be in the crosshairs. That's what's going to happen," **JPMorgan Chase** Chief Executive Jamie Dimon acknowledged on the bank's first-quarter earnings call.

"And it's OK. We're deeply embedded in these other countries, people like us," he added. "But I do think some clients or some countries will feel differently about American banks, and we'll just have to deal with that."

Since these U.S. giants already have a huge share of their home market, global diversification isn't about bragging rights. It's an important driver of growth.

JPMorgan has said that every day it moves more than \$10 trillion across 160-plus countries in over 120 currencies. Lending to non-U.S. commercial customers, meanwhile, is a major source of new loans for **Bank of America**. As of the first quarter, these were up almost 14% since the end of 2022 compared with overall loan growth of 6%.

Global investment-banking revenue by firm, 2024



Sources: Dealogic (investment-banking revenue); U.S. Bureau of Economic Analysis (services)

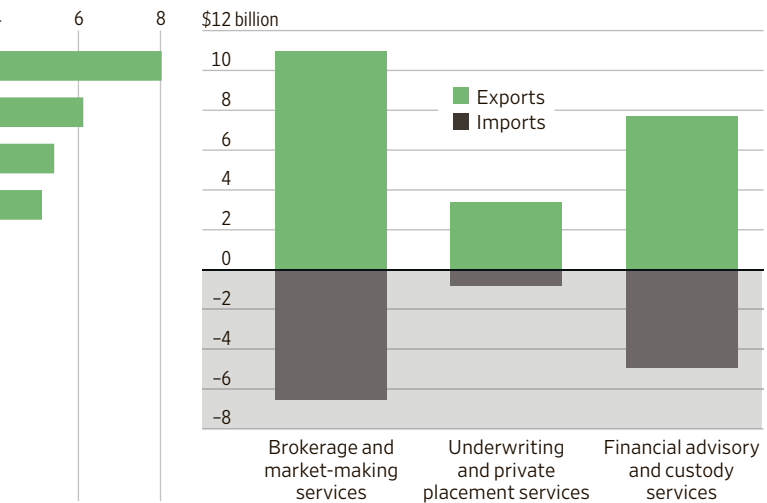
Speaking on his bank's earnings call last week, Bank of America finance chief Alastair Borthwick described lending outside the U.S. as a big part of its growth over the past 15 years. "As we've become a more global and international company than maybe we were in 2007, it was important for us to diversify the loan book outside of just the U.S.," he said.

Not that this path is going to close overnight. Companies may find it difficult, in a short-lived trade spat, to disentangle themselves from a U.S. bank that has served them for years.

And U.S. banks have another advantage: They provide access to the U.S.'s deep capital markets, which have long been a lure for foreign companies. That makes it valuable to stay close to American banks.

Citigroup, for one, hasn't seen shifts in business away from it in recent weeks, Chief Executive Jane

U.S. exports and imports of services by category, 2024



Fraser told analysts last week. Global companies might even turn more often to the bank if they need to rework their cross-border operations or money flows, she said, calling Citigroup "a port in the storm."

Citigroup has long had global banking at the core of its business, including providing day-to-day treasury services, with a physical presence in 94 jurisdictions.

"Many of these markets around the world, we've been in for over a century," Fraser said. "We were the first bank in, sometimes we're the only international bank in."

The longer a trade war goes on, though, the greater the threat to U.S. banks is likely to become.

"Foreign firms don't generally have to use the global arms of U.S. banks for high-fee transactions," said Brad Setser, senior fellow at the Council on Foreign Relations. Amid trade tensions and other cross-border spats, "there could

be a chilling effect—in much the same way as Canadians are reconsidering whether they want to take a vacation in the U.S."

A durable reshaping of the global trading system could also give greater urgency to long-term reforms in other countries and a decoupling from the U.S. Mario Draghi, the former European Central Bank president, has urged the European Union to enhance the continent's capital markets for raising money.

If successful, such a move could give rise to stronger, broader European banks and might lessen the need for companies to access U.S. markets. In that case, there might be less need for the services of big U.S. banks.

U.S. megabanks are built to straddle the globe, and their growth depends on it. That will become more difficult and less profitable in a deglobalized world.

—Telis Demos

Ivy League Gets a Lesson in Investing

They're packed with brainiacs, but Ivy League colleges sure lack street smarts.

Some market wisdom they're about to relearn: "Liquidity is always there, except when you need it." After costs rose and donations plunged during the financial crisis, Harvard's endowment had to come up with cash in a hurry because of its complex investments. It dumped assets at distressed prices and was forced to borrow money.

University endowments are now even more committed to expensive, hard-to-sell alternatives like private equity. And more dependent on them. Last year, Harvard relied on the endowment for 37% of its budget, up from about a fifth of the budget 20 years ago. It worked until it didn't: Instead of elite returns, the largest endowments did worst last fiscal year.

Small ones, which don't have investment offices that paywall Street salaries, did best.

That gap could widen. When stocks plunge, PE funds can make an endowment look good because of a lack of updated market prices. Eventually, though, they must reflect reality—like when a huge client has to sell.

Private equity isn't magic. Its returns resemble small and microcap stocks juiced by borrowed money, notes Verdad Advisors. Indexes tracking such stocks are in a bear market, down by about 25% from their peaks, and losses would be magnified with leverage.

Endowments are committed to expensive, hard-to-sell alternatives.

Another drag? Costs. Investment consultant Richard Ennis estimated in December that Ivy League endowments would have been worth 20% more if they had just been invested in a classic stock and bond mix most people have in their 401(k)s since the financial crisis. A big reason: The all-in expense of their alternative funds is a hefty 3% to 4%.

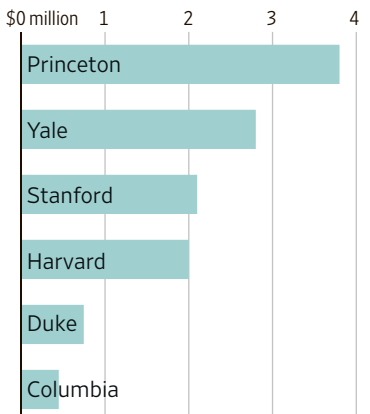
The strategy of reaping extra returns by holding illiquid investments, called "The Yale Model," was pioneered there in the 1980s. It has struggled since interest rates rose. Over the past three fiscal years, Yale's endowment earned measly returns of 0.8%, 1.8% and

5.7%. Ironically, Yale has been the first to blink, with plans to sell a whopping \$6 billion PE portfolio, according to a Thursday report from trade publication Secondaries Investor. Yale didn't respond to a request to comment.

It's an awful time to do that. As The Wall Street Journal put it last week, PE faces a "perfect storm." The sums managers owe existing clients are at a record as deal activity slumps. And it could be the storm of the century for elite colleges facing attacks from the Trump administration ranging from funding cuts to extra taxes and possibly revocation of their nonprofit status.

The upshot for people reading this who aren't alumni, employees or currently paying tuition to one of these universities? Alternatives are increasingly likely to show up

Endowment per full-time student



Sources: NACUBO 2023 data; Inside Higher Ed

in your 401(k) plan. New ETFs you can buy in your brokerage account own illiquid investments too.

It's probably no coincidence that you're being invited past the velvet rope to buy when pedigreed investors are getting schooled.

—Spencer Jakab